

Liabilities ↴

470 Debt

470 Debt

10 Overall

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

470-10-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Contract	Added	Accounting Standards Update No. 2016-02	02/25/2016
Lease	Added	Accounting Standards Update No. 2016-02	02/25/2016
Not-for-Profit Entity	Added	Accounting Standards Update No. 2023-06	10/09/2023
Operating Cycle	Added	Accounting Standards Update No. 2012-04	10/01/2012
Public Business Entity	Added	Accounting Standards Update No. 2023-06	10/09/2023
Security	Added	Accounting Standards Update No. 2023-06	10/09/2023
470-10-05-5	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-10-15-1	Amended	Accounting Standards Update No. 2023-06	10/09/2023
470-10-25-3	Added	Accounting Standards Update No. 2012-04	10/01/2012
470-10-25-4	Added	Accounting Standards Update No. 2012-04	10/01/2012
470-10-35-4	Added	Accounting Standards Update No. 2012-04	10/01/2012
470-10-45-10	Amended	Accounting Standards Update No. 2012-04	10/01/2012

470-10-45-14	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-10-45-19	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-10-45-21	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-10-50-1	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-10-50-6	Added	Accounting Standards Update No. 2023-06	10/09/2023
470-10-50-7	Added	Accounting Standards Update No. 2023-06	10/09/2023
470-10-55-11	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-10-55-12	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-10-55-18	Amended	Maintenance Update 2016-11 	06/27/2016
470-10-60-2	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-10-60-4	Amended	Accounting Standards Update No. 2016-02	02/25/2016

05 Overview and Background

 **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

 [Related Proposed ASUs](#)

470-10-05-1 The Codification contains several Topics that address certain aspects of the accounting for debt. The Topics include:

- a. Liabilities
- b. Debt
- c. Distinguishing Liabilities from Equity.

470-10-05-2 The Debt Topic provides accounting and reporting guidance for borrowers. This Topic includes the following Subtopics:

- a. Overall
- b. Debt with Conversion and Other Options
- c. Participating Mortgage Loans
- d. Product Financing Arrangements
- e. Modifications and Extinguishments
- f. Troubled Debt Restructurings by Debtors.

470-10-05-3 The Liabilities Topic provides accounting and reporting guidance related to liabilities typically considered short-term in nature, and certain guidance that may apply broadly to any liability, including those addressed in this Topic.

470-10-05-4 The Distinguishing Liabilities from Equity Topic provides accounting and reporting guidance for determining whether a transaction represents a liability or equity.

470-10-05-5 The Overall Subtopic addresses classification determination for specific obligations, such as the following:

- a. Short-term obligations expected to be refinanced on a long-term basis
- b. Due-on-demand loan arrangements
- c. Callable debt
- d. Sales of future revenue
- e. Increasing rate debt
- f. Debt that includes covenants
- g. Revolving credit agreements subject to lock-box arrangements and subjective acceleration clauses
- h. Indexed debt.

470-10-05-6 Paragraph not used.

470-10-05-7 Paragraph not used.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure

requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

[Related Proposed ASUs](#)

> Entities

470-10-15-1 The guidance in this Subtopic applies to all entities.

 PENDING CONTENT 

Transition Date:  June 30, 2027;  June 30, 2027 | **Transition Guidance:** [105-10-65-7](#)
The guidance in this Subtopic applies to all entities, excluding paragraph [470-10-50-7](#), which applies to [public business entities](#) only.

> Transactions

470-10-15-2 The guidance in this Subtopic that relates to separate classification of current assets and current liabilities (that is, a classified balance sheet) applies only when an entity is preparing a classified balance sheet for financial accounting and reporting purposes.

20 Glossary

 **General Note:**The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Callable Obligation

An obligation is callable at a given date if the creditor has the right at that date to demand, or to give notice of its intention to demand, repayment of the obligation owed to it by the debtor.

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Lease

A [contract](#), or part of a contract, that conveys the right to control the use of identified property, plant, or equipment (an identified asset) for a period of time in exchange for consideration.

Lock-Box Arrangement

An arrangement with a lender whereby the borrower's customers are required to remit payments directly to the lender and amounts received are applied to reduce the debt outstanding. A lock-box arrangement refers to any situation in which the borrower does not have the ability to avoid using working capital to repay the amounts outstanding. That is, the contractual provisions of a loan arrangement require that, in the ordinary course of business and without another event occurring, the cash receipts of a debtor are used to repay the existing obligation.

Long-Term Obligations

Long-term obligations are those scheduled to mature beyond one year (or the operating cycle, if applicable) from the date of an entity's balance sheet.

Not-for-Profit Entity

An entity that possesses the following characteristics, in varying degrees, that distinguish it from a business entity:

- a. Contributions of significant amounts of resources from resource providers who do not expect commensurate or proportionate pecuniary return
- b. Operating purposes other than to provide goods or services at a profit
- c. Absence of ownership interests like those of business entities.

Entities that clearly fall outside this definition include the following:

- a. All investor-owned entities
- b. Entities that provide dividends, lower costs, or other economic benefits directly and proportionately to their owners, members, or participants, such as mutual insurance entities, credit unions, farm and rural electric cooperatives, and employee benefit plans.

Operating Cycle

The average time intervening between the acquisition of materials or services and the final cash realization constitutes an operating cycle.

Probable

The future event or events are likely to occur.

Public Business Entity

A public business entity is a business entity meeting any one of the criteria below. Neither a [not-for-profit entity](#) nor an employee benefit plan is a business entity.

- a. It is required by the U.S. Securities and Exchange Commission (SEC) to file or furnish financial statements, or does file or furnish financial statements (including voluntary filers), with the SEC (including other entities whose financial statements or financial information are required to be or are included in a filing).
- b. It is required by the Securities Exchange Act of 1934 (the Act), as amended, or rules or regulations promulgated under the Act, to file or furnish financial statements with a regulatory agency other than the SEC.
- c. It is required to file or furnish financial statements with a foreign or domestic regulatory agency in preparation for the sale of or for purposes of issuing securities that are not subject to contractual restrictions on transfer.
- d. It has issued, or is a conduit bond obligor for, [securities](#) that are traded, listed, or quoted on an exchange or an over-the-counter market.
- e. It has one or more securities that are not subject to contractual restrictions on transfer, and it is required by law, contract, or regulation to prepare U.S. GAAP financial statements (including notes) and make them publicly available on a periodic basis (for example, interim or annual periods). An entity must meet both of these conditions to meet this criterion.

An entity may meet the definition of a public business entity solely because its financial statements or financial information is included in another entity's filing with the SEC. In that case, the entity is only a public business entity for purposes of financial statements that are filed or furnished with the SEC.

Security

A share, participation, or other interest in property or in an entity of the issuer or an obligation of the issuer that has all of the following characteristics:

- a. It is either represented by an instrument issued in bearer or registered form or, if not represented by an instrument, is registered in books maintained to record transfers by or on behalf of the issuer.
- b. It is of a type commonly dealt in on securities exchanges or markets or, when represented by an instrument, is commonly recognized in any area in which it is issued or dealt in as a medium for investment.
- c. It either is one of a class or series or by its terms is divisible into a class or series of shares, participations, interests, or obligations.

Springing Lock-Box Arrangement

Some borrowings outstanding under a revolving credit agreement include both a subjective acceleration clause and a requirement to maintain a springing lock-box arrangement, whereby remittances from the borrower's customers are forwarded to the debtor's general bank account and do not reduce the debt outstanding until and unless the lender exercises the subjective acceleration clause.

Subjective Acceleration Clause

A subjective acceleration clause is a provision in a debt agreement that states that the creditor may accelerate the scheduled maturities of the obligation under conditions that are not objectively determinable (for example, if the debtor fails to maintain satisfactory operations or if a material adverse change occurs).

Units-of-Revenue Method

A method of amortizing deferred revenue that arises under certain sales of future revenues. Under this method, amortization for a period is calculated by computing a ratio of the proceeds received from the investor to the total payments expected to be made to the investor over the term of the agreement, and then applying that ratio to the period's cash payment.

Violation of a Provision

The failure to meet a condition in a debt agreement or a breach of a provision in the agreement for which compliance is objectively determinable, whether or not a grace period is allowed or the creditor is required to give notice of its intention to demand repayment.

Working Capital

Working capital (also called net working capital) is represented by the excess of current assets over current liabilities and identifies the relatively liquid portion of total entity capital that constitutes a margin or buffer for meeting obligations within the ordinary operating cycle of the entity.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

i General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> Sales of Future Revenues or Various Other Measures of Income

- 470-10-25-1** An entity receives cash from an investor and agrees to pay to the investor for a defined period a specified percentage or amount of the revenue or of a measure of income (for example, gross margin, operating income, or pretax income) of a particular product line, business segment, trademark, patent, or contractual right. It is assumed that immediate income recognition is not appropriate due to the facts and circumstances. The payment to the investor and the future revenue or income on which the payment is based may be denominated in a foreign currency.
- 470-10-25-2** While the classification of the proceeds from the investor as debt or deferred income depends on the specific facts and circumstances of the transaction, the presence of any one of the following factors independently creates a rebuttable presumption that classification of the proceeds as debt is appropriate:
- The transaction does not purport to be a sale (that is, the form of the transaction is debt).
 - The entity has significant continuing involvement in the generation of the cash flows due the investor (for example, active involvement in the generation of the operating revenues of a product line, subsidiary, or business segment).
 - The transaction is cancelable by either the entity or the investor through payment of a lump sum or other transfer of assets by the entity.
 - The investor's rate of return is implicitly or explicitly limited by the terms of the transaction.
 - Variations in the entity's revenue or income underlying the transaction have only a trifling impact on the investor's rate of return.
 - The investor has any recourse to the entity relating to the payments due the investor.

> Indexed Debt

- 470-10-25-3** Debt instruments may be issued with both guaranteed and contingent payments. The contingent payments may be linked to the price of a specific commodity (for example, oil) or a specific index (for example, the S&P 500). In some instances, the investor's right to receive the contingent payment (an indexing feature) is separable from the debt instrument. If the indexing feature does not warrant separate accounting under Topic 815 or the instrument does not meet the definition of a derivative under Topic 815, the entire instrument shall be accounted for in accordance with paragraphs 470-10-25-4 and 470-10-35-4.
- 470-10-25-4** If the investor's right to receive the contingent payment is separable, the proceeds shall be allocated between the debt instrument and the investor's stated right to receive the contingent payment. The premium or discount on the debt resulting from the allocation shall be accounted for in accordance with Subtopic 835-30.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

 [Related Proposed ASUs](#)

> Increasing Rate Debt

470-10-35-1 A debt instrument may have a maturity date that can be extended at the option of the borrower at each maturity date until final maturity. In such cases, the interest rate on the note increases a specified amount each time the note is renewed. For guidance on accounting for interest, see Subtopic [835-30](#).

470-10-35-2 The borrower's periodic interest cost shall be determined using the interest method based on the estimated outstanding term of the debt. In estimating the term of the debt, the borrower shall consider its plans, ability, and intent to service the debt. Debt issue costs shall be amortized over the same period used in the interest cost determination. The term-extending provisions of the debt instrument should be analyzed to determine whether those provisions constitute an embedded derivative that warrants separate accounting as a derivative under Subtopic [815-10](#).

> Sale of Future Revenues or Various Other Measures of Income

470-10-35-3 Amounts recorded as debt shall be amortized under the interest method (see Subtopic [835-30](#)) and amounts recorded as deferred income shall be amortized under the [units-of-revenue method](#).

> Indexed Debt

470-10-35-4 As the applicable index value increases such that an issuer would be required to pay an investor a contingent payment at maturity, the issuer shall recognize a liability for the amount that the contingent payment exceeds the amount, if any, originally attributed to the contingent payment feature. The liability for the contingent payment feature shall be based on the applicable index value at the balance sheet date and shall not anticipate any future changes in the index value. When no proceeds are allocated originally to the contingent payment, the additional liability resulting from the fluctuating index value shall be accounted for as an adjustment of the carrying amount of the debt obligation.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

 [Related Proposed ASUs](#)

> Classification of Debt That Includes Covenants

- 470-10-45-1** Some long-term loans require compliance with certain covenants that must be met on a quarterly or semiannual basis. If a covenant violation occurs that would otherwise give the lender the right to call the debt, a lender may waive its call right arising from the current violation for a period greater than one year while retaining future covenant requirements. Unless facts and circumstances indicate otherwise, the borrower shall classify the obligation as noncurrent, unless both of the following conditions exist:
- A covenant violation that gives the lender the right to call the debt has occurred at the balance sheet date or would have occurred absent a loan modification.
 - It is probable that the borrower will not be able to cure the default (comply with the covenant) at measurement dates that are within the next 12 months.

See Example 1 (paragraph [470-10-55-2](#)) for an illustration of this classification guidance.

> Subjective Acceleration Clauses and Debt Classification

- 470-10-45-2** In some situations, the circumstances (for example, recurring losses or liquidity problems) would indicate that long-term debt subject to a [subjective acceleration clause](#) should be classified as a current liability. Other situations would indicate only disclosure of the existence of such clauses. Neither reclassification nor disclosure would be required if the likelihood of the acceleration of the due date were remote, such as if the lender historically has not accelerated due dates of loans containing similar clauses and the financial condition of the borrower is strong and its prospects are bright.

> Classification of Revolving Credit Agreements Subject to Lock-Box Arrangements and Subjective Acceleration Clauses

- 470-10-45-3** This guidance does not apply to lock-box arrangements that are maintained at the discretion of the borrower.
- 470-10-45-4** Borrowings outstanding under certain revolving credit agreements are considered long-term debt because the borrowings are due at the end of a specified period (for example, 3 years) rather than when short-term notes roll over (for example, every 90 days). Borrowings may be collateralized, but the only note is the overall note signed at the agreement's inception. Some agreements require that the

borrower maintain a [lock-box arrangement](#). If borrowings outstanding under the agreement are considered [long-term obligations](#), the effect of a subjective acceleration clause on balance sheet classification is determined based on the criteria in paragraph [470-10-45-2](#). If borrowings outstanding are considered short-term obligations, and the borrower intends to refinance the obligation on a long-term basis, paragraph [470-10-45-13](#) applies and the debt shall be classified as a current liability because of the existence of the subjective acceleration clause.

470-10-45-5 Borrowings outstanding under a revolving credit agreement that includes both a subjective acceleration clause and a requirement to maintain a lock-box arrangement shall be considered short-term obligations. Accordingly, because of the subjective acceleration clause, the debt shall be classified as a current liability unless the conditions in paragraph [470-10-45-14](#) are met based on an agreement, other than the revolving credit agreement, to refinance the obligation after the balance sheet date on a long-term basis.

470-10-45-5A The term *lock-box arrangement* as used in this guidance refers to any situation in which the borrower does not have the ability to avoid using working capital to repay the amounts outstanding. That is, if the contractual provisions of a loan arrangement require that, in the ordinary course of business and without another event occurring, the cash receipts of a debtor be used to repay the existing obligation, the credit agreement shall be considered a short-term obligation.

470-10-45-6 Borrowings outstanding under a revolving credit agreement that includes both a subjective acceleration clause and a requirement to maintain a [springing lock-box arrangement](#) shall be considered long-term obligations since the remittances do not automatically reduce the debt outstanding without another event occurring. The effect of the agreement's subjective acceleration clause shall be determined based on the provisions of paragraph [470-10-45-2](#).

> Classification of Increasing-Rate Debt

470-10-45-7 Classification of increasing-rate debt as current or noncurrent would reflect the borrower's anticipated source of repayment that is, current assets or a new short-term debt borrowing versus a long-term refinancing agreement that meets the requirements of this Subtopic and need not be consistent with the time frame used to determine periodic interest cost.

470-10-45-8 If the debt is paid at par before its estimated maturity, any excess interest accrued shall be an adjustment of interest expense.

> Due on Demand Loan Arrangements

470-10-45-9 Loan agreements may specify the debtor's repayment terms but also enable the creditor, at his discretion, to demand payment at any time. Those loan arrangements may have wording such as either of the following:

- a. "The term note shall mature in monthly installments as set forth therein or on demand, whichever is earlier."
- b. "Principal and interest shall be due on demand, or if no demand is made, in quarterly installments beginning on...."

470-10-45-10 The current liability classification shall include obligations that, by their terms, are due on demand or will be due on demand within one year (or [operating cycle](#), if longer) from the balance sheet date, even though liquidation may not be expected within that period. The demand provision is not a subjective acceleration clause as discussed in paragraph [470-10-45-2](#).

> Callable Debt

- 470-10-45-11** Current liabilities shall include long-term obligations that are or will be callable by the creditor either because the debtor's [violation of a provision](#) of the debt agreement at the balance sheet date makes the [obligation callable](#) or because the violation, if not cured within a specified grace period, will make the obligation callable. Accordingly, such callable obligations shall be classified as current liabilities unless either of the following conditions is met:
- a. The creditor has waived or subsequently lost (for example, the debtor has cured the violation after the balance sheet date and the obligation is not callable at the time the financial statements are issued or are available to be issued [as discussed in [Section 855-10-25](#)]) the right to demand repayment for more than one year (or operating cycle, if longer) from the balance sheet date. If the obligation is callable because of violations of certain provisions of the debt agreement, the creditor needs to waive its right with regard only to those violations.
 - b. For long-term obligations containing a grace period within which the debtor may cure the violation, it is [probable](#) that the violation will be cured within that period, thus preventing the obligation from becoming callable.
- 470-10-45-12** Drawing a distinction between significant violations of critical conditions and technical violations is not practicable. A violation that a debtor considers to be technical may be considered critical by the creditor. Furthermore, a creditor may choose to use a technical violation as a means to withdraw from its lending relationship with the debtor. If the violation is considered insignificant by the creditor, then the debtor should be able to obtain a waiver as discussed in the preceding paragraph.

> Short-Term Obligations Expected to Be Refinanced

- 470-10-45-12A** Some short-term obligations are expected to be refinanced on a long-term basis and, therefore, are not expected to require the use of working capital during the ensuing fiscal year. Examples include commercial paper, construction loans, and the currently maturing portion of long-term debt.
- 470-10-45-12B** Refinancing a short-term obligation on a long-term basis means either replacing it with a long-term obligation or with equity securities or renewing, extending, or replacing it with short-term obligations for an uninterrupted period extending beyond one year (or the operating cycle, if applicable) from the date of an entity's balance sheet.
- 470-10-45-13** Short-term obligations arising from transactions in the normal course of business that are due in customary terms shall be classified as current liabilities. A short-term obligation shall be excluded from current liabilities only if the conditions in the following paragraph are met. Funds obtained on a long-term basis before the balance sheet date would be excluded from current assets if the obligation to be liquidated is excluded from current liabilities.

> Intent and Ability to Refinance on a Long-Term Basis

- 470-10-45-14** A short-term obligation shall be excluded from current liabilities if the entity intends to refinance the obligation on a long-term basis (see paragraph [470-10-45-12B](#)) and the intent to refinance the short-term obligation on a long-term basis is supported by an ability to consummate the refinancing demonstrated in either of the following ways:
- a. Post-balance-sheet-date issuance of a long-term obligation or equity securities. After the date of an entity's balance sheet but before that balance sheet is issued or is available to be issued (as discussed in [Section 855-10-25](#)), a long-term obligation or equity securities have been issued for

the purpose of refinancing the short-term obligation on a long-term basis. If equity securities have been issued, the short-term obligation, although excluded from current liabilities, shall not be included in owners' equity.

b. Financing agreement. Before the balance sheet is issued or is available to be issued (as discussed in Section [855-10-25](#)), the entity has entered into a financing agreement that clearly permits the entity to refinance the short-term obligation on a long-term basis on terms that are readily determinable, and all of the following conditions are met:

1. The agreement does not expire within one year (or operating cycle) from the date of the entity's balance sheet and during that period the agreement is not cancelable by the lender or the prospective lender or investor (and obligations incurred under the agreement are not callable during that period) except for violation of a provision with which compliance is objectively determinable or measurable. For purposes of this Subtopic, violation of a provision means failure to meet a condition set forth in the agreement or breach or violation of a provision such as a restrictive covenant, representation, or warranty, whether or not a grace period is allowed or the lender is required to give notice. Financing agreements cancelable for violation of a provision that can be evaluated differently by the parties to the agreement (such as a material adverse change or failure to maintain satisfactory operations) do not comply with this condition.
2. No violation of any provision in the financing agreement exists at the balance sheet date and no available information indicates that a violation has occurred thereafter but before the balance sheet is issued or is available to be issued (as discussed in Section [855-10-25](#)), or, if one exists at the balance sheet date or has occurred thereafter, a waiver has been obtained.
3. The lender or the prospective lender or investor with which the entity has entered into the financing agreement is expected to be financially capable of honoring the agreement.

- 470-10-45-15** Repayment of a short-term obligation before funds are obtained through a long-term refinancing requires the use of current assets. Therefore, if a short-term obligation is repaid after the balance sheet date and subsequently a long-term obligation or equity securities are issued whose proceeds are used to replenish current assets before the balance sheet is issued or is available to be issued (as discussed in Section [855-10-25](#)), the short-term obligation shall not be excluded from current liabilities at the balance sheet date. See Example 5 (paragraph [470-10-55-33](#)) for an illustration of this guidance.
- 470-10-45-16** If an entity's ability to consummate an intended refinancing of a short-term obligation on a long-term basis is demonstrated by post-balance-sheet-date issuance of a long-term obligation or equity securities (see paragraph [470-10-45-14\(a\)](#)), the amount of the short-term obligation to be excluded from current liabilities shall not exceed the proceeds of the new long-term obligation or the equity securities issued.
- 470-10-45-17** If ability to refinance is demonstrated by the existence of a financing agreement (see paragraph [470-10-45-14\(b\)](#)), the amount of the short-term obligation to be excluded from current liabilities shall be reduced to the amount available for refinancing under the agreement if the amount available is less than the amount of the short-term obligation.
- 470-10-45-18** The amount to be excluded shall be reduced further if information (such as restrictions in other agreements or restrictions as to transferability of funds) indicates that funds obtainable under the agreement will not be available to liquidate the short-term obligation.
- 470-10-45-19** Further, if amounts that could be obtained under the financing agreement fluctuate (for example, in relation to the entity's needs, in proportion to the value of collateral, or in accordance with other terms of the agreement), the amount to be excluded from current liabilities shall be limited to a reasonable estimate of the minimum amount expected to be available at any date from the scheduled maturity of

the short-term obligation to the end of the fiscal year (or operating cycle). If no reasonable estimate can be made, the entire outstanding short-term obligation shall be included in current liabilities.

- 470-10-45-20** The entity may intend to seek an alternative source of financing rather than to exercise its rights under the existing agreement when the short-term obligation becomes due. The entity must intend to exercise its rights under the existing agreement, however, if that other source does not become available. The intent to exercise may not be present if the terms of the agreement contain conditions or permit the prospective lender or investor to establish conditions, such as interest rates or collateral requirements, that are unreasonable to the entity.

> Transactions after the Balance Sheet Date

- 470-10-45-21** Replacement of a short-term obligation with another short-term obligation after the date of the balance sheet but before the balance sheet is issued or is available to be issued (as discussed in Section [855-10-25](#)) is not, by itself, sufficient to demonstrate an entity's ability to refinance the short-term obligation on a long-term basis. If, for example, the replacement is made under the terms of a revolving credit agreement that provides for renewal or extension of the short-term obligation for an uninterrupted period extending beyond one year (or operating cycle) from the date of the balance sheet, the revolving credit agreement must meet the conditions in paragraph [470-10-45-14\(b\)](#) to justify excluding the short-term obligation from current liabilities. Similarly, if the replacement is a rollover of commercial paper accompanied by a standby credit agreement, the standby agreement must meet the conditions in that paragraph to justify excluding the short-term obligation from current liabilities.

50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

 [Related Proposed ASUs](#)

> Disclosure of Long-Term Obligations

- 470-10-50-1** The combined aggregate amount of maturities and sinking fund requirements for all long-term borrowings shall be disclosed for each of the five years following the date of the latest balance sheet presented. (See paragraph [505-10-50-11](#) for related disclosure guidance on redeemable securities). See Example 3 (paragraph [470-10-55-10](#)) for an illustration of this disclosure requirement.
- 470-10-50-2** If an obligation under paragraph [470-10-45-11\(b\)](#) is classified as a long-term liability (or, in the case of an unclassified balance sheet, is included as a long-term liability in the disclosure of debt maturities), the circumstances shall be disclosed.

> Subjective Acceleration Clauses

470-10-50-3 As indicated in paragraph [470-10-45-2](#), in some situations long-term debt subject to a [subjective acceleration clause](#) shall be reclassified. That paragraph explains that other situations would indicate only disclosure of the existence of such clauses. That paragraph states further that neither reclassification nor disclosure is required if the likelihood of the acceleration of the due date is remote, such as when the lender historically has not accelerated due dates of loans containing similar clauses and the financial condition of the borrower is strong and its prospects are bright.

> Short-Term Obligations Expected to Be Refinanced

470-10-50-4 If a short-term obligation is excluded from current liabilities pursuant to the provisions of this Subtopic, the notes to financial statements shall include a general description of the financing agreement and the terms of any new obligation incurred or expected to be incurred or equity securities issued or expected to be issued as a result of a refinancing.

> Summary Disclosure of Securities Outstanding

470-10-50-5 Paragraph [505-10-50-3](#) requires that an entity explain, in summary form within its financial statements, the pertinent rights and privileges of various securities outstanding.

> Unused Commitments and Lines of Credit

470-10-50-6

 PENDING CONTENT



Transition Date:  June 30, 2027;  June 30, 2027 | **Transition Guidance:** [105-10-65-7](#)

An entity shall separately disclose the following in the notes to financial statements:

- a. The amount and terms of unused commitments for long-term financing arrangements (including commitment fees and the conditions under which commitments may be withdrawn)
- b. The amount and terms of unused lines of credit for short-term financing arrangements (including commitment fees and the conditions under which lines may be withdrawn) and the amount of those lines of credit that support commercial paper borrowing arrangements or similar arrangements.

> Weighted-Average Interest Rate on Short-Term Borrowings

470-10-50-7

 PENDING CONTENT



Transition Date:  June 30, 2027;  June 30, 2027 | **Transition Guidance:** [105-10-65-7](#)

A [public business entity](#) shall disclose the weighted-average interest rate on short-term borrowings outstanding as of the date of each balance sheet presented.

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

 [Related Proposed ASUs](#)

> Implementation Guidance

· > Subjective Acceleration Clauses and Debt Classification

470-10-55-1 Under paragraph [470-10-45-2](#), the lender has already loaned money on a long-term basis. To continue long-term classification requires a judgment about the likelihood of acceleration of the due date. Paragraphs [470-10-45-13 through 45-20](#) cover circumstances in which the obligation is by its terms short-term. For such an obligation to be excluded from current liabilities, the lender must advance new funds or refinance the short-term obligation on a long-term basis based on conditions existing on the date of the new loan or refinancing. Therefore, to classify an obligation as long-term, paragraphs [470-10-45-13 through 45-20](#) require a higher standard for a financing agreement that permits an entity to refinance a short-term obligation on a long-term basis than paragraph [470-10-50-2](#) requires for an existing long-term loan for which early repayment might be requested.

> Illustrations

· > Example 1: Classification of Long-Term Debt That Includes Covenants

470-10-55-2 This Example illustrates the guidance in paragraph [470-10-45-1](#) for the classification of long-term debt when a debt covenant violation is waived by a lender for a period greater than a year.

470-10-55-3 A borrower has a long-term loan that requires compliance with certain covenants, such as maintenance of a minimum current ratio, minimum debt-to-equity ratio, or minimum level of shareholders' equity. The borrower must meet the covenants on a quarterly or semiannual basis. At one of the compliance dates, the borrower violates a covenant. That violation gives the lender the right to call the debt. The lender waives that right for a period greater than one year but retains the future covenant requirements.

470-10-55-4 The issue is whether the waiver of the lender's rights resulting from the violation of the covenant with the retention of the periodic covenant tests represents, in substance, a grace period. If viewed as a grace period, the borrower would classify the debt as current (see paragraph [470-10-45-11](#)) unless it

is probable that the borrower can cure the violation (comply with the covenant) within the grace period. Specifically, the balance sheet classification of an obligation is considered in the following situations:

- a. The debt covenants are applicable only after the balance sheet date, and it is probable that the borrower will fail to meet the covenant requirement at the compliance date three months after the balance sheet date.
- b. The borrower meets the current covenant requirement at the balance sheet date, and it is probable that the borrower will fail to meet the same covenant requirement at the compliance date in three months.
- c. The borrower meets the current covenant requirement, and it is probable that the borrower will fail to meet a more restrictive covenant requirement applicable at the compliance date in three months.
- d. The borrower has met the covenant requirement in the prior quarter but before the balance sheet date negotiates a modification of the loan agreement that eliminates the covenant requirement at the balance sheet date or modifies the requirement so that the borrower will comply. Absent the modification, the borrower would have been in violation of the covenant at the balance sheet date. The same or a more restrictive covenant must be met at the compliance date in three months, and it is probable that the borrower will fail to meet that requirement at that subsequent date.
- e. The borrower is in violation of the current covenant requirement at the balance sheet date and, after the balance sheet date but before the financial statements are issued or are available to be issued (as discussed in Section [855-10-25](#)), obtains a waiver. The same or a more restrictive covenant must be met at the compliance date in three months, and it is probable that the borrower will fail to meet that requirement at that subsequent date.

470-10-55-5 In the situations described in (a) through (c) of the preceding paragraph, the debt would be classified as noncurrent, in which case the borrower would be required to disclose the adverse consequences of its probable failure to satisfy future covenants.

470-10-55-6 In the situations described in paragraph [470-10-55-4\(d\) through \(e\)](#), the debt would be classified as current. However, if the debt is expected to be refinanced on a long-term basis and the borrower meets the provisions of paragraphs [470-10-45-13 through 45-20](#), the debt would be classified as noncurrent.

· > Example 2: Classification by the Issuer of Redeemable Instruments That Are Subject to Remarketing Agreements

470-10-55-7 This Example illustrates the guidance for the appropriate classification by the issuer of debt if all of the following conditions exist:

- a. The debt has a long-term maturity (for example, 30 to 40 years).
- b. The debt holder may redeem or put the bond on short notice (7 to 30 days).
- c. The issuer has a remarketing agreement that states that the agent will make its best effort to remarket the bond when redeemed.
- d. The debt is secured by a short-term letter of credit that provides protection to the debt holder in the event that the redeemed debt cannot be remarketed. (Amounts drawn against the letter of credit are payable back to the issuer of the letter of credit by the issuer of the redeemable debt instrument on the same day that the drawdown occurs.)

470-10-55-8 Debt agreements that allow a debt holder to redeem (or put) a debt instrument on demand (or within one year) should be classified as short-term liabilities despite the existence of a best-efforts remarketing agreement. That is, unless the issuer of the redeemable debt instrument has the ability and intent to refinance the debt on a long-term basis as provided for in paragraph [470-10-45-14](#), the debt should be classified as a current liability.

470-10-55-9 In this Example, the obligation would be classified by the issuer as noncurrent only if the letter-of-credit arrangement meets the requirements of paragraph [470-10-45-14\(b\)](#).

· > **Example 3: Disclosure of Long-Term Obligations**

470-10-55-10 This Example provides an illustration of the guidance in paragraph [470-10-50-1](#) for disclosures for long-term borrowings and preferred stock with mandatory redemption requirements. This Example has the following assumptions.

470-10-55-11 Entity D has outstanding two long-term loans, one convertible debt, and one issue of preferred stock with mandatory redemption requirements. The first loan is a \$100 million sinking fund debenture with annual sinking fund payments of \$10 million in 19X2, 19X3, and 19X4, \$15 million in 19X5 and 19X6, and \$20 million in 19X7 and 19X8. The second loan is a \$50 million note due in 19X5. The convertible debt has a principal amount of \$70 million that is not convertible before maturity in 19X9. This convertible debt requires a 2 percent annual cumulative sinking fund payment of \$1.4 million until settled. The \$30 million issue of preferred stock requires a 5 percent annual cumulative sinking fund payment of \$1.5 million until retired.

470-10-55-12 Entity D's disclosure might be as follows.

Maturities and sinking fund requirements on long-term loans and convertible debt and sinking fund requirements on preferred stock subject to mandatory redemption are as follows (in thousands).

	Long-term loans	Preferred stock	Convertible debt
19X2	\$ 10,000	\$ 1,500	\$ 1,400
19X3	10,000	1,500	1,400
19X4	10,000	1,500	1,400
19X5	65,000	1,500	1,400
19X6	15,000	1,500	1,400

· > **Example 4: Current Maturity of Long-Term Debt and Notes Payable to Be Refinanced**

470-10-55-13 The following Cases illustrate various scenarios for refinancing the current portion of long-term debt and notes payable as discussed in paragraphs [470-10-45-13](#) through [45-20](#):

- a. Entity refinances on long-term basis the current maturity of long-term debt and notes payable (Case A).
- b. Laws prohibit the transfer of funds (Case B).
- c. Entity issues debentures to liquidate the debt (Case C).
- d. Entity negotiates a revolving credit agreement (Case D).
- e. Entity negotiates a revolving credit agreement with borrowing limits (Case E).
- f. Entity refinances commercial paper (Case F).
- g. Case illustrates balance sheet presentation (Case G).

470-10-55-14 The Cases in this Example do not comprehend all possible circumstances and do not include all the disclosures that would typically be made regarding long-term debt or current liabilities.

470-10-55-15 Cases A through G share all of the following assumptions:

- a. Entity A's fiscal year-end is December 31, 19X5.
- b. The date of issuance of the December 31, 19X5, financial statements is March 31, 19X6; the Entity's practice is to issue a classified balance sheet.

c. At December 31, 19X5, short-term obligations include \$5,000,000 representing the portion of 6 percent long-term debt maturing in February 19X6 and \$3,000,000 of 9 percent notes payable issued in November 19X5 and maturing in July 19X6.

d. The Entity intends to refinance on a long-term basis both the current maturity of long-term debt and the 9 percent notes payable.

e. Accounts other than the long-term debt maturing in February 19X6 and the notes payable maturing in July 19X6 are as follows.

Current assets	\$ 30,000,000
Other assets	\$ 50,000,000
Accounts payable and accruals	\$ 10,000,000
Other long-term debt	\$ 25,000,000
Shareholders' equity	\$ 37,000,000

f. Unless otherwise indicated, the Cases also assume that the lender or prospective lender is expected to be capable of honoring the agreement, that there is no evidence of a violation of any provision, and that the terms of borrowings available under the agreement are readily determinable.

· · > Case A: Entity Refinances on Long-Term Basis the Current Maturity of Long-Term Debt and Notes Payable

470-10-55-16 The Entity negotiates a financing agreement with a commercial bank in December 19X5 for a maximum borrowing of \$8,000,000 at any time through 19X7 with the following terms:

- Borrowings are available at Entity A's request for such purposes as it deems appropriate and will mature three years from the date of borrowing.
- Amounts borrowed will bear interest at the bank's prime rate.
- An annual commitment fee of 1/2 of 1 percent is payable on the difference between the amount borrowed and \$8,000,000.
- The agreement is cancelable by the lender only if any of the following occur:
 - The Entity's [working capital](#), excluding borrowings under the agreement, falls below \$10,000,000.
 - The Entity becomes obligated under lease agreements to pay an annual rental in excess of \$1,000,000.
 - Treasury stock is acquired without the prior approval of the prospective lender.
 - The Entity guarantees indebtedness of unaffiliated persons in excess of \$500,000.

470-10-55-17 The Entity's intention to refinance meets the condition specified by paragraph [470-10-45-14](#). Compliance with the provisions listed in (d) of the preceding paragraph is objectively determinable or measurable; therefore, the condition specified by paragraph [470-10-45-14\(b\)\(1\)](#) is met. The proceeds of borrowings under the agreement are clearly available for the liquidation of the 9 percent notes payable and the long-term debt maturing in February 19X6. Both obligations, therefore, would be classified as other than current liabilities.

470-10-55-18 Following are the liability section of Entity A's balance sheet at December 31, 19X5, and the related note disclosures required by this Subtopic, based on the information in paragraphs [470-10-55-15 through 55-16](#). Because the balance sheet is issued subsequent to the February 19X6 maturity of the long-term debt, the note describes the refinancing of that obligation.

	December 31, 19X5
Current Liabilities:	
Accounts payable and accruals	\$ 10,000,000
Total Current Liabilities	<u>10,000,000</u>
Long-Term Debt:	
9% notes payable (Note A)	3,000,000 ^(a)
6% debt due February 19X6 (Note A)	5,000,000 ^(a)
Other long-term debt	<u>25,000,000</u>
Total Long-Term Debt	<u>33,000,000</u>
Total Liabilities	<u>\$ 43,000,000</u>

(a) These obligations may also be shown in captions distinct from both current liabilities and long-term debt, such as Interim Debt, Short-Term Debt Expected to Be Refinanced, and Intermediate Debt.

Note A

The Entity has entered into a financing agreement with a commercial bank that permits the Entity to borrow at any time through 19X7 up to \$8,000,000 at the bank's prime rate of interest. The Entity must pay an annual commitment fee of 1/2 of 1 percent of the unused portion of the commitment. Borrowings under the financing agreement mature three years after the date of the loan. Among other things, the agreement prohibits the acquisition of treasury stock without prior approval by the bank, requires maintenance of working capital of \$10,000,000 exclusive of borrowings under the agreement, and limits the annual rental under lease agreements to \$1,000,000. In February 19X6, the Entity borrowed \$5,000,000 at 8 percent and liquidated the 6 percent long-term debt, and it intends to borrow additional funds available under the agreement to refinance the 9 percent notes payable maturing in July 19X6.

· · > Case B: Laws Prohibit the Transfer of Funds

470-10-55-19 A foreign subsidiary of the Entity negotiates a financing agreement with its local bank in December 19X5. Funds are available to the subsidiary for its unrestricted use, including loans to affiliated entities; other terms are identical to those cited in Case A. Local laws prohibit the transfer of funds outside the country.

470-10-55-20 The requirement of paragraph [470-10-45-14\(b\)\(1\)](#) is met because compliance with the provisions of the agreement is objectively determinable or measurable. Because of the laws prohibiting the transfer of funds, however, the proceeds from borrowings under the agreement are not available for liquidation of the debt maturing in February and July 19X6. Accordingly, both the 6 percent debt maturing in February 19X6 and the 9 percent notes payable maturing in July 19X6 would be classified as current liabilities.

· · > Case C: Entity Issues Debentures to Liquidate the Debt

470-10-55-21 In this Case, the Entity issues \$8,000,000 of 10-year debentures to the public in January 19X6. The Entity intends to use the proceeds to liquidate the \$5,000,000 debt maturing February 19X6 and the \$3,000,000 of 9 percent notes payable maturing July 19X6. In addition, assume the debt maturing February 19X6 is paid before the issuance of the balance sheet, and the remaining proceeds from the sale of debentures are invested in a U.S. Treasury note maturing the same day as the 9 percent notes payable.

470-10-55-22 Because the Entity refinanced the long-term debt maturing in February 19X6 in a manner that meets the conditions set forth in paragraph [470-10-45-14](#), that obligation would be excluded from current liabilities. In addition, the 9 percent notes payable maturing in July 19X6 would also be excluded because the Entity has obtained funds expressly intended to be used to liquidate those notes and not intended to be used in current operations. In balance sheets after the date of sale of the debentures and before the maturity date of the notes payable, the Entity would exclude the notes payable from current liabilities if the U.S. Treasury note is excluded from current assets (see paragraph [210-10-45-4](#)).

- 470-10-55-23** If the debentures had been sold before January 1, 19X6, the \$8,000,000 of obligations to be paid would be excluded from current liabilities in the balance sheet at that date if the \$8,000,000 in funds were excluded from current assets.
- 470-10-55-24** If, instead of issuing the 10-year debentures, the Entity had issued \$8,000,000 of equity securities and all other facts in this Case remained unchanged, both the 6 percent debt due February 19X6 and the 9 percent notes payable due July 19X6 would be classified as liabilities other than current liabilities, such as Indebtedness Due in 19X6 Refinanced in January 19X6.

· · > Case D: Revolving Credit Agreement

- 470-10-55-25** In December 19X5 the Entity negotiates a revolving credit agreement providing for unrestricted borrowings up to \$10,000,000. Borrowings will bear interest at 1 percent over the prevailing prime rate of the bank with which the agreement is arranged but in any event not less than 8 percent, will have stated maturities of 90 days, and will be continuously renewable for 90-day periods at the Entity's option for 3 years provided there is compliance with the terms of the agreement. Provisions of the agreement are similar to those cited in paragraph [470-10-55-16\(d\)](#). Further, the Entity intends to renew obligations incurred under the agreement for a period extending beyond one year from the balance sheet date. There are no outstanding borrowings under the agreement at December 31, 19X5.
- 470-10-55-26** In this instance, the long-term debt maturing in February 19X6 and the 9 percent notes payable maturing in July 19X6 would be excluded from current liabilities because the Entity consummated a financing agreement meeting the conditions set forth in paragraph [470-10-45-14\(b\)](#) before the issuance of the balance sheet.

· · > Case E: Revolving Credit Agreement with Borrowing Limits

- 470-10-55-27** Assume that the agreement cited in Case D included an additional provision limiting the amount to be borrowed by the Entity to the amount of its inventory, which is pledged as collateral and is expected to range between a high of \$8,000,000 during the second quarter of 19X6 and a low of \$4,000,000 during the fourth quarter of 19X6.
- 470-10-55-28** The terms of the agreement comply with the conditions required by this Subtopic; however, because the minimum amount expected to be available from February to December 19X6 is \$4,000,000, only that amount of short-term obligations can be excluded from current liabilities (see paragraphs [470-10-45-16 through 45-19](#)). Whether the obligation to be excluded is a portion of the currently maturing long-term debt or some portions of both it and the 9 percent notes payable depends on the intended timing of the borrowing.
- 470-10-55-29** If the Entity intended to refinance only the 9 percent notes payable due July 19X6 and the amount of its inventory is expected to reach a low of approximately \$2,000,000 during the second quarter of 19X6 but be at least \$3,000,000 in July 19X6 and thereafter during 19X6, the \$3,000,000 9 percent notes payable would be excluded from current liabilities at December 31, 19X5 (see paragraphs [470-10-45-16 through 45-19](#)).

· · > Case F: Commercial Paper Refinancing

- 470-10-55-30** In lieu of the facts given in paragraph [470-10-55-15\(c\) through \(d\)](#), assume that during 19X5 the Entity entered into a contract to have a warehouse built. The warehouse is expected to be financed by issuance of the Entity's commercial paper. In addition, the Entity negotiated a standby agreement with a commercial bank that provides for maximum borrowings equal to the expected cost of the warehouse, which will be pledged as collateral. The agreement also requires that the proceeds from the sale of commercial paper be used to pay construction costs. Borrowings may be made under the agreement only if the Entity is unable to issue new commercial paper. The proceeds of borrowings must be used to retire outstanding commercial paper and to liquidate additional liabilities incurred in

the construction of the warehouse. At December 31, 19X5, the Entity has \$7,000,000 of commercial paper outstanding and \$1,000,000 of unpaid construction costs resulting from a progress billing through December 31.

470-10-55-31 Because the commercial paper will be refinanced on a long-term basis, either by uninterrupted renewal or, failing that, by a borrowing under the agreement, the commercial paper would be excluded from current liabilities. The \$1,000,000 liability for the unpaid progress billing results from the construction of a noncurrent asset and will be refinanced on the same basis as the commercial paper and, therefore, it would also be excluded from current liabilities (see paragraph [470-10-45-13](#)).

· · > Case G: Balance Sheet Presentation

470-10-55-32 The following are two methods of presenting liabilities in Entity A's balance sheet at December 31, 19X5, assuming the Entity intends to refinance the 6 percent debt maturing in February 19X6 and the 9 percent notes payable maturing in July 19X6 but has not met the conditions required by this Subtopic to exclude those obligations from current liabilities.

Alternative 1		December 31, 19X5
Current Liabilities:		
Accounts payable and accruals		\$ 10,000,000
Notes payable, due July 19X6		3,000,000
6% debt due February 19X6		5,000,000
Total Current Liabilities		18,000,000
Long-Term Debt		25,000,000
Total Liabilities		\$ 43,000,000

Alternative 2		December 31, 19X5
Current Liabilities:		
Accounts payable and accruals		\$ 10,000,000
Short-term debt expected to be refinanced:		
Notes payable, due July 19X6	\$ 3,000,000	
6% debt due February 19X6	5,000,000	8,000,000
Total Current Liabilities		18,000,000
Long-Term Debt		25,000,000
Total Liabilities		\$ 43,000,000

· > Example 5: Classification of a Short-Term Obligation Repaid Before Being Replaced by a Long-Term Security

470-10-55-33 This Example illustrates the guidance in paragraph [470-10-45-15](#).

- 470-10-55-34** This Example has the following assumptions:
- a. An Entity has issued \$3,000,000 of short-term commercial paper during the year to finance construction of a plant.
 - b. At June 30, 1976, the Entity's fiscal year end, the Entity intends to refinance the commercial paper by issuing long-term debt. However, because the Entity temporarily has excess cash, in July 1976 it liquidates \$1,000,000 of the commercial paper as the paper matures.
 - c. In August 1976, the Entity completes a \$6,000,000 long-term debt offering.
 - d. Later during the month of August, it issues its June 30, 1976, financial statements.
 - e. The proceeds of the long-term debt offering are to be used to do all of the following:
 - 1. Replenish \$1,000,000 in working capital
 - 2. Pay \$2,000,000 of commercial paper as it matures in September 1976
 - 3. Pay \$3,000,000 of construction costs expected to be incurred later that year to complete the plant.

- 470-10-55-35** The \$1,000,000 of commercial paper liquidated in July would be classified as a current liability in the Entity's balance sheet at June 30, 1976. The \$2,000,000 of commercial paper liquidated in September 1976 but refinanced by the long-term debt offering in August 1976 would be excluded from current liabilities in balance sheets at the end of June 1976, July 1976, and August 1976. It should be noted that the existence of a financing agreement at the date the financial statements are issued or are available to be issued (as discussed in Section [855-10-25](#)) rather than a completed financing at that date would not change these classifications.
- 470-10-55-36** At the end of August 1976, \$2,000,000 of cash would be excluded from current assets or, if included in current assets, a like amount of debt would be classified as a current liability.

60 Relationships

i General Note: The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

General

> Balance Sheet

- 470-10-60-1** For classification guidance on a liability representing the underfunded status of a single-employer defined benefit postretirement plan, see Subtopic [715-20](#).
- 470-10-60-2** [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)

> Interest

- 470-10-60-3** For guidance on the appropriate accounting if the face amount of a note does not reasonably represent the present value of the consideration given or received in the exchange, see paragraphs [835-30-05-2](#) through [05-3](#).

> Leases

- 470-10-60-4** For guidance on the classification of obligations under [leases](#), see paragraphs [842-20-45-1](#) through [45-4](#).

S00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

470-10-S00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Annual Report	Superseded	Accounting Standards Update No. 2020-09	10/22/2020
Finance Subsidiary	Superseded	Accounting Standards Update No. 2020-09	10/22/2020
Full and Unconditional Guarantee	Superseded	Accounting Standards Update No. 2020-09	10/22/2020
Minor Subsidiary	Superseded	Accounting Standards Update No. 2020-09	10/22/2020
Operating Subsidiary	Superseded	Accounting Standards Update No. 2020-09	10/22/2020
Parent Company with No Independent Assets or Operations	Superseded	Accounting Standards Update No. 2020-09	10/22/2020
Quarterly Report	Superseded	Accounting Standards Update No. 2020-09	10/22/2020
Wholly Owned Subsidiary	Superseded	Accounting Standards Update No. 2020-09	10/22/2020
470-10-S50-6 through S50-8	Amended	Accounting Standards Update No. 2020-09	10/22/2020
470-10-S50-9 through S50-11	Superseded	Accounting Standards Update No. 2020-09	10/22/2020
470-10-S65-1	Added	Accounting Standards Update No. 2020-09	10/22/2020
470-10-S99-1	Amended	Accounting Standards Update No. 2020-09	10/22/2020
470-10-S99-1	Amended	Accounting Standards Update No. 2019-07	07/26/2019
470-10-S99-1	Amended	Accounting Standards Update No. 2010-21	08/02/2010
470-10-S99-1A	Added	Accounting Standards Update No. 2020-09	10/22/2020
470-10-S99-1B	Added	Accounting Standards Update No. 2020-09	10/22/2020

470-10-S99-3

Amended

Accounting Standards
Update No. 2012-03

08/27/2012

S15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Compensating Balance Arrangements

470-10-S15-1 See paragraph [210-10-S99-2](#), SAB Topic 6.H.1, for SEC Staff views on the applicability of the disclosure requirements pertaining to compensating balances and short-term borrowing arrangements.

S35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Debt Issue Costs in Conjunction with a Business Combination

470-10-S35-1 See paragraph [340-10-S99-2](#), SAB Topic 2.A.6, Question 2, for SEC Staff views on the amortization of debt issue costs for interim "bridge financing."

S45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Subsidiary's Loan Payable

470-10-S45-1 See paragraph [470-10-S99-4](#), SEC Observer Comment: Classification of Subsidiary's Loan Payable in Consolidated Balance Sheet when Subsidiary's and Parent's Fiscal Years Differ, for SEC Staff views on the presentation of such loans.

> Long-Term Debt

470-10-S45-2 See paragraph [210-10-S99-1](#), Regulation S-X Rule 5-02.22, for presentation requirements for bonds, mortgages, and other long-term debt. See paragraph [210-10-S99-1](#), Regulation S-X Rule 5-02.23, for the presentation of long-term indebtedness to related parties.

> Construction Loans

470-10-S45-3 See paragraph [470-10-S99-3](#), SAB Topic 6.H.2, for SEC Staff views on the classification of revolving loans pertaining to construction of long-term projects.

> Subordinated Debt

470-10-S45-4 See paragraph [470-10-S99-2](#), SAB Topic 4.A, for SEC Staff views on the presentation of subordinated debt.

S50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Disclosure of Long-Term Obligations

470-10-S50-1 See paragraph [210-10-S99-1](#), Regulation S-X Rule 5-02.22, for disclosure requirements for bonds, mortgages, and other long-term debt.

470-10-S50-2 See paragraph [235-10-S99-1](#), Regulation S-X Rule 4-08(f), for disclosure requirements for changes in bonds, mortgages, and other long-term debt.

> Short-Term Obligations

470-10-S50-3 See paragraph [210-10-S99-1](#), Regulation S-X Rule 5-02.19(b), for disclosure requirements pertaining to short-term obligations.

> Defaults

470-10-S50-4 See paragraph [235-10-S99-1](#), Regulation S-X Rule 4-08(c), for disclosure requirements relating to defaults.

> Repurchase and Reverse Repurchase Agreements

470-10-S50-5 See paragraph [235-10-S99-1](#), Regulation S-X Rule 4-08, for disclosure requirements for repurchase and reverse repurchase agreements.

> Guarantors and Issuers of Guaranteed Securities Registered or Being Registered

470-10-S50-6 See paragraph [470-10-S99-1](#), Regulation S-X Rule 3-10, for requirements applicable to financial statements of guarantors and issuers of guaranteed securities registered or being registered.

470-10-S50-7 See paragraph [470-10-S99-1A](#), Regulation S-X Rule 13-01, for disclosure requirements about guarantors and issuers of guaranteed securities registered or being registered.

> Affiliates Whose Securities Collateralize Securities Registered or Being Registered

470-10-S50-8 See paragraph [470-10-S99-1B](#), Regulation S-X Rule 13-02, for disclosure requirements about a registrant's affiliates whose securities collateralize any class of securities registered or being registered.

470-10-S50-9 [Paragraph superseded by Accounting Standards Update No. 2020-09.](#)

470-10-S50-10 Paragraph superseded by Accounting Standards Update No. 2020-09.

470-10-S50-11 Paragraph superseded by Accounting Standards Update No. 2020-09.

S65 Transition and Open Effective Date Information

i General Note: The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General

470-10-S65-1 Paragraph superseded on 08/19/2021 after the end of the transition period stated in SEC Release No. 33-10762, Financial Disclosures about Guarantors and Issuers of Guaranteed Securities and Affiliates Whose Securities Collateralize a Registrant's Securities.

S99 SEC Materials

i General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Rules, Regulations, and Interpretations

· > Regulation S-X

·· > Regulation S-X Rule 3-10, Financial Statements of Guarantors and Issuers of Guaranteed Securities Registered or Being Registered

470-10-S99-1

The following is the text of Regulation S-X Rule 3-10, Financial Statements of Guarantors and Issuers of Guaranteed Securities Registered or Being Registered (17 CFR 210.3-10).

(a) If an issuer or guarantor of a guaranteed security that is registered or being registered is required to file financial statements required by Regulation S-X with respect to the guarantee or guaranteed security, such financial statements may be omitted if the issuer or guarantor is a consolidated subsidiary of the parent company, the parent company's consolidated financial statements have been filed, and the conditions in paragraphs (a)(1) and (2) of this section have been met:

(1) The guaranteed security is debt or debt-like; and

(i) The parent company issues the security or co-issues the security, jointly and severally, with one or more of its consolidated subsidiaries; or

(ii) A consolidated subsidiary issues the security or co-issues the security with one or more other consolidated subsidiaries of the parent company, and the security is guaranteed fully and unconditionally by the parent company; and

(2) The parent company provides the disclosures specified in §210.13-01.

(b) For the purposes of this section and §210.13-01:

(1) The "parent company" is the entity that:

(i) Is an issuer or guarantor of the guaranteed security;

(ii) Is, or as a result of the subject Securities Act registration statement will be, an Exchange Act reporting company; and

(iii) Consolidates each subsidiary issuer and/or subsidiary guarantor of the guaranteed security in its consolidated financial statements.

(2) A security is "debt or debt-like" if it has the following characteristics:

(i) The issuer has a contractual obligation to pay a fixed sum at a fixed time; and

(ii) Where the obligation to make such payments is cumulative, a set amount of interest must be paid.

Note 1 to paragraph (b)(2). Neither the form of the security nor its title will determine whether a security is debt or debt-like. Instead, the substance of the obligation created by the security will be determinative.

Note 2 to paragraph (b)(2). The phrase "set amount of interest" is not intended to mean "fixed amount of interest." Floating and adjustable rate securities, as well as indexed securities, may meet the criteria specified in paragraph (b)(2)(ii) of this section as long as the payment obligation is set in the debt instrument and can be determined from objective indices or other factors that are outside the discretion of the obligor.

(3) A guarantee is "full and unconditional," if, when an issuer of a guaranteed security has failed to make a scheduled payment, the guarantor is obligated to make the scheduled payment immediately and, if it does not, any holder of the guaranteed security may immediately bring suit directly against the guarantor for payment of all amounts due and payable.

[65 FR 51707, Aug. 24, 2000, as amended at 73 FR 952, Jan. 4, 2008; 73 FR 1009, Jan. 4, 2008; 74 FR 18615, Apr. 23, 2009; 85 FR 21999, Apr. 20, 2020]

· · > Regulation S-X Rule 13-01, Guarantors and Issuers of Guaranteed Securities Registered or Being Registered

470-10-S99-1A The following is the text of Regulation S-X Rule 13-01, Guarantors and Issuers of Guaranteed Securities Registered or Being Registered (17 CFR 210.13-01).

(a) For each guaranteed security subject to Section 13(a) or 15(d) of the Securities Exchange Act of 1934, and for each guaranteed security the offer and sale of which is being registered under the Securities Act of 1933, for which the registrant is the parent company (as that term is defined in §210.3-10(b)(1)) of one or more subsidiaries that issue or guarantee the guaranteed security, provide the following disclosures to the extent material:

- (1) A description of the issuers and guarantors of the guaranteed security;
- (2) A description of the terms and conditions of the guarantees, and how payments to holders of the guaranteed security may be affected by the composition of and relationships among the issuers, guarantors, and subsidiaries of the parent company that are not issuers or guarantors of the guaranteed security;
- (3) A description of other factors that may affect payments to holders of the guaranteed security, such as contractual or statutory restrictions on dividends, guarantee enforceability, or the rights of a noncontrolling interest holder;
- (4) Summarized financial information as specified in §210.1-02(bb)(1) of each issuer and guarantor of the guaranteed security as follows, with an accompanying note that briefly describes the basis of presentation:

- (i) The summarized financial information of each such issuer and guarantor consolidated in the parent company's consolidated financial statements may be presented on a combined basis with the summarized financial information of the parent company;
- (ii) Intercompany balances and transactions between issuers and guarantors whose summarized financial information is presented on a combined basis shall be eliminated;
- (iii) The summarized financial information shall exclude subsidiaries that are not issuers or guarantors. An issuer's or guarantor's investment in a subsidiary that is not an issuer or guarantor shall not be presented. An issuer's or guarantor's amounts due from, amounts due to, and transactions with any of the following shall be presented in separate line items:

(A) Subsidiaries that are not issuers or guarantors; and

(B) Related parties;

(iv) If the information provided in response to the requirements of this section (e.g., factors that may affect payments to holders of the guaranteed security) is applicable to one or more, but not all, issuers and/or guarantors, separately disclose the summarized financial information applicable to those issuers and/or guarantors. In limited circumstances (i.e., where the separate financial information applicable to those issuers and/or guarantors can be easily explained and understood), narrative disclosure may be provided in lieu of the separate summarized financial information otherwise required by this paragraph (a)(4)(iv);

(v) Disclose this summarized financial information as of and for the most recently ended fiscal year and year-to-date interim period included in the parent company's consolidated financial statements; and

(vi) Notwithstanding that a parent company may omit this summarized financial information if not material, it may also be omitted if one of the following in paragraphs (a)(4)(vi)(A) through (D) of this section is true and disclosed. However, paragraph (a)(4)(vi)(A) does not apply if separate disclosure of summarized financial information applicable to one or more, but not all, issuers and/or guarantors is required by paragraph (a)(4)(iv) of this section. For the purposes of this section, a

finance subsidiary is a subsidiary that has no assets or operations other than those related to the issuance, administration and repayment of the security being registered and any other securities guaranteed by its parent company:

(A) The assets, liabilities and results of operations of the combined issuers and guarantors of the guaranteed security are not materially different than corresponding amounts presented in the consolidated financial statements of the parent company;

(B) The combined issuers and guarantors, excluding investments in subsidiaries that are not issuers or guarantors, have no material assets, liabilities or results of operations;

(C) The issuer is a finance subsidiary of the parent company, the parent company has fully and unconditionally guaranteed the security, and no other subsidiary of the parent company guarantees the security; or

(D) The issuer is a finance subsidiary that co-issued the security, jointly and severally, with the parent company, and no other subsidiary of the parent company guarantees the security;

(5) In a Securities Act registration statement filed in connection with the offer and sale of the guaranteed security, if the parent company acquired a significant business after the date of the parent company's most recent balance sheet included in its consolidated financial statements and the acquired business, one or more of the acquired business's subsidiaries, or the acquired business and one or more of its subsidiaries are issuers or guarantors of the guaranteed securities, disclose pre-acquisition summarized financial information as specified in paragraph (a)(4) of this section for each such issuer or guarantor. The acquired business is significant if it meets any of the conditions specified in the definition of significant subsidiary in §210.1-02(w), substituting 20 percent for 10 percent each place it appears therein, based on a comparison of the most recent annual financial statements of the acquired business and the parent company's most recent annual consolidated financial statements filed at or prior to the date of acquisition. The determination of whether a business has been acquired shall be made in accordance with the guidance set forth in §210.11-01(d). Acquisitions of a group of related businesses shall be treated as if they are a single business acquisition for purposes of this comparison. The determination of whether a group of businesses are related shall be made in a manner consistent with §210.3-05(a)(3);

(6) Any financial and narrative information about each guarantor if the information would be material for investors to evaluate the sufficiency of the guarantee; and

(7) Sufficient information so as to make the financial and non-financial information presented not misleading.

(b) The parent company may elect to provide the disclosures required by this section in a footnote to its consolidated financial statements or alternatively, in management's discussion and analysis of financial condition and results of operations described in §229.303 (Item 303 of Regulation S-K) of this chapter. If not otherwise included in the consolidated financial statements or in management's discussion and analysis of financial condition and results of operations, the parent company must include the disclosures in its prospectus immediately following "Risk Factors," if any, or otherwise, immediately following pricing information described in §229.105 (Item 105 of Regulation S-K) of this chapter.

· · > Regulation S-X Rule 13-02, Affiliates Whose Securities Collateralize Securities Registered or Being Registered

470-10-S99-1B The following is the text of Regulation S-X Rule 13-02, Affiliates Whose Securities Collateralize Securities Registered or Being Registered (17 CFR 210.13-02).

The requirements of this section shall apply to each security registered or being registered that is issued on or after January 4, 2021, and to each registered security issued and outstanding before January 4, 2021, for which the registrant had prior to that date provided the financial statements specified in §210.3-16.

(a) For each security subject to Section 13(a) or 15(d) of the Securities Exchange Act of 1934, and for each security the offer and sale of which is being registered under the Securities Act of 1933, that is collateralized by a security of the registrant's affiliate or affiliates, provide the following disclosures to the extent material:

- (1) A description of the securities pledged as collateral and the affiliates whose securities are pledged as collateral;
- (2) A description of the terms and conditions of the collateral arrangement, including the events or circumstances that would require delivery of the collateral;
- (3) A description of the trading market for the affiliate's security pledged as collateral or a statement that there is no market;
- (4) Summarized financial information as specified in §210.1-02(bb)(1) of each affiliate whose securities are pledged as collateral as follows, with an accompanying note that briefly describes the basis of presentation:

(i) The summarized financial information of each such affiliate consolidated in the registrant's financial statements may be presented on a combined basis;

(ii) Intercompany balances and transactions between affiliates whose summarized financial information is presented on a combined basis shall be eliminated;

(iii) An affiliate's amounts due from, amounts due to, and transactions with any of the following shall be presented in separate line items:

(A) The registrant;

(B) Any of the registrant's subsidiaries not included in the summarized financial information of the affiliate(s); and

(C) Related parties;

(iv) If the information provided in response to the requirements of this section (e.g., the trading market for the affiliate's security pledged as collateral or a statement that there is no market) is applicable to one or more, but not all, affiliates, separately disclose the summarized financial information applicable to those affiliates. In limited circumstances (i.e., where the separate financial information applicable to those affiliates can be easily explained and understood), narrative disclosure may be provided in lieu of the separate summarized financial information otherwise required by this paragraph (a)(4)(iv);

(v) Disclose this summarized financial information as of and for the most recently ended fiscal year and year-to-date interim period included in the registrant's consolidated financial statements; and

(vi) Notwithstanding that a registrant may omit this summarized financial information if not material, it may also be omitted if one of the following in paragraph (a)(4)(vi)(A) or (B) of this section is true and disclosed. However, paragraph (a)(4)(vi)(A) does not apply if separate disclosure of summarized financial information applicable to one or more, but not all, affiliates is required by paragraph (a)(4)(iv) of this section:

(A) The assets, liabilities and results of operations of the combined affiliates whose securities are pledged as collateral are not materially different than the corresponding amounts presented in the consolidated financial statements of the registrant; or

(B) The combined affiliates whose securities are pledged as collateral have no material assets, liabilities or results of operations;

(5) In a Securities Act registration statement filed in connection with the offer and sale of the collateralized security, if the registrant acquired a significant business after the date of the registrant's most recent balance sheet included in its consolidated financial statements and the acquired business, one or more of the acquired business's subsidiaries, or the acquired business and one or more of its subsidiaries are affiliates whose securities collateralize the registrant's collateralized security, disclose pre-acquisition summarized financial information as specified in paragraph (a)(4) of this section for each such affiliate. The acquired business is significant if it meets any of the conditions specified in the definition of significant subsidiary in §210.1-02(w), substituting 20 percent for 10 percent each place it appears therein, based on a comparison of the most recent annual financial statements of the acquired business and the registrant's most recent annual consolidated financial statements filed at or prior to the date of acquisition. The determination of whether a business has been acquired shall be made in accordance with the guidance set forth in §210.11-01(d). Acquisitions of a group of related businesses shall be treated as if they are a single business acquisition for purposes of this comparison. The determination of whether a group of businesses are related shall be made in a manner consistent with §210.3-05(a)(3);

(6) Any financial and narrative information about each such affiliate if the information would be material for investors to evaluate the pledge of the affiliate's securities as collateral; and

(7) Sufficient information so as to make the financial and non-financial information presented not misleading.

(b) The registrant may elect to provide the disclosures required by this section in a footnote to its consolidated financial statements or alternatively, in management's discussion and analysis of financial condition and results of operations described in §229.303 (Item 303 of Regulation S-K) of this chapter. If not otherwise included in the consolidated financial statements or in management's discussion and analysis of financial condition and results of operations, the registrant must include the disclosures in its prospectus immediately following "Risk Factors," if any, or otherwise, immediately following pricing information described in §229.105 (Item 105 of Regulation S-K) of this chapter.

[85 FR 22001, Apr. 20, 2020]

> SEC Staff Guidance

· > Staff Accounting Bulletins

·· > SAB Topic 4.A, Subordinated Debt

470-10-S99-2 The following is the text of SAB Topic 4.A, Subordinated Debt.

Facts: Company E proposes to include in its registration statement a balance sheet showing its subordinate debt as a portion of stockholders' equity.

Question: Is this presentation appropriate?

Interpretive Response: Subordinated debt may not be included in the stockholders' equity section of the balance sheet. Any presentation describing such debt as a component of stockholders' equity must be eliminated. Furthermore, any caption representing the combination of stockholders' equity and only subordinated debts must be deleted.

· · > SAB Topic 6.H.2, Classification of Short-term Obligations—Debt Related to Long-Term Projects

470-10-S99-3 The following is the text of SAB Topic 6.H.2, Classification of Short-term Obligations—Debt Related to Long-Term Projects.

Facts: Companies engaging in significant long-term construction programs frequently arrange for revolving cover loans which extend until the completion of long-term construction projects. Such revolving cover loans are typically arranged with substantial financial institutions and typically have the following characteristics:

1. A firm long-term mortgage commitment is obtained for each project.
2. Interest rates and terms are in line with the company's normal borrowing arrangements.
3. Amounts are equal to the expected full mortgage amount of all projects.
4. The company may draw down funds at its option up to the maximum amount of the agreement.
5. The company uses short-term interim construction financing (commercial paper, bank loans, etc.) against the revolving cover loan. Such indebtedness is rolled over or drawn down on the revolving cover loan at the company's option. The company typically has regular bank lines of credit, but these generally are not legally enforceable.

Question: Under FASB ASC Subtopic [470-10](#), Debt—Overall, will the classification of loans such as described above as long-term be acceptable?

Interpretive Response: Where such conditions exist providing for a firm commitment throughout the construction program as well as a firm commitment for permanent mortgage financing, and where there are no contingencies other than the completion of construction, the guideline criteria are met and the borrowing under such a program should be classified as long-term with appropriate disclosure.

· > Comments Made by SEC Observer at Emerging Issues Task Force (EITF) Meetings

· · > SEC Observer Comment: Classification of Subsidiary's Loan Payable in Consolidated Balance Sheet when Subsidiary's and Parent's Fiscal Years Differ

470-10-S99-4 The following is the text of SEC Observer Comment: Classification of Subsidiary's Loan Payable in Consolidated Balance Sheet when Subsidiary's and Parent's Fiscal Years Differ.

Issues periodically occur related to classification of a subsidiary's loan payable in a consolidated balance sheet when the subsidiary's and parent's fiscal years differ. For example, assume that a consolidated balance sheet prepared as of February 29, 1988, comprised of the parent company's balance sheet as of that date and the subsidiary's balance sheet as of December 31, 1987. The subsidiary's balance sheet included a material loan payable to a bank due January 31, 1989. The SEC staff would expect the debt in this case to be classified as current because to do otherwise would result in a material misclassification.

470 Debt

20 Debt with Conversion and Other Options

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

470-20-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Beneficial Conversion Feature Contingently Convertible Instruments	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
Convertible Instruments	Added	Accounting Standards Update No. 2020-06	08/05/2020
Convertible Security	Added	Accounting Standards Update No. 2012-04	10/01/2012
Debt	Superseded	Accounting Standards Update No. 2016-19	12/14/2016
Firm Commitment (2nd def.)	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
Issued, Issuance, or Issuing of an Equity Instrument	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
Not-for-Profit Entity	Added	Accounting Standards Update No. 2020-06	08/05/2020
Probable	Added	Accounting Standards Update No. 2009-15	10/13/2009
Public Business Entity	Added	Accounting Standards Update No. 2020-06	08/05/2020
Public Entity (2nd def.)	Superseded	Accounting Standards Update No. 2020-06	08/05/2020

Security (2nd def.)	Added	Accounting Standards Update No. 2020-06	08/05/2020
Troubled Debt Restructuring	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20-05-1	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-20-05-1	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-20-05-1	Amended	Accounting Standards Update No. 2009-15	10/13/2009
470-20-05-1A	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20-05-4 through 05-7	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-20-05-5	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-20-05-6	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-20-05-7A	Added	Accounting Standards Update No. 2020-06	08/05/2020
470-20-05-8	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-20-05-8A	Added	Accounting Standards Update No. 2020-06	08/05/2020
470-20-05-9	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-20-05-10	Amended	Accounting Standards Update No. 2024-04	11/26/2024
470-20-05-12	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20-05-12A through 05-12C	Added	Accounting Standards Update No. 2009-15	10/13/2009
470-20-05-13	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20-10-1	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20-10-2	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20-15-2	Amended	Accounting Standards Update No. 2020-06	08/05/2020

470-20-15-2	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-20-15-2	Amended	Accounting Standards Update No. 2009-15	10/13/2009
470-20-15-2A through 2D	Added	Accounting Standards Update No. 2020-06	08/05/2020
470-20-15-3 through 15-6	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20-25-1	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-20-25-1	Amended	Accounting Standards Update No. 2009-15	10/13/2009
470-20-25-2	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-20-25-4 through 25-11	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20-25-4	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-20-25-11	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-20-25-11	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-20-25-12	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-20-25-13	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-20-25-14	Added	Accounting Standards Update No. 2020-06	08/05/2020
470-20-25-15	Added	Accounting Standards Update No. 2020-06	08/05/2020
470-20-25-16 through 25-20	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20-25-18	Amended	Maintenance Update 2017-06 	04/07/2017
470-20-25-20A	Added	Accounting Standards Update No. 2009-15	10/13/2009
470-20-25-21	Superseded	Accounting Standards Update No. 2020-06	08/05/2020

through 25-27			
470-20- 30-1	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-20- 30-2	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-20- 30-2	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-20- 30-3 through 30-26	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20- 30-22	Amended	Accounting Standards Update No. 2019-08	11/11/2019
470-20- 30-22 through 30-25	Amended	Accounting Standards Update No. 2018-07	06/20/2018
470-20- 30-26A	Added	Accounting Standards Update No. 2009-15	10/13/2009
470-20- 30-27 through 30-31	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20- 35-1 through 35-5	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20- 35-4	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-20- 35-6	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-20- 35-7 through 35-10	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20- 35-7	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-20- 35-7	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-20- 35-11	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-20- 35-11A	Added	Accounting Standards Update No. 2009-15	10/13/2009
470-20- 35-12	Superseded	Accounting Standards Update No. 2020-06	08/05/2020

through 35-20 470-20- 40-1	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
through 40-3 470-20- 40-4	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-20- 40-4	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-20- 40-4A	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20- 40-5 through 40-7	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-20- 40-11	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-20- 40-13 through 40-17	Amended	Accounting Standards Update No. 2024-04	11/26/2024
470-20- 40-13	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-20- 40-13A	Added	Accounting Standards Update No. 2024-04	11/26/2024
470-20- 40-16	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-20- 40-18	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-20- 40-19 through 40-26	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20- 45-1	Superseded	Accounting Standards Update No. 2015-01	01/09/2015
470-20- 45-1A	Added	Accounting Standards Update No. 2020-06	08/05/2020
470-20- 45-1B	Added	Accounting Standards Update No. 2020-06	08/05/2020
470-20- 45-2	Superseded	Accounting Standards Update No. 2015-01	01/09/2015
470-20- 45-2A	Added	Accounting Standards Update No. 2009-15	10/13/2009
470-20- 45-3	Superseded	Accounting Standards Update No. 2020-06	08/05/2020

470-20-45-3	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-20-50-1	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20-50-1A through 50-1I	Added	Accounting Standards Update No. 2020-06	08/05/2020
470-20-50-2A through 50-2C	Added	Accounting Standards Update No. 2009-15	10/13/2009
470-20-50-2C	Amended	Accounting Standards Update No. 2025-11	12/08/2025
470-20-50-2C	Amended	Accounting Standards Update No. 2024-03	11/04/2024
470-20-50-3 through 50-6	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20-55-1	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20-55-1	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-20-55-1A	Added	Accounting Standards Update No. 2020-06	08/05/2020
470-20-55-1B	Amended	Accounting Standards Update No. 2024-04	11/26/2024
470-20-55-1B	Added	Accounting Standards Update No. 2020-06	08/05/2020
470-20-55-1C	Added	Accounting Standards Update No. 2024-04	11/26/2024
470-20-55-3 through 55-8	Amended	Accounting Standards Update No. 2024-04	11/26/2024
470-20-55-3	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-20-55-4	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-20-55-5	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-20-55-6	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-20-55-7A	Added	Accounting Standards Update No. 2024-04	11/26/2024

470-20-55-9A through 55-9J	Added	Accounting Standards Update No. 2024-04	11/26/2024
470-20-55-10 through 55-17	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20-55-18	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-20-55-19	Amended	Accounting Standards Update No. 2020-06	08/05/2020
470-20-55-19A through 55-66	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20-55-28	Amended	Maintenance Update 2016-05 	04/12/2016
470-20-55-30	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-20-55-69A through 55-69F	Added	Accounting Standards Update No. 2020-06	08/05/2020
470-20-55-69 through 55-82	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
470-20-65-3	Added	Accounting Standards Update No. 2009-15	10/13/2009
470-20-65-4	Added	Accounting Standards Update No. 2024-04	11/26/2024

05 Overview and Background

i General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 470-20-05-1** This Subtopic provides accounting and reporting guidance for debt (and certain preferred stock) with specific conversion features and other options as follows:
- a. Debt instruments with detachable warrants
 - b. Convertible debt instruments
 - c. [Subparagraph superseded by Accounting Standards Update No. 2020-06.](#)
 - d. Interest forfeiture
 - e. Induced conversions
 - f. Conversion upon issuer's exercise of call option
 - g. [Subparagraph superseded by Accounting Standards Update No. 2020-06.](#)
 - h. Own-share lending arrangements issued in contemplation of convertible debt issuance or other financing.

470-20-05-1A [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)

> Debt Instruments with Detachable Warrants

470-20-05-2 Unlike convertible debt, debt with detachable warrants (detachable call options) to purchase stock is usually issued with the expectation that the debt will be repaid when it matures. The provisions of the debt agreement are usually more restrictive on the issuer and more protective of the investor than those for convertible debt. The terms of the warrants are influenced by the desire for a successful debt financing. Detachable warrants often trade separately from the debt instrument. Thus, the two elements of the security exist independently and may be treated as separate securities.

470-20-05-3 From the point of view of the issuer, the sale of a debt security with warrants results in a lower cash interest cost than would otherwise be possible or permits financing not otherwise practicable. The issuer usually cannot force the holders of the warrants to exercise them and purchase the stock. The issuer may, however, be required to issue shares of stock at some future date at a price lower than the market price existing at that time, as is true in the case of the conversion option of convertible debt. Under different conditions the warrants may expire without exercise. The outcome of the warrant feature thus cannot be determined at [time of issuance](#). In either case the debt must generally be paid at maturity or earlier redemption date whether or not the warrants are exercised.

> Convertible Debt Instruments

470-20-05-4 A convertible debt instrument is a complex hybrid instrument bearing an option, the alternative choices of which cannot exist independently of one another. The holder ordinarily does not sell one right and retain the other. Furthermore, the two choices are mutually exclusive; they cannot both be consummated. Thus, the instrument will either be converted or be redeemed. The holder cannot exercise the option to convert unless he forgoes the right to redemption, and vice versa.

470-20-05-5 A convertible debt instrument may offer advantages to both the issuer and the purchaser. From the point of view of the issuer, convertible debt has a lower interest rate than does nonconvertible debt. Furthermore, the issuer of convertible debt instruments, in planning its long-range financing, may view convertible debt as essentially a means of raising equity capital. Thus, if the [fair value](#) of the underlying common stock increases sufficiently in the future, the issuer can force conversion of the convertible debt into common stock by calling the issue for redemption. Under these market conditions, the issuer can effectively terminate the conversion option and eliminate the debt. If the fair value of the stock does not increase sufficiently to result in conversion of the debt, the issuer will have

received the benefit of the cash proceeds to the scheduled maturity dates at a relatively low cash interest cost.

470-20-05-6 On the other hand, the purchaser obtains an option to receive either the face or redemption amount of the instrument or the number of common shares into which the instrument is convertible. If the fair value of the underlying common stock increases above the conversion price, the purchaser (either through conversion or through holding the convertible debt containing the conversion option) benefits through appreciation. The purchaser may at that time require the issuance of the common stock at a price lower than the fair value. However, should the fair value of the underlying common stock not increase in the future, the purchaser has the protection of a debt security. Thus, in the absence of default by the issuer, the purchaser would receive the principal and interest if the conversion option is not exercised.

470-20-05-7 Entities may issue convertible debt instruments that may be convertible into common stock at the lower of a conversion rate fixed at [time of issuance](#) and a fixed discount to the market price of the common stock at the date of conversion.

470-20-05-7A Entities also may issue convertible debt instruments that, by their stated terms, may be settled in cash (or other assets) upon conversion, including partial cash settlement.

470-20-05-8 Certain convertible debt instruments may have a contingently adjustable conversion ratio; that is, a conversion price that is variable based on future events such as any of the following:

- a. A liquidation or a change in control of an entity
- b. A subsequent round of financing at a price lower than the [convertible security's](#) original conversion price
- c. An initial public offering at a share price lower than an agreed-upon amount.

470-20-05-8A Certain convertible debt instruments may become convertible only upon the occurrence of a future event that is outside the control of the issuer or holder.

> Interest Forfeiture

470-20-05-9 When a convertible debt instrument is converted to equity securities, sometimes the terms of conversion provide that any accrued but unpaid interest at the date of conversion is forfeited by the former debt holder. This occurs either because the conversion date falls between interest payment dates or because there are no interest payment dates (a zero coupon convertible debt instrument).

> Induced Conversions

470-20-05-10 Some convertible debt instruments include provisions allowing the debtor to alter terms of the debt to the benefit of debt holders. In some circumstances, conversion privileges for a convertible debt instrument are changed or additional consideration is paid to debt holders for the purpose of inducing prompt conversion of the debt to equity securities (sometimes referred to as a convertible debt sweetener). Such provisions may be general in nature, permitting the debtor or trustee to take actions to protect the interests of the debt holders, or they may be specific, for example, specifically authorizing the debtor to temporarily reduce the conversion price for the purpose of inducing conversion.

 PENDING CONTENT


Transition Date: P December 16, 2025; N December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

Some convertible debt instruments include provisions allowing the debtor to alter terms of the debt to the benefit of debt holders. In some circumstances, conversion privileges for a convertible debt instrument are changed or additional consideration is paid to debt holders for the purpose of inducing prompt conversion of the debt instrument (sometimes referred to as a convertible debt sweetener). Such provisions may be general in nature, permitting the debtor or trustee to take actions to protect the interests of the debt holders, or they may be specific, for example, specifically authorizing the debtor to temporarily reduce the conversion price for the purpose of inducing conversion.

> Conversion Upon Issuer's Exercise of Call Option

470-20-05-11 An entity may issue equity securities to settle a debt instrument that was not otherwise currently convertible but became convertible upon the issuer's exercise of a call option when the issuance of equity securities is pursuant to the instrument's original conversion terms. This Subtopic provides related guidance.

470-20-05-12 [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)

> Own-Share Lending Arrangements Issued in Contemplation of Convertible Debt Issuance or Other Financing

470-20-05-12A An entity for which the cost to an investment banking firm (investment bank) or third-party investors (investors) of borrowing its shares is prohibitive (for example, due to a lack of liquidity or extensive open short positions in the shares) may enter into share-lending arrangements that are executed separately but in connection with a convertible debt offering. Although the convertible debt instrument is ultimately sold to investors, the share-lending arrangement is an agreement between the entity (share lender) and an investment bank (share borrower) and is intended to facilitate the ability of the investors to hedge the conversion option in the entity's convertible debt.

470-20-05-12B The terms of a share-lending arrangement require the entity to issue shares (loaned shares) to the investment bank in exchange for a nominal loan processing fee. Although the loaned shares are legally outstanding, the nominal loan processing fee is typically equal to the par value of the common stock, which is significantly less than the fair value of the loaned shares or the share-lending arrangement. Generally, upon maturity or conversion of the convertible debt, the investment bank is required to return the loaned shares to the entity for no additional consideration.

470-20-05-12C Other terms of a share-lending arrangement typically require the investment bank to reimburse the entity for any dividends paid on the loaned shares. Typically, the arrangement precludes the investment bank from voting on any matters submitted to a vote of the entity's shareholders to the extent the investment bank is the owner of the shares.

Cash Conversion

470-20-05-13 [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)

10 Objectives

- i General Note:** The Objectives Section provides the high-level objectives that the Subtopic is intended to accomplish or attain. The Section does not summarize or discuss the main principles of accounting and reporting requirements.

Cash Conversion

470-20-10-1 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-10-2 Paragraph superseded by Accounting Standards Update No. 2020-06.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Entities

470-20-15-1 The guidance in this Subtopic applies to all entities.

> Instruments

- 470-20-15-2** The guidance in this Subtopic applies to all debt instruments. The guidance on own-share lending arrangements applies to an equity-classified share-lending arrangement on an entity's own shares when executed in contemplation of a convertible debt offering or other financing.
- 470-20-15-2A** The guidance on convertible debt instruments in this Subtopic shall be considered after considering the guidance in the Fair Value Option Subsections of Subtopic [825-10](#) on financial instruments.
- 470-20-15-2B** The guidance on convertible debt instruments in this Subtopic shall be considered after considering the guidance in Subtopic [815-15](#) on bifurcation of embedded derivatives for an embedded conversion option or other embedded feature (for example, an embedded prepayment option) as applicable (see paragraph [815-15-55-76A](#)). The relevant guidance in this Subtopic does not affect an issuer's determination under Subtopic [815-15](#) of whether an embedded conversion option or other embedded feature shall be separately accounted for as a derivative instrument.
- 470-20-15-2C** The guidance in this Subtopic does not apply to a convertible debt instrument award issued to a grantee that is subject to the guidance in Topic [718](#) on stock compensation unless the instrument is modified as described in and no longer subject to the guidance in that Topic. The guidance in this Subtopic does not apply to stock-settled debt that is subject to the guidance in Subtopic [480-10](#) on distinguishing liabilities from equity or other Subtopics (see paragraph [470-20-25-14](#)), unless the stock-settled debt also contains a substantive conversion feature (as discussed in paragraphs [470-20-40-7 through 40-10](#)) for which all relevant guidance in this Subtopic shall be considered in addition to the relevant guidance in other Subtopics.
- 470-20-15-2D** For purposes of determining whether an instrument is within the scope of this Subtopic, a convertible preferred stock shall be considered a convertible debt instrument if it has both of the following characteristics:
- It is a mandatorily redeemable financial instrument.
 - It is classified as a liability under Subtopic [480-10](#).

For related implementation guidance, see paragraph [470-20-55-1A](#).

Cash Conversion

- 470-20-15-3** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-15-4** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-15-5** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-15-6** Paragraph superseded by Accounting Standards Update No. 2020-06.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master

Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Contingently Convertible Instruments

Contingently convertible instruments are instruments that have embedded conversion features that are contingently convertible or exercisable based on either of the following:

- a. A market price trigger
- b. Multiple contingencies if one of the contingencies is a market price trigger and the instrument can be converted or share settled based on meeting the specified market condition.

A market price trigger is a market condition that is based at least in part on the issuer's own share price. Examples of contingently convertible instruments include contingently convertible debt, contingently convertible preferred stock, and the instrument described by paragraph [260-10-45-43](#), all with embedded market price triggers.

Convertible Security

A security that is convertible into another security based on a conversion rate. For example, convertible preferred stock that is convertible into common stock on a two-for-one basis (two shares of common for each share of preferred).

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an [orderly transaction](#) between [market participants](#) at the measurement date.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- a. They are independent of each other, that is, they are not [related parties](#), although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms
- b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- c. They are able to enter into a transaction for the asset or liability
- d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Not-for-Profit Entity

An entity that possesses the following characteristics, in varying degrees, that distinguish it from a business entity:

- a. Contributions of significant amounts of resources from resource providers who do not expect commensurate or proportionate pecuniary return
- b. Operating purposes other than to provide goods or services at a profit
- c. Absence of ownership interests like those of business entities.

Entities that clearly fall outside this definition include the following:

- a. All investor-owned entities
- b. Entities that provide dividends, lower costs, or other economic benefits directly and proportionately to their owners, members, or participants, such as mutual insurance entities, credit unions, farm and rural electric cooperatives, and employee benefit plans.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Probable

The future event or events are likely to occur.

Public Business Entity

A public business entity is a business entity meeting any one of the criteria below. Neither a [not-for-profit entity](#) nor an employee benefit plan is a business entity.

- a. It is required by the U.S. Securities and Exchange Commission (SEC) to file or furnish financial statements, or does file or furnish financial statements (including voluntary filers), with the SEC (including other entities whose financial statements or financial information are required to be or are included in a filing).
- b. It is required by the Securities Exchange Act of 1934 (the Act), as amended, or rules or regulations promulgated under the Act, to file or furnish financial statements with a regulatory agency other than the SEC.
- c. It is required to file or furnish financial statements with a foreign or domestic regulatory agency in preparation for the sale of or for purposes of issuing securities that are not subject to contractual restrictions on transfer.
- d. It has issued, or is a conduit bond obligor for, [securities](#) that are traded, listed, or quoted on an exchange or an over-the-counter market.
- e. It has one or more securities that are not subject to contractual restrictions on transfer, and it is required by law, contract, or regulation to prepare U.S. GAAP financial statements (including notes) and make them publicly available on a periodic basis (for example, interim or annual periods). An entity must meet both of these conditions to meet this criterion.

An entity may meet the definition of a public business entity solely because its financial statements or financial information is included in another entity's filing with the SEC. In that case, the entity is only a public business entity for purposes of financial statements that are filed or furnished with the SEC.

Reasonably Possible

The chance of the future event or events occurring is more than remote but less than likely.

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

Security

A share, participation, or other interest in property or in an entity of the issuer or an obligation of the issuer that has all of the following characteristics:

- a. It is either represented by an instrument issued in bearer or registered form or, if not represented by an instrument, is registered in books maintained to record transfers by or on behalf of the issuer.
- b. It is of a type commonly dealt in on securities exchanges or markets or, when represented by an instrument, is commonly recognized in any area in which it is issued or dealt in as a medium for investment.
- c. It either is one of a class or series or by its terms is divisible into a class or series of shares, participations, interests, or obligations.

Substantive Conversion Feature

A conversion feature that is at least reasonably possible of being exercisable in the future absent the issuer's exercise of a call option.

Time of Issuance

The date when agreement as to terms has been reached and announced, even though the agreement is subject to certain further actions, such as directors' or stockholders' approval.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> Overall

- 470-20-25-1** The guidance in this Section shall be considered after consideration of the guidance in the Fair Value Option Subsections of Subtopic [825-10](#) on financial instruments and the guidance in Subtopic [815-15](#) on bifurcation of embedded derivatives, as applicable. The guidance in this Section is organized as follows:
- a. Debt instruments with detachable warrants
 - b. [Subparagraph superseded by Accounting Standards Update No. 2020-06.](#)
 - c. [Subparagraph superseded by Accounting Standards Update No. 2020-06.](#)
 - d. Convertible debt instruments
 - e. [Subparagraph superseded by Accounting Standards Update No. 2020-06.](#)
 - f. Own-share lending arrangements issued in contemplation of convertible debt issuance.

> Debt Instruments with Detachable Warrants

- 470-20-25-2** Proceeds from the sale of a debt instrument with stock purchase warrants (detachable call options) shall be allocated to the two elements based on the relative [fair values](#) of the debt instrument without the warrants and of the warrants themselves at [time of issuance](#). The portion of the proceeds so allocated to the warrants shall be accounted for as paid-in capital. The remainder of the proceeds

shall be allocated to the debt instrument portion of the transaction. This usually results in a discount (or, occasionally, a reduced premium), which shall be accounted for under Topic [835](#).

- 470-20-25-3** The same accounting treatment applies to issues of debt instruments (issued with detachable warrants) that may be surrendered in settlement of the exercise price of the warrant. However, if stock purchase warrants are not detachable from the debt instrument and the debt instrument must be surrendered to exercise the warrant, the two instruments taken together are substantially equivalent to a convertible debt instrument and the accounting specified in paragraph [470-20-25-12](#) shall apply.
- 470-20-25-4** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-25-5** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-25-6** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-25-7** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-25-8** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-25-9** Paragraph superseded by Accounting Standards Update No. 2020-06.

> Convertible Debt Instruments

- 470-20-25-10** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-25-11** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-25-12** A debt with an embedded conversion feature shall be accounted for in its entirety as a liability and no portion of the proceeds from the issuance of the convertible debt instrument shall be accounted for as attributable to the conversion feature unless the conversion feature is required to be accounted for separately as an embedded derivative under Subtopic [815-15](#) or the conversion feature results in a premium that is subject to the guidance in paragraph [470-20-25-13](#).
- 470-20-25-13** If a convertible debt instrument is issued at a substantial premium, there is a presumption that such premium represents paid-in capital.
- 470-20-25-14** If a debt instrument has a conversion option that continuously resets as the underlying stock price increases or decreases so as to provide a fixed value of common stock to the holder at any conversion date, the instrument shall be considered stock-settled debt that is subject to the guidance in Subtopic [480-10](#) or other Subtopics (such as Subtopic [718-10](#), [815-15](#), or [825-10](#)). Example 4 (see paragraph [470-20-55-18](#)) illustrates application of the guidance in this paragraph.
- 470-20-25-15** If the issuance transaction for a convertible debt instrument within the scope of this Subtopic includes other unstated (or stated) rights or privileges in addition to the convertible debt instrument, a portion of the initial proceeds shall be attributed to those rights and privileges based on the guidance in other applicable U.S. generally accepted accounting principles (GAAP).
- 470-20-25-16** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-25-17** Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-25-18 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-25-19 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-25-20 Paragraph superseded by Accounting Standards Update No. 2020-06.

> Own-Share Lending Arrangements Issued in Contemplation of Convertible Debt Issuance

470-20-25-20A At the date of issuance, a share-lending arrangement entered into on an entity's own shares in contemplation of a convertible debt offering or other financing shall be measured at fair value (in accordance with Topic [820](#)) and recognized as an issuance cost, with an offset to additional paid-in capital in the financial statements of the entity.

Cash Conversion

470-20-25-21 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-25-22 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-25-23 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-25-24 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-25-25 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-25-26 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-25-27 Paragraph superseded by Accounting Standards Update No. 2020-06.

30 Initial Measurement

i General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Debt Instruments with Detachable Warrants

470-20-30-1 The allocation of proceeds under paragraph [470-20-25-2](#) shall be based on the relative [fair values](#) of the two instruments at [time of issuance](#).

470-20-30-2	When detachable warrants (detachable call options) are issued in conjunction with a debt instrument as consideration in purchase transactions, the amounts attributable to each class of instrument issued shall be determined separately, based on values at time of issuance. The debt discount or premium shall be determined by comparing the value attributed to the debt instrument with the face amount thereof.
470-20-30-3	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-4	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-5	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-6	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-7	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-8	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-9	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-10	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-11	Paragraph not used.
470-20-30-12	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-13	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-14	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-15	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-16	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-17	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-18	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-19	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-20	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-21	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-22	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-23	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-24	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-30-25	Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-30-26 Paragraph superseded by Accounting Standards Update No. 2020-06.

> Own-Share Lending Arrangements Issued in Contemplation of Convertible Debt Issuance

470-20-30-26A At the date of issuance, a share-lending arrangement entered into on an entity's own shares in contemplation of a convertible debt offering or other financing shall be measured at fair value in accordance with Topic [820](#).

Cash Conversion

470-20-30-27 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-30-28 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-30-29 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-30-30 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-30-31 Paragraph superseded by Accounting Standards Update No. 2020-06.

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

470-20-35-1 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-35-2 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-35-3 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-35-4 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-35-5 Paragraph superseded by Accounting Standards Update No. 2020-06.

> Interest Expense

- 470-20-35-6** Subtopic [835-10](#) provides overall guidance on accretion and amortization of debt premium or discount and debt issuance costs. This guidance addresses the incremental matter related to interest forfeiture.
- a. [Subparagraph superseded by Accounting Standards Update No. 2020-06.](#)
 - b. [Subparagraph superseded by Accounting Standards Update No. 2020-06.](#)
 - c. [Subparagraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-35-7** [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-35-8** [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-35-9** [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-35-10** [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-35-11** If the terms of conversion of a convertible debt instrument provide that any accrued but unpaid interest at the date of conversion is forfeited by the former debt holder, that interest should be accrued or imputed to the date of conversion of the debt instrument.

> Own-Share Lending Arrangements Issued in Contemplation of Convertible Debt Issuance

- 470-20-35-11A** If it becomes [probable](#) that the counterparty to a share-lending arrangement will default, the issuer of the share-lending arrangement shall recognize an expense equal to the then fair value of the unreturned shares, net of the fair value of probable recoveries, with an offset to additional paid-in capital. The issuer of the share-lending arrangement shall remeasure the fair value of the unreturned shares each reporting period through earnings until the arrangement consideration payable by the counterparty becomes fixed. Subsequent changes in the amount of the probable recoveries should also be recognized in earnings.

Cash Conversion

- 470-20-35-12** [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-35-13** [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-35-14** [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-35-15** [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-35-16** [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-35-17** [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-35-18** [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-35-19** [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)

470-20-35-20 Paragraph superseded by Accounting Standards Update No. 2020-06.

40 Derecognition

- ① **General Note:** The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

470-20-40-1 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-40-2 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-40-3 Paragraph superseded by Accounting Standards Update No. 2020-06.

> Contractual Conversion

470-20-40-4 If a convertible debt instrument accounted for in its entirety as a liability under paragraph 470-20-25-12 is converted into shares, cash (or other assets), or any combination of shares and cash (or other assets), in accordance with the conversion privileges provided in the terms of the instrument, upon conversion the carrying amount of the convertible debt instrument, including any unamortized premium, discount, or issuance costs, shall be reduced by, if any, the cash (or other assets) transferred and then shall be recognized in the capital accounts to reflect the shares issued and no gain or loss is recognized.

470-20-40-4A Paragraph superseded by Accounting Standards Update No. 2020-06.

> Conversion upon Issuer's Exercise of Call Option

- 470-20-40-5** The following guidance addresses accounting for the issuance of equity securities to settle a debt instrument (pursuant to the instrument's original conversion terms) that became convertible upon the issuer's exercise of a call option:
- Substantive conversion feature.** If the debt instrument contained a substantive conversion feature as of [time of issuance](#), the issuance of equity securities shall be accounted for as a contractual conversion. That is, no gain or loss shall be recognized related to the equity securities issued to settle the instrument.
 - No substantive conversion feature.** If the debt instrument did not contain a substantive conversion feature as of time of issuance, the issuance of equity securities shall be accounted for as a debt extinguishment. That is, the [fair value](#) of the equity securities issued should be considered a component of the reacquisition price of the debt.

470-20-40-6 The assessment of whether the conversion feature is substantive may be performed after time of issuance but shall be based only on assumptions, considerations, and marketplace information available as of time of issuance.

· > Determining Whether a Conversion Feature Is Substantive

470-20-40-7 By definition, a substantive conversion feature is at least [reasonably possible](#) of being exercised in the future. If the conversion price of an instrument at issuance is extremely high so that conversion of the instrument is not deemed at least reasonably possible as of time of issuance, then the conversion feature would not be considered substantive.

470-20-40-8 For purposes of determining whether a conversion feature is reasonably possible of being exercised, the assessment of the holder's intent is not necessary. Therefore, even if such an instrument included a conversion feature that provided for conversion due solely to the passage of time (for example, the instrument will become convertible at a date before its maturity date), it would be inappropriate to conclude that the conversion feature is substantive. Also, an instrument that became convertible only upon the issuer's exercise of its call option does not possess a substantive conversion feature.

470-20-40-9 Methods that may be helpful in assessing whether a conversion feature is substantive include the following:

- a. The fair value of the conversion feature relative to the fair value of the debt instrument. Comparing the fair value of a conversion feature to the fair value of the debt instrument (that is, the complete instrument as issued) may provide evidence that the conversion feature is substantive.
- b. The effective annual interest rate per the terms of the debt instrument relative to the estimated effective annual rate of a nonconvertible debt instrument with an equivalent expected term and credit risk. Comparing the effective annual interest rate of the debt instrument to the effective annual rate the issuer estimates it could obtain on a similar nonconvertible instrument may provide evidence that a conversion feature is substantive.
- c. The fair value of the debt instrument relative to an instrument that is identical except for which the conversion option is not contingent. Comparing the fair value of the debt instrument to the fair value of an identical instrument for which conversion is not contingent isolates the effect of the contingencies and may provide evidence about the substance of a conversion feature. If the fair value of the debt instrument is similar to the fair value of an identical convertible debt instrument for which conversion is not contingent, then it may indicate that the conversion feature is substantive. However, this approach may not be appropriate unless it is clear that the conversion feature, not considering the contingencies, is substantive.
- d. Qualitative evaluation of the conversion provisions. The nature of the conditions under which the instrument may become convertible may provide evidence that the conversion feature is substantive. For example, if an instrument may become convertible upon the occurrence of a specified contingent event, the likelihood that the contingent event will occur before the instrument's maturity date may indicate that the conversion feature is substantive. However, this approach may not be appropriate unless it is clear that the conversion feature, not considering the contingencies, is substantive.

470-20-40-10 The guidance in paragraphs [470-20-40-7 through 40-9](#) does not address the treatment of an instrument for purposes of applying Subtopic [260-10](#).

> Interest Forfeiture

470-20-40-11 If the terms of conversion of a convertible debt instrument provide that any accrued but unpaid interest at the date of conversion is forfeited by the former debt holder, accrued interest from the last interest payment date, if applicable, to the date of conversion, net of related income tax effects, if any,

shall be charged to interest expense and credited to capital as part of the cost of securities issued. Thus, the accrued interest is accounted for in the same way as the principal amount of the debt converted and any unamortized premium, discount, or issuance costs; the net carrying amount of the debt, including any unamortized premium, discount, or issuance costs and the related accrual for interest to the date of conversion, net of any related income tax effects, is a credit to the entity's capital.

470-20-40-12 Paragraph not used.

> Induced Conversions

470-20-40-13 The guidance in paragraph [470-20-40-16](#) applies to conversions of convertible debt to equity securities pursuant to terms that reflect changes made by the debtor to the conversion privileges provided in the terms of the debt at issuance (including changes that involve the payment of consideration) for the purpose of inducing conversion. That guidance applies only to conversions that both:

- a. Occur pursuant to changed conversion privileges that are exercisable only for a limited period of time (inducements offered without a restrictive time limit on their exercisability are not, by their structure, changes made to induce prompt conversion)
- b. Include the issuance of all of the equity securities issuable pursuant to conversion privileges included in the terms of the debt at issuance for each debt instrument that is converted, regardless of the party that initiates the offer or whether the offer relates to all debt holders.

PENDING CONTENT



Transition Date:  December 16, 2025;  December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

The guidance in paragraph [470-20-40-16](#) applies to conversions of convertible debt instruments pursuant to terms that reflect changes made by the issuer to the conversion privileges provided in the terms of the existing debt instrument (including changes that involve the payment of consideration) for the purpose of inducing conversion. That guidance applies only to conversions for which all of the following criteria are satisfied:

- a. The conversion occurs pursuant to changed conversion privileges that are exercisable only for a limited period of time (inducements offered without a restrictive time limit on their exercisability are not, by their structure, changes made to induce prompt conversion).
- b. The conversion includes the issuance of all of the consideration (in form and amount) issuable pursuant to conversion privileges provided in the terms of the existing debt instrument for each debt instrument that is converted, regardless of the party that initiates the offer or whether the offer relates to all debt holders. See paragraph [470-20-40-13A](#) for additional guidance applicable to debt instruments whose conversion privileges permit the entity to issue cash (or other assets) or a combination of shares and cash (or other assets) upon conversion. The examples in paragraphs [470-20-55-9A through 55-9J](#) illustrate the application of this guidance.
- c. The existing debt instrument, regardless of whether it is currently convertible, contained a substantive conversion feature as of both the time of issuance and the date the inducement offer is accepted by the convertible debt holder. See paragraphs [470-20-40-6 through 40-10](#) for additional guidance on determining whether a conversion feature is substantive.

470-20-40-13A PENDING CONTENT

Transition Date:  December 16, 2025;  December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

In applying the guidance in paragraph [470-20-40-13\(b\)](#), an entity shall compare the amount of cash (or other assets) and number of shares issuable under the conversion privileges provided in the terms of the existing instrument with the amount of cash (or other assets) and number of shares issuable under the inducement offer. An entity shall consider the following:

- a. For purposes of comparing the amount of cash (or other assets) and number of shares issuable, if the settlement terms under either the existing conversion privileges or the inducement offer are based on a future share price or average of future share prices (such as a volume-weighted average price), then an entity shall use the fair value of the shares as of the date the inducement offer is accepted. For example, the incorporation, elimination, or modification of a volume-weighted average price formula that is based on future share prices does not affect the determination of the amount of cash or number of shares issuable for the induced conversion assessment because the fair value of the shares as of the date the inducement offer is accepted would be used instead of the future volume-weighted average price. A future share price refers to a share price measured after the inducement offer is accepted.
- b. Changes that result in the amount of cash (or other assets) and number of shares being indexed to something other than the future price of the issuer's shares (for example, the fair value of a commodity) shall be considered a change in the form of settlement.
- c. If within the one-year period preceding the date the inducement offer is accepted by the convertible debt holder the existing debt has been exchanged or modified (without being deemed to be substantially different in accordance with the guidance in Subtopic [470-50](#)), then the conversion privileges provided in the debt terms that existed one year before the date the offer is accepted by the convertible debt holder shall be used in place of the conversion privileges provided in the terms of the existing debt instrument.

470-20-40-14

A conversion includes an exchange of a convertible debt instrument for equity securities or a combination of equity securities and other consideration, whether or not the exchange involves legal exercise of the contractual conversion privileges included in terms of the debt. The preceding paragraph also includes conversions pursuant to amended or altered conversion privileges on such instruments, even though they are literally provided in the terms of the debt at issuance.

 PENDING CONTENT

Transition Date:  December 16, 2025;  December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

A conversion includes an exchange of a convertible debt instrument for equity securities or other consideration, whether or not the exchange involves legal exercise of the contractual conversion privileges included in terms of the debt. The guidance in paragraphs [470-20-40-13](#) through [40-13A](#) also applies to conversions pursuant to amended or altered conversion privileges on such instruments, even though the right to amend the terms is provided in the terms of the existing debt instrument.

470-20-40-15

The changed terms may involve any of the following:

- a. A reduction of the original conversion price thereby resulting in the issuance of additional shares of stock
- b. An issuance of warrants or other securities not provided for in the original conversion terms

- c. A payment of cash or other consideration to those debt holders that convert during the specified time period.

The guidance in the following paragraph does not apply to conversions pursuant to other changes in conversion privileges or to changes in terms of convertible debt instruments that are different from those described in this paragraph.

PENDING CONTENT



Transition Date:  December 16, 2025;  December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

The changed terms may involve any of the following:

- A reduction of the conversion price thereby resulting in the issuance of additional shares of stock
- An issuance of warrants or other securities not provided for in the conversion privileges in the terms of the existing instrument
- A payment of cash or other consideration to those debt holders that convert during the specified time period.

The guidance in paragraph [470-20-40-16](#) does not apply to conversions pursuant to other changes in conversion privileges or to changes in terms of convertible debt instruments that are different from those described in this paragraph.

470-20-40-16

If a convertible debt instrument is converted to equity securities of the debtor pursuant to an inducement offer (see paragraph [470-20-40-13](#)), the debtor shall recognize an expense equal to the fair value of all securities and other consideration transferred in the transaction in excess of the fair value of securities issuable pursuant to the original conversion terms. The fair value of the securities or other consideration shall be measured as of the date the inducement offer is accepted by the convertible debt holder. That date normally will be the date the debt holder converts the convertible debt into equity securities or enters into a binding agreement to do so. Until the debt holder accepts the offer, no exchange has been made between the debtor and the debt holder. Example 1 (see paragraph [470-20-55-1B](#)) illustrates the application of this guidance.

PENDING CONTENT



Transition Date:  December 16, 2025;  December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

If a convertible debt instrument is converted pursuant to an inducement offer (see paragraph [470-20-40-13](#)), the issuer shall recognize an expense equal to the fair value of all securities and other consideration transferred in the transaction in excess of the fair value of securities and other consideration issuable pursuant to the conversion privileges provided in the terms of the existing instrument. The fair value of the securities or other consideration shall be measured as of the date the inducement offer is accepted by the convertible debt holder. That date normally will be the date the debt holder converts the convertible debt or enters into a binding agreement to do so. Until the debt holder accepts the offer, no exchange has been made between the issuer and the debt holder. Example 1 (see paragraph [470-20-55-1B](#)) illustrates the application of this guidance.

470-20-40-17

The guidance in the preceding paragraph does not require recognition of gain or loss with respect to the shares issuable pursuant to the original conversion privileges of the convertible debt when additional securities or assets are transferred to a debt holder to induce prompt conversion of the debt to equity securities. In a conversion pursuant to original conversion terms, debt is extinguished in

exchange for equity pursuant to a preexisting contract that is already recognized in the financial statements, and no gain or loss is recognized upon conversion.

 PENDING CONTENT



Transition Date:  December 16, 2025;  December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

The guidance in paragraph [470-20-40-16](#) does not require recognition of gain or loss with respect to the shares (or other consideration) issuable pursuant to the conversion privileges provided in the terms of the existing convertible debt instrument when additional securities, instruments, or assets are transferred to a debt holder to induce prompt conversion of the existing debt instrument. In a conversion pursuant to the conversion privileges provided in the terms of the existing instrument, debt is settled in exchange for shares, cash (or other assets), or any combination of shares and cash (or other assets) pursuant to a preexisting contract that is already recognized in the financial statements, and no gain or loss is recognized upon conversion.

> Modifications and Extinguishments

470-20-40-18 For additional guidance on modifications (or exchanges) and extinguishments of convertible debt instruments, see Subtopic [470-50](#).

Cash Conversion

- 470-20-40-19** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-40-20** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-40-21** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-40-22** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-40-23** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-40-24** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-40-25** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-40-26** Paragraph superseded by Accounting Standards Update No. 2020-06.

45 Other Presentation Matters

 **General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation

Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

 [Related Proposed ASUs](#)

470-20-45-1 [Paragraph superseded by Accounting Standards Update No. 2015-01.](#)

470-20-45-1A Transaction costs incurred with third parties other than the investor(s) and that directly relate to the issuance of convertible debt instruments within the scope of this Subtopic shall be reported in accordance with the guidance in Section [835-30-45](#).

470-20-45-1B The guidance on convertible debt instruments in this Subtopic does not affect an issuer's determination of whether the instruments should be classified as a current liability or a long-term liability. For purposes of applying other applicable U.S. generally accepted accounting principles (GAAP) to make that determination, all terms of the convertible debt instrument shall be considered.

470-20-45-2 [Paragraph superseded by Accounting Standards Update No. 2015-01.](#)

> Own-Share Lending Arrangements Issued in Contemplation of Convertible Debt Issuance

470-20-45-2A Loaned shares are excluded from basic and diluted earnings per share unless default of the share-lending arrangement occurs, at which time the loaned shares would be included in the basic and diluted earnings-per-share calculation. If dividends on the loaned shares are not reimbursed to the entity, any amounts, including contractual (accumulated) dividends and participation rights in undistributed earnings, attributable to the loaned shares shall be deducted in computing income available to common shareholders, in a manner consistent with the two-class method in paragraph [260-10-45-60B](#).

Cash Conversion

 [Related Proposed ASUs](#)

470-20-45-3 [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)

50 Disclosure

 **General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

470-20-50-1 [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)

> Convertible Debt Instruments

470-20-50-1A The objective of the disclosure about convertible debt instruments is to provide users of financial statements with:

- Information about the terms and features of convertible debt instruments
- An understanding of how those instruments have been reported in an entity's statement of financial position and statement of financial performance
- Information about events, conditions, and circumstances that can affect how to assess the amount or timing of an entity's future cash flows related to those instruments.

470-20-50-1B An entity shall explain the pertinent rights and privileges of each convertible debt instrument outstanding, including, but not limited to, the following information:

- Principal amount
- Coupon rate
- Conversion or exercise prices or rates and number of shares into which the instrument is potentially convertible
- Pertinent dates, such as conversion date(s) and maturity date
- Parties that control the conversion rights
- Manner of settlement upon conversion and any alternative settlement methods, such as cash, shares, or a combination of cash and shares
- Terms that may change conversion or exercise prices, number of shares to be issued, or other conversion rights and the timing of those rights (excluding standard antidilution provisions)
- Liquidation preference and unusual voting rights, if applicable
- Other material terms and features of the instrument that are not listed above.

470-20-50-1C An entity shall provide the following incremental information for [contingently convertible instruments](#) or the instruments that are described in paragraphs [470-20-05-8 through 05-8A](#):

- Events or changes in circumstances that would adjust or change the contingency or would cause the contingency to be met
- Information on whether the shares that would be issued if the contingently convertible securities were converted are included in the calculation of diluted earnings per share (EPS) and the reasons why or why not
- Other information that is helpful in understanding both the nature of the contingencies and the potential impact of conversion.

470-20-50-1D An entity shall disclose the following information for each convertible debt instrument as of each date for which a statement of financial position is presented.

- The unamortized premium, discount, or issuance costs and, if applicable, the premium amount recorded as paid-in capital in accordance with paragraph [470-20-25-13](#)
- The net carrying amount
- For [public business entities](#), the [fair value](#) of the entire instrument and the level of the fair value hierarchy in accordance with paragraphs [825-10-50-10 through 50-15](#).

See Example 11 (paragraph [470-20-55-69A](#)) for an illustration of this disclosure requirement.

470-20-50-1E

An entity shall disclose the following information as of the date of the latest statement of financial position presented:

- a. Changes to conversion or exercise prices that occur during the reporting period other than changes due to standard antidilution provisions
- b. Events or changes in circumstances that occur during the reporting period that cause conversion contingencies to be met or conversion terms to be significantly changed
- c. Number of shares issued upon conversion, exercise, or satisfaction of required conditions during the reporting period
- d. Maturities and sinking fund requirements for convertible debt instruments for each of the five years following the date of most recent statement of financial position presented in accordance with paragraph [470-10-50-1](#).

470-20-50-1F

An entity shall disclose the following information about interest recognized for each period for which a statement of financial performance is presented:

- a. The effective interest rate for the period
- b. The amount of interest recognized for the period disaggregated by both of the following (see Example 12 [paragraph [470-20-55-69D](#)] for an illustration of this disclosure requirement):
 1. The contractual interest expense
 2. The amortization of the premium, discount, or issuance costs.

470-20-50-1G

If the conversion option of a convertible debt instrument is accounted for as a derivative in accordance with Subtopic [815-15](#), an entity shall provide disclosures in accordance with Topic [815](#) for the conversion option in addition to the disclosures required by this Section, if applicable.

470-20-50-1H

If a convertible debt instrument is measured at fair value in accordance with the Fair Value Option Subsections of Subtopic [825-10](#), an entity shall provide disclosures in accordance with Subtopic [820-10](#) and Subtopic [825-10](#) in addition to the disclosures required by this Section, if applicable.

470-20-50-1I

An entity shall disclose the following information about derivative transactions entered into in connection with the issuance of convertible debt instruments within the scope of this Subtopic regardless of whether such derivative transactions are accounted for as assets, liabilities, or equity instruments:

- a. The terms of those derivative transactions (including the terms of settlement)
- b. How those derivative transactions relate to the instruments within the scope of this Subtopic
- c. The number of shares underlying the derivative transactions
- d. The reasons for entering into those derivative transactions.

An example of a derivative transaction entered into in connection with the issuance of a convertible debt instrument within the scope of this Subtopic is the purchase of call options that are expected to substantially offset changes in the fair value or the potential dilutive effect of the conversion option. Derivative instruments also are subject to the disclosure guidance in Topic [815](#).

> EPS**470-20-50-2**

For disclosures about securities in relationship to earnings per share (EPS) disclosures, see paragraph [260-10-50-1\(c\)](#).

> Own-Share Lending Arrangements Issued in Contemplation of Convertible Debt Issuance

- 470-20-50-2A** An entity that enters into a share-lending arrangement on its own shares in contemplation of a convertible debt offering or other financing shall disclose all of the following. The disclosures must be made on an annual and interim basis in any period in which a share-lending arrangement is outstanding.
- a. A description of any outstanding share-lending arrangements on the entity's own stock
 - b. All significant terms of the share-lending arrangement including all of the following:
 - 1. The number of shares
 - 2. The term
 - 3. The circumstances under which cash settlement would be required
 - 4. Any requirements for the counterparty to provide collateral.
 - c. The entity's reason for entering into the share-lending arrangement
 - d. The fair value of the outstanding loaned shares as of the balance sheet date
 - e. The treatment of the share-lending arrangement for the purposes of calculating earnings per share
 - f. The unamortized amount of the issuance costs associated with the share-lending arrangement at the balance sheet date
 - g. The classification of the issuance costs associated with the share-lending arrangement at the balance sheet date
 - h. The amount of interest cost recognized relating to the amortization of the issuance cost associated with the share-lending arrangement for the reporting period
 - i. Any amounts of dividends paid related to the loaned shares that will not be reimbursed.
- 470-20-50-2B** An entity that enters into a share-lending arrangement on its own shares in contemplation of a convertible debt offering or other financing shall also make the disclosures required by Topic [505](#).
- 470-20-50-2C** In the period in which an entity concludes that it is [probable](#) that the counterparty to its share-lending arrangement will default, the entity shall disclose the amount of expense reported in the statement of earnings related to the default. The entity shall disclose in any subsequent period any material changes in the amount of expense as a result of changes in the fair value of the entity's shares or the probable recoveries. If default is probable but has not yet occurred, the entity shall disclose the number of shares related to the share-lending arrangement that will be reflected in basic and diluted earnings per share when the counterparty defaults.

 PENDING CONTENT

Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [220-40-65-1](#)

In the period in which an entity concludes that it is **probable** that the counterparty to its share-lending arrangement will default, the entity shall disclose the amount of expense reported in the statement of earnings related to the default. The entity shall disclose in any subsequent period any material changes in the amount of expense as a result of changes in the fair value of the entity's shares or the probable recoveries. If default is probable but has not yet occurred, the entity shall disclose the number of shares related to the share-lending arrangement that will be reflected in basic and diluted earnings per share when the counterparty defaults. See paragraphs [220-40-50-21 through 50-25](#) for additional disclosure requirements.

 PENDING CONTENT

Transition Date:  December 16, 2027;  December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

In the interim or annual reporting period in which an entity concludes that it is **probable** that the counterparty to its share-lending arrangement will default, the entity shall disclose the amount of expense reported in the statement of earnings related to the default. The entity shall disclose in any subsequent interim and annual reporting periods any material changes in the amount of expense as a result of changes in the fair value of the entity's shares or the probable recoveries. If default is probable but has not yet occurred, the entity shall disclose the number of shares related to the share-lending arrangement that will be reflected in basic and diluted earnings per share when the counterparty defaults. See paragraphs [220-40-50-21 through 50-25](#) for additional disclosure requirements.

Cash Conversion

470-20-50-3 [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)

470-20-50-4 [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)

470-20-50-5 [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)

470-20-50-6 [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)

55 Implementation Guidance and Illustrations

 **General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not

address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

470-20-55-1 Paragraph superseded by Accounting Standards Update No. 2020-06.

> Implementation Guidance

· > Scope Application to a Convertible Preferred Stock

470-20-55-1A An example of a convertible preferred stock that paragraph [470-20-15-2D](#) requires an entity consider as a convertible debt instrument for purposes of the scope application of this Subtopic is a convertible preferred stock that has a stated redemption date and also would require the issuer to settle the face amount of the instrument in cash upon exercise of the conversion option. Such a convertible preferred stock is a mandatorily redeemable financial instrument and is classified as a liability under Subtopic [480-10](#) because it embodies an unconditional obligation to redeem the instrument by transferring assets at a specified or determinable date (or dates).

> Illustrations

· > Example 1: Induced Conversions of Convertible Securities

470-20-55-1B The following Cases illustrate application of the guidance in paragraph [470-20-40-16](#) to induced conversions of convertible securities:

- a. Reduced conversion price for conversion before determination date, increase in bond fair value (Case A)
- b. Reduced conversion price for conversion before determination date, decrease in bond fair value (Case B).

 PENDING CONTENT



Transition Date:  December 16, 2025;  December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

The Cases in paragraphs [470-20-55-3 through 55-9](#) illustrate application of the guidance in paragraph [470-20-40-16](#) for measuring an expense when a convertible debt instrument is converted pursuant to an inducement offer:

- a. Reduced conversion price for conversion, increase in bond fair value (Case A)
- b. Reduced conversion price for conversion, decrease in bond fair value (Case B).

470-20-55-1C

 PENDING CONTENT



Transition Date: P December 16, 2025; N December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

The Cases in paragraphs [470-20-55-9A through 55-9J](#) illustrate application of the guidance in paragraphs [470-20-40-13\(b\)](#) and [470-20-40-13A](#) for determining whether an inducement offer includes the issuance of all of the consideration (in form and amount) issuable pursuant to conversion privileges provided in the terms of the existing debt instrument:

- a. Offer to settle convertible debt instrument in cash and warrants (Case C)
- b. Offer to settle convertible debt instrument in cash and shares (Case D)
- c. Offer to settle convertible debt instrument in shares and warrants (Case E).

470-20-55-2 For simplicity, the face amount of each security is assumed to be equal to its carrying amount in the financial statements (that is, no original issue premium or discount exists).

· > Case A: Reduced Conversion Price for Conversion before Determination Date—Bond Fair Value Increased

470-20-55-3 On January 1, 19X4, Entity A issues a \$1,000 face amount 10 percent convertible bond maturing December 31, 20X3. The carrying amount of the bond in the financial statements of Entity A is \$1,000, and it is convertible into common shares of Entity A at a conversion price of \$25 per share. On January 1, 19X6, the convertible bond has a fair value of \$1,700. To induce convertible bondholders to convert their bonds promptly, Entity A reduces the conversion price to \$20 for bondholders that convert before February 29, 19X6 (within 60 days).

 PENDING CONTENT



Transition Date: P December 16, 2025; N December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

***Editor's Note:** The heading that precedes paragraph 470-20-55-3 will be amended upon transition as shown below. The content of the paragraph will not change.*

· · > Case A: Reduced Conversion Price, Increase in Bond Fair Value

On January 1, 19X4, Entity A issues a \$1,000 face amount 10 percent convertible bond maturing December 31, 20X3. The carrying amount of the bond in the financial statements of Entity A is \$1,000, and it is convertible into common shares of Entity A at a conversion price of \$25 per share. On January 1, 19X6, the convertible bond has a fair value of \$1,700. To induce convertible bondholders to convert their bonds promptly, Entity A reduces the conversion price to \$20 for bondholders that convert before February 29, 19X6 (within 60 days).

470-20-55-4 Assuming the market price of Entity A's common stock on the date of conversion is \$40 per share, the fair value of the incremental consideration paid by Entity A upon conversion is calculated as follows for each \$1,000 bond that is converted before February 29, 19X6.

Value of securities issued ^(a)	\$ 2,000
Value of securities issuable pursuant to original conversion privileges ^(b)	1,600
Fair value of incremental consideration	<u>\$ 400</u>
(a) Value of securities issued to debt holders is computed as follows:	
Face amount	\$ 1,000
÷ New conversion price	÷ \$ 20 per share
Number of common shares issued upon conversion	50 shares
× Price per common share	× \$ 40 per share
Value of securities issued	<u>\$ 2,000</u>
(b) Value of securities issuable pursuant to original conversion privileges is computed as follows:	
Face amount	\$ 1,000
÷ Original conversion price	÷ \$ 25 per share
Number of common shares issuable pursuant to original conversion privileges	40 shares
× Price per common share	× \$ 40 per share
Value of securities issuable pursuant to original conversion privileges	<u>\$ 1,600</u>

 PENDING CONTENT



Transition Date: P December 16, 2025; N December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

Assuming the market price of Entity A's common stock on the date the inducement offer was accepted is \$40 per share, the fair value of the incremental consideration that will be paid by Entity A is calculated as follows for each \$1,000 bond that is converted before February 29, 19X6.

Value of securities issued ^(a)	\$ 2,000
Value of securities issued pursuant to existing conversion privileges ^(b)	1,600
Fair value of incremental consideration	<u>\$ 400</u>
(a) Value of securities issued to debt holders is computed as follows:	
Face amount	\$ 1,000
÷ New conversion price	÷ \$ 20 per share
Number of common shares issued upon conversion	50 shares
× Price per common share	× \$ 40 per share
Value of securities issued	<u>\$ 2,000</u>
(b) Value of securities issuable pursuant to existing conversion privileges is computed as follows:	
Face amount	\$ 1,000
÷ Existing conversion price	÷ \$ 25 per share
Number of common shares issuable pursuant to existing conversion privileges	40 shares
× Price per common share	× \$ 40 per share
Value of securities issuable pursuant to existing conversion privileges	<u>\$ 1,600</u>

470-20-55-5

Therefore, Entity A records debt conversion expense equal to the fair value of the incremental consideration paid as follows.

	Debit	Credit
Convertible debt	\$1,000	
Debt conversion expense	400	
Common stock		\$1,400

 PENDING CONTENT



Transition Date: P December 16, 2025; N December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

Entity A concludes that it meets all of the criteria in paragraph [470-20-40-13](#). Therefore, upon conversion, Entity A records debt conversion expense equal to the fair value of the incremental consideration paid as follows.

	Debit	Credit
Convertible debt	\$1,000	
Debt conversion expense	400	
Common stock		\$1,400

· > Case B: Reduced Conversion Price for Conversion before Determination Date—Bond Fair Value Decreased

470-20-55-6 On January 1, 19X1, Entity B issues a \$1,000 face amount 4 percent convertible bond maturing December 31, 20X0. The carrying amount of the bond in the financial statements of Entity B is \$1,000, and it is convertible into common shares of Entity B at a conversion price of \$25. On June 1, 19X4, the convertible bond has a fair value of \$500. To induce convertible bondholders to convert their bonds promptly, Entity B reduces the conversion price to \$20 for bondholders that convert before July 1, 19X4 (within 30 days).

 PENDING CONTENT 

Transition Date:  December 16, 2025;  December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

***Editor's Note:** The heading that precedes paragraph 470-20-55-6 will be amended upon transition as shown below. The content of the paragraph will not change.*

· · > **Case B: Reduced Conversion Price, Decrease in Bond Fair Value**

On January 1, 19X1, Entity B issues a \$1,000 face amount 4 percent convertible bond maturing December 31, 20X0. The carrying amount of the bond in the financial statements of Entity B is \$1,000, and it is convertible into common shares of Entity B at a conversion price of \$25. On June 1, 19X4, the convertible bond has a fair value of \$500. To induce convertible bondholders to convert their bonds promptly, Entity B reduces the conversion price to \$20 for bondholders that convert before July 1, 19X4 (within 30 days).

470-20-55-7 Assuming the market price of Entity B's common stock on the date of conversion is \$12 per share, the fair value of the incremental consideration paid by Entity B upon conversion is calculated as follows for each \$1,000 bond that is converted before July 1, 19X4.

Value of securities issued ^(a)	\$ 600
Value of securities issuable pursuant to original conversion privileges ^(b)	480
Fair value of incremental consideration	<u>\$ 120</u>
(a) Value of securities issued to debt holders is computed as follows:	
Face amount	\$ 1,000
÷ New conversion price	÷ \$ 20 per share
Number of common shares issued upon conversion	50 shares
× Price per common share	× \$ 12 per share
Value of securities issued	<u>\$ 600</u>
(b) Value of securities issuable pursuant to original conversion privileges is computed as follows:	
Face amount	\$ 1,000
÷ Original conversion price	÷ \$ 25 per share
Number of common shares issuable pursuant to original conversion privileges	40 shares
× Price per common share	× \$ 12 per share
Value of securities issuable pursuant to original conversion privileges	<u>\$ 480</u>

PENDING CONTENT



Transition Date: P December 16, 2025; N December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

Assuming the market price of Entity B's common stock on the date the inducement offer was accepted is \$12 per share, the fair value of the incremental consideration that will be paid by Entity B is calculated as follows for each \$1,000 bond that is converted before July 1, 19X4.

Value of securities issued ^(a)	\$ 600
Value of securities issued pursuant to existing conversion privileges ^(b)	480
Fair value of incremental consideration	<u>\$ 120</u>
(a) Value of securities issued to debt holders is computed as follows:	
Face amount	\$ 1,000
+ New conversion price	+ \$ 20 per share
Number of common shares issued upon conversion	50 shares
x Price per common share	x \$ 12 per share
Value of securities issued	<u>\$ 600</u>
(b) Value of securities issuable pursuant to existing conversion privileges is computed as follows:	
Face amount	\$ 1,000
+ Existing conversion price	+ \$ 25 per share
Number of common shares issuable pursuant to existing conversion privileges	40 shares
x Price per common share	x \$ 12 per share
Value of securities issuable pursuant to existing conversion privileges	<u>\$ 480</u>

470-20-55-7A

PENDING CONTENT



Transition Date: P December 16, 2025; N December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

Entity B is required to assess whether the criteria in paragraph [470-20-40-13](#) are met, including whether the conversion feature is substantive (in accordance with the guidance in paragraphs [470-20-40-6 through 40-10](#)) as of both the time of issuance and the date the inducement offer is accepted by the convertible debt holder. If Entity B concludes that, on the basis of its facts and circumstances, all of the criteria in paragraph [470-20-40-13](#) are met, then it would account for the transaction as illustrated in paragraph [470-20-55-8](#). If Entity B determines that the criteria in paragraph [470-20-40-13](#) are not met, it should not account for the settlement transaction as an induced conversion.

470-20-55-8

Therefore, Entity B records debt conversion expense equal to the fair value of the incremental consideration paid as follows.

	Debit	Credit
Convertible debt	\$1,000	
Debt conversion expense	120	
Common stock		\$1,120

 PENDING CONTENT



Transition Date: P December 16, 2025; N December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

If Entity B determines that the criteria in paragraph [470-20-40-13](#) are met, upon conversion, Entity B would record debt conversion expense equal to the fair value of the incremental consideration paid as follows.

	Debit	Credit
Convertible debt	\$1,000	
Debt conversion expense	120	
Common stock		\$1,120

470-20-55-9 The same accounting would apply if, instead of reducing the conversion price, Entity B issued shares pursuant to a tender offer of 50 shares of its common stock for each \$1,000 bond surrendered to the entity before July 1, 19X4. See paragraph [470-20-40-14](#).

· > Case C: Offer to Settle Convertible Debt Instrument in Cash and Warrants

470-20-55-9A

 PENDING CONTENT



Transition Date: P December 16, 2025; N December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

On January 1, 2X24, Entity A issues a \$1,000 face amount 10 percent convertible bond maturing December 31, 2X33. The bond has a conversion price of \$25 per share. The terms of the existing instrument require that, upon conversion, the issuer settle the principal in cash and the conversion premium in any combination of cash and shares. Under the existing conversion privileges, the total amount of cash (or the total value of the cash and shares) required to be issued upon conversion equals the product of 40 shares per \$1,000 bond and a volume-weighted average price of Entity A's common stock. The volume-weighted average price is calculated over a period of 40 days beginning the day after the holder notifies the issuer that it will convert the debt instrument. On May 15, 2X27, to induce convertible bondholders to convert their bonds promptly, Entity A offers the following consideration in exchange for each \$1,000 bond that is converted within 60 days (for purposes of this Example, assume the offer meets the other criteria in paragraph [470-20-40-13](#) and that the offer is accepted by bondholders on June 1, 2X27):

- a. A cash payment equal to 40 shares multiplied by the volume-weighted average price of Entity A's common stock calculated over a period of 15 days (beginning the day after the holder accepts the inducement offer)
- b. Five warrants (offered as a sweetener). Each warrant enables the holder to acquire a share of Entity A's common stock at a fixed exercise price of \$40. The warrants are exercisable upon issuance and expire five years after issuance.

470-20-55-9B PENDING CONTENT

Transition Date:  December 16, 2025;  December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

Assume that the fair value of Entity A's common stock on the date the inducement offer was accepted (June 1, 2X27) is \$40 per share. To evaluate whether the inducement offer meets the criterion in paragraph [470-20-40-13\(b\)](#), Entity A would compare the form and amount of consideration offered with the form and amount of consideration that would be issued upon conversion pursuant to the terms of the existing instrument. The conversion privileges in the existing instrument require Entity A to settle the principal in cash and permit Entity A to settle the conversion premium in any combination of cash and shares.

470-20-55-9C PENDING CONTENT

Transition Date:  December 16, 2025;  December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

In this Case, the inducement offer includes the form (entirely cash) and amount (\$1,600) of consideration required to settle both the principal (\$1,000) and the conversion premium (\$600) pursuant to the conversion privileges provided in the terms of the existing debt instrument. The amount of \$1,600 is the product of 40 shares and the fair value of Entity A's shares at the offer acceptance date (\$40).

470-20-55-9D

 PENDING CONTENT



Transition Date:  December 16, 2025;  December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

The offer of warrants to induce conversion does not affect the assessment of whether the inducement offer includes the form and amount of consideration issuable under the existing conversion privileges because the existing conversion privileges did not provide for the issuance of warrants (however, the offer of warrants as a sweetener affects the measurement of the debt conversion expense recognized in accordance with paragraph [470-20-40-16](#)). Similarly, the fact that the inducement offer changes the number of days over which the volume-weighted average price of Entity A's shares is measured does not affect whether the inducement offer includes the amount of consideration issuable under the existing conversion privileges because Entity A would use the fair value of its common stock as of the offer acceptance date to calculate the amount of cash payable under both the conversion privileges in the existing instrument and the inducement offer in accordance with paragraph [470-20-40-13A\(a\)](#). Therefore, the inducement offer satisfies the criterion in paragraph [470-20-40-13\(b\)](#).

Consideration Issuable Pursuant to Existing Conversion Privileges	
Principal	
Cash	\$ 1,000
Conversion premium	
Any combination of cash and shares with a total value of \$600. If \$600 of the conversion premium is settled in cash, then the conversion premium would be settled as follows:	
Cash and	\$ 600
Shares ^(a)	0 shares
Consideration Issuable Pursuant to Inducement Offer	
Cash and	\$ 1,600
Warrants	5 warrants
(a) Number of shares issuable pursuant to existing conversion privileges is computed as follows:	
Value of 40 shares (40 shares × \$40 per share as of the offer acceptance date)	\$ 1,600
– Face amount	– \$ 1,000
Value of conversion premium	<u>\$ 600</u>
Value of conversion premium	\$ 600
Amount of conversion premium settled in cash	– \$ 600
Value of conversion premium to be settled in shares	<u>\$ 0</u>

· > Case D: Offer to Settle Convertible Debt Instrument in Cash and Shares

470-20-55-9E

 PENDING CONTENT



Transition Date:  December 16, 2025;  December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

Assume the same facts as in Case C, except that Entity A offers the following consideration (instead of the consideration listed in paragraph [470-20-55-9A](#)):

- a. A cash payment of \$1,400
- b. Ten shares of Entity A's common stock.

470-20-55-9F

 PENDING CONTENT



Transition Date: P December 16, 2025; N December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

To evaluate whether the inducement offer meets the criterion in paragraph [470-20-40-13\(b\)](#), Entity A would compare the form and amount of consideration offered with the form and amount of consideration that would be issued upon conversion pursuant to the terms of the existing instrument. The conversion privileges in the terms of the existing instrument require Entity A to settle the principal in cash and permit Entity A to settle the conversion premium in any combination of cash and shares.

470-20-55-9G

 PENDING CONTENT



Transition Date: P December 16, 2025; N December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

In this Case, the inducement offer includes the form (cash) and amount (\$1,000) of consideration required to settle the principal pursuant to the conversion privileges provided in the terms of the existing debt instrument. Under the existing conversion privileges, the remaining settlement value of \$600 can be settled in any combination of cash and shares. If \$400 (\$1,400 total cash payment – \$1,000 principal) of the conversion premium is settled in cash, then the inducement offer must provide for at least 5 shares (\$200 remaining conversion premium ÷ \$40 share price) of Entity A’s common stock to provide the same form (cash and shares) and at least the same amount of cash and shares that would have been provided under the conversion privileges of the existing instrument. Because the inducement offer illustrated in Case D includes 10 shares, it would satisfy the criterion in paragraph [470-20-40-13\(b\)](#). The fact that the inducement offer eliminates the volume-weighted average price formula contained in the existing conversion privileges and instead offers a specified amount of cash and shares does not affect whether the inducement offer includes the amount of consideration issuable under the existing conversion privileges because Entity A would use the fair value of its common stock as of the offer acceptance date to calculate the amount of cash payable and shares issuable under the conversion privileges in the existing instrument in accordance with paragraph [470-20-40-13A\(a\)](#).

Consideration Issuable Pursuant to Existing Conversion Privileges	
Principal	
Cash	\$ 1,000
Conversion premium	
Any combination of cash and shares with a total value of \$600. If \$400 of the conversion premium is settled in cash, then the conversion premium would be settled as follows:	
Cash and	\$ 400
Shares ^(a)	5 shares
Consideration Issuable Pursuant to Inducement Offer	
Cash and	\$ 1,400
Shares	10 shares
(a) Number of shares issuable pursuant to existing conversion privileges is computed as follows:	
Value of 40 shares (40 shares × \$40 per share as of the offer acceptance date)	\$ 1,600
– Face amount	– \$ 1,000
Value of conversion premium	<u>\$ 600</u>
Value of conversion premium	\$ 600
Amount of conversion premium settled in cash	– \$ 400
Value of conversion premium to be settled in shares	<u>\$ 200</u>
Value of conversion premium to be settled in shares	\$ 200
÷ Price per share (as of the offer acceptance date)	÷ \$ 40
Number of shares issued to satisfy conversion premium	<u>5 shares</u>

· > Case E: Offer to Settle Convertible Debt Instrument in Shares and Warrants

470-20-55-9H

 PENDING CONTENT 

Transition Date:  December 16, 2025;  December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

Assume the same facts as in Case C, except that Entity A offers the following consideration (instead of the consideration listed in paragraph [470-20-55-9A](#)):

- a. Forty shares of Entity A's common stock
- b. Five warrants (offered as a sweetener). Each warrant enables the holder to acquire a share of Entity A's common stock at a fixed exercise price of \$40. The warrants are exercisable upon issuance and expire five years after issuance.

470-20-55-9I

 PENDING CONTENT 

Transition Date:  December 16, 2025;  December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

To evaluate whether the inducement offer meets the criterion in paragraph [470-20-40-13\(b\)](#), Entity A would compare the form and amount of consideration offered with the form and amount of consideration that would be issued upon conversion pursuant to the terms of the existing instrument. The conversion privileges in the terms of the existing instrument require Entity A to settle the principal in cash and permit Entity A to settle the conversion premium in any combination of cash and shares.

470-20-55-9J

 PENDING CONTENT 

Transition Date:  December 16, 2025;  December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

In contrast to Case C and Case D, the inducement offer does not include the issuance of all the consideration (in form and amount) issuable pursuant to the conversion privileges included in the terms of the existing instrument. The terms of the existing instrument require settlement of the principal amount in cash, but Entity A did not offer cash consideration in the inducement offer. Therefore, Entity A would conclude that the criterion in paragraph [470-20-40-13\(b\)](#) is not satisfied.

470-20-55-10 [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)

470-20-55-11 [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)

470-20-55-12 [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)

470-20-55-13 [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)

470-20-55-14 [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)

470-20-55-15 [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)

470-20-55-16 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-17 Paragraph superseded by Accounting Standards Update No. 2020-06.

· > Example 4: Stock-Settled Debt

470-20-55-18 This Example illustrates the guidance in paragraph [470-20-25-14](#).

470-20-55-19 If the conversion price was described as \$1 million divided by the market price of the common stock on the date of the conversion, that is, resetting at the date of conversion, the holder is guaranteed to receive \$1 million in value upon conversion and, therefore, the debt instrument would be considered stock-settled debt.

470-20-55-19A Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-20 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-21 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-22 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-23 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-24 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-25 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-26 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-27 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-28 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-29 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-30 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-31 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-32 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-33 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-34 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-35 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-36 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-37 Paragraph superseded by Accounting Standards Update No. 2020-06.

470-20-55-38	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-55-39	Paragraph not used.
470-20-55-40	Paragraph not used.
470-20-55-41	Paragraph not used.
470-20-55-42	Paragraph not used.
470-20-55-43	Paragraph not used.
470-20-55-44	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-55-45	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-55-46	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-55-47	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-55-48	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-55-49	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-55-50	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-55-51	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-55-52	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-55-53	Paragraph not used.
470-20-55-54	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-55-54A	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-55-55	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-55-56	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-55-57	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-55-58	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-55-59	Paragraph not used.
470-20-55-60	Paragraph superseded by Accounting Standards Update No. 2020-06.
470-20-55-60A	Paragraph superseded by Accounting Standards Update No. 2020-06.

- 470-20-55-61** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-55-62** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-55-63** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-55-64** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-55-65** Paragraph superseded by Accounting Standards Update No. 2020-06.
- 470-20-55-66** Paragraph superseded by Accounting Standards Update No. 2020-06.

> Example 9: Illustration of a Conversion of an Instrument that Becomes Convertible Upon the Issuer's Exercise of a Call Option

- 470-20-55-67** This Example illustrates an instrument subject to the guidance in paragraphs [470-20-40-5](#) through [40-9](#).
- 470-20-55-68** An entity issues a contingently convertible instrument on January 1, 2006, with a market price trigger, a \$1,000 par amount, and a maturity date of December 31, 2020. The debt instrument is convertible at the option of the holder if the share price of the issuer exceeds a specified amount. The issuer can call the debt at any time between 2009 and the maturity date of the debt. If the issuer calls the debt, the holder has the option to receive cash for the call amount or a fixed number of shares as specified in the terms of the instrument upon issuance, regardless of whether the market price trigger has been met. In 2010, the issuer calls the debt before the market price trigger being met and the holder elects to receive a fixed number of shares (as specified in the terms of the instrument).
- 470-20-55-69** Paragraph superseded by Accounting Standards Update No. 2020-06.

> Example 11: Disclosure of the Information in the Statement of Financial Position

- 470-20-55-69A** This Example provides an illustration of the guidance in paragraph [470-20-50-1D](#) based on the assumption that Entity A is a public business entity and has two convertible debt instruments outstanding as of December 31, 20X7, and 20X6.
- 470-20-55-69B** The following illustrates the disclosures in a tabular format.

The following is a summary of Entity A's convertible debt instruments as of December 31, 20X7 (in thousands).

	Principal Amount	Unamortized Debt Discount and Issuance Costs	Net Carrying Amount	Fair Value	
				Amount	Leveling
1.2% convertible debt due on December 31, 20X8	\$ 1,000	\$ (18)	\$ 982	\$ 1,100	Level 2
Zero-coupon convertible debt due on December 31, 20X9	500	(9)	491	462	Level 3

The following is a summary of Entity A's convertible debt instruments as of December 31, 20X6 (in thousands).

	Principal Amount	Unamortized Debt Discount and Issuance Costs	Net Carrying Amount	Fair Value	
				Amount	Leveling
1.2% convertible debt due on December 31, 20X8	\$ 1,000	\$ (35)	\$ 965	\$ 1,015	Level 2
Zero-coupon convertible debt due on December 31, 20X9	500	(14)	486	450	Level 3

470-20-55-69C The disclosures may be provided alternatively in narrative descriptions.

1.2 Percent Convertible Debt Instrument Due on December 31, 20X8

As of December 31, 20X7, and 20X6, the net carrying amount of the convertible debt instrument was \$982,000 and \$965,000, respectively, with unamortized debt discount and issuance costs of \$18,000 and \$35,000. The estimated fair value (Level 2) of the convertible debt instrument was \$1,100,000 and \$1,015,000, respectively, as of December 31, 20X7, and 20X6.

Zero-Coupon Convertible Debt Instrument Due on December 31, 20X9

As of December 31, 20X7, and 20X6, the net carrying amount of the convertible debt instrument was \$491,000 and \$486,000, respectively, with unamortized debt discount and issuance costs of \$9,000 and \$14,000. The estimated fair value (Level 3) of the convertible debt instrument was \$462,000 and \$450,000, respectively, as of December 31, 20X7, and 20X6.

> **Example 12: Disclosure of the Information in the Statement of Financial Performance**

470-20-55-69D This Example provides an illustration of the guidance in paragraph 470-20-50-1F(b) based on the assumption that Entity A has two convertible debt instruments issued before January 1, 20X5, and still outstanding as of December 31, 20X7.

470-20-55-69E The following illustrates the disclosures in a tabular format.

The following provides a summary of the interest expense of Entity A's convertible debt instruments (in thousands).

	Year Ended December 31,		
	20X7	20X6	20X5
Coupon interest	\$ 12	\$ 12	\$ 12
Amortization of debt discount and issuance costs	22	22	21
Total	<u>\$ 34</u>	<u>\$ 34</u>	<u>\$ 33</u>

470-20-55-69F The disclosures may be provided alternatively in narrative descriptions.

For the years ended December 31, 20X7, 20X6, and 20X5, the total interest expense was \$34,000, \$34,000, and \$33,000 with coupon interest expense of \$12,000 for each year and the amortization of debt discount and issuance costs of \$22,000, \$22,000, and \$21,000, respectively.

Cash Conversion

- 470-20-55-70**[Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-55-71**[Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-55-72**[Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-55-73**[Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-55-74**[Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-55-75**[Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-55-76**[Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-55-77**[Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-55-78**[Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-55-79**[Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-55-80**[Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-55-81**[Paragraph superseded by Accounting Standards Update No. 2020-06.](#)
- 470-20-55-82**[Paragraph superseded by Accounting Standards Update No. 2020-06.](#)

65 Transition and Open Effective Date Information

i General Note:The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General

- 470-20-65-1**[Paragraph superseded on 07/01/2010 after the end of the transition period stated in FASB Staff Position APB 14-1, *Accounting for Convertible Debt Instruments That May Be Settled in Cash upon Conversion \(Including Partial Cash Settlement\)*.](#)

470-20-65-2 Paragraph superseded on 03/23/2010 after the end of the transition period stated in FASB Staff Position APB 14-1, *Accounting for Convertible Debt Instruments That May Be Settled in Cash upon Conversion (Including Partial Cash Settlement)*.

470-20-65-3 Paragraph superseded on 06/20/2011 after the end of the transition period stated in Accounting Standards Update No. 2009-15, *Accounting for Own-Share Lending Arrangements in Contemplation of Convertible Debt Issuance or Other Financing*.

> Transition Related to Accounting Standards Update No. 2024-04, *Debt—Debt with Conversion and Other Options (Subtopic 470-20): Induced Conversions of Convertible Debt Instruments*

470-20-65-4

The following represents the transition and effective date information related to Accounting Standards Update No. 2024-04, *Debt—Debt with Conversion and Other Options (Subtopic 470-20): Induced Conversions of Convertible Debt Instruments*:

Effective date and early adoption

- a. All entities shall apply the pending content that links to this paragraph for annual reporting periods beginning after December 15, 2025, and interim reporting periods within those annual reporting periods.
- b. Early adoption of the pending content that links to this paragraph is permitted in an interim or annual reporting period in which financial statements have not yet been issued (or made available for issuance), but no earlier than the adoption of the pending content that links to paragraph [815-40-65-1](#). If an entity adopts the pending content that links to this paragraph in an interim reporting period, it shall adopt the pending content as of the beginning of the annual reporting period that includes that interim reporting period.

Transition method

- c. An entity shall apply the pending content that links to this paragraph prospectively to settlements of convertible debt instruments that occur during annual reporting periods (and interim reporting periods within those annual reporting periods) beginning after the effective date of the pending content.
- d. An entity may elect to apply the pending content that links to this paragraph retrospectively as of the beginning of the first comparative reporting period in accordance with the guidance on accounting changes in paragraphs [250-10-45-5 through 45-10](#). This transition method shall be applied only to convertible debt instruments settled after the adoption of the pending content that links to paragraph [815-40-65-1](#).

Transition disclosures

- e. An entity that applies the pending content that links to this paragraph prospectively in accordance with (c) shall disclose the nature of and reason for the change in accounting principle in the financial statements of both the interim reporting period (if applicable) and the annual reporting period of the change.
- f. An entity applying the pending content that links to this paragraph retrospectively in accordance with (d) shall provide the following transition disclosures in the financial statements of both the interim reporting period (if applicable) and the annual reporting period of the change:
 1. The nature of the change in accounting principle, including an explanation of the newly adopted accounting principle

2. The method of applying the change
3. The cumulative effect of the change on retained earnings or other components of equity in the statement of financial position as of the beginning of the first period for which the pending content that links to this paragraph is initially applied
4. The effect of the change on income from continuing operations, net income (or other appropriate captions of changes in the applicable net assets or performance indicator), any other affected financial statement line item, and any affected per-share amounts for any prior periods retrospectively adjusted.

S25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Debt Exchangeable for the Stock of Another Entity

470-20-S25-1 See paragraph [470-20-S99-1](#), SEC Observer Comment: Debt Exchangeable for the Stock of Another Entity, for SEC Staff views on accounting for debt that is exchangeable for the stock of another entity

S99 SEC Materials

General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Staff Guidance

· > Comments Made by SEC Observer at Emerging Issues Task Force (EITF) Meetings

· · > SEC Observer Comment: Debt Exchangeable for the Stock of Another Entity

470-20-S99-1 The following is the text of the SEC Observer Comment: Debt Exchangeable for the Stock of Another Entity.

An issue has been discussed involving an enterprise that holds investments in common stock of other enterprises and issues debt securities that permit the holder to acquire a fixed number of shares of such common stock. These types of transactions are commonly affected through the sale of either debt with detachable warrants that can be exchanged for the stock investment or debt without detachable warrants (the debt itself must be exchanged for the stock investment - also referred to as "exchangeable" debt). Those debt issues differ from traditional warrants or convertible instruments because the traditional instruments involve exchanges for the equity securities of the issuer. There have been questions as to whether the exchangeable debt should be treated similar to traditional convertibles as specified in Subtopic 470-20 or whether the transaction requires separate accounting for the exchangeability feature. The SEC staff believes that Subtopic 470-20 does not apply to the accounting for debt that is exchangeable for the stock of another entity and therefore separation of the debt element and exchangeability feature is required

470 Debt

30 Participating Mortgage Loans

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

470-30-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Debt	Superseded	Accounting Standards Update No. 2016-19	12/14/2016
470-30-05-1	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-30-05-4	Amended	Accounting Standards Update No. 2012-04	10/01/2012

470-30-05-6	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-30-05-7	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-30-05-9	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-30-15-3	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-30-25-1	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-30-25-1	Amended	Accounting Standards Update No. 2015-10	06/12/2015
470-30-30-1	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-30-35-1	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-30-35-2	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-30-35-4	Amended	Accounting Standards Update No. 2015-10	06/12/2015
470-30-35-4	Amended	Accounting Standards Update No. 2012-04	10/01/2012
470-30-35-4A	Added	Accounting Standards Update No. 2015-10	06/12/2015
470-30-40-1	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-30-45-1	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-30-45-3	Superseded	Accounting Standards Update No. 2015-01	01/09/2015
470-30-50-1	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-30-50-1	Amended	Accounting Standards Update No. 2012-04	10/01/2012

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 470-30-05-1** This Subtopic establishes the borrower's accounting for a participating mortgage loan if the lender is entitled to participate in any of the following:
- Appreciation in the [fair value](#) of the mortgaged real estate project
 - The results of operations of the mortgaged real estate project.
- 470-30-05-2** The desire for instruments in which the return to the lenders was tied more closely to the performance of the property led to the introduction of participating mortgage loans.
- 470-30-05-3** Participating mortgage loans and nonparticipating mortgage loans share all of the following characteristics:
- Debtor-creditor relationships between those who provide initial cash outlays and hold the mortgages, and those who are obligated to make subsequent payments to the mortgage holders
 - Real estate collateral
 - Periodic fixed-rate or floating-rate interest payments
 - Fixed maturity dates for stated principal amounts.
- 470-30-05-4** However, unlike a nonparticipating mortgage loan arrangement, in a participating mortgage loan, the lender participates in appreciation in the fair value of the mortgaged real estate project or the results of operations of the mortgaged real estate project, or in both.
- 470-30-05-5** The terms and economics of participating mortgage loan agreements vary by agreement. The terms and economics of one agreement may create a circumstance in which any participation payment is remote. In another agreement, the terms and economics may transfer many of the risks and rewards of property ownership.
- 470-30-05-6** A lender may be entitled to participate in appreciation in the fair value of a project at any one of the following times:
- Upon the sale of the project
 - At a deemed sale date
 - At the maturity or refinancing of the loan.
- 470-30-05-7** In agreements in which lenders participate in results of operations, the definition of the results of operations may vary among agreements. Examples of these definitions include, but are not limited to, the following:
- Revenue
 - Income
 - Cash flows before or after debt service.
- 470-30-05-8** The participation terms of a participating mortgage loan agreement usually are negotiated concurrently with the other terms of the underlying mortgage loan. A borrower agrees to participation rights generally because of market conditions, or in exchange for concessions granted by the lender on some other term(s) of the loan, such as a lower interest rate or a higher loan-to-value ratio.
- 470-30-05-9** The lender's participation reduces the borrower's potential realization of operating results or gain on the sale of the real estate. However, the participation also may reduce any of the following:
- The contract interest the borrower is required to pay

b. The risk that the borrower will be unable to pay interest at the stated or floating rate in the loan agreement and, consequently, the risk that the borrower will default on the loan and need to sell the property

c. The amount of capital the borrower has at risk, because the loan-to-value ratio normally is higher.

Further, the obligation to pay the lender a share of the property appreciation does not increase the current exposure of the borrower to loss in its investment, because the participation payments are made only if the fair value of the property appreciates.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Entities

470-30-15-1 The guidance in this Subtopic applies to the following entities:

- a. All borrowers in participating mortgage loan arrangements.

470-30-15-2 The guidance in this Subtopic does not apply to the following entities:

- a. Creditors in participating mortgage loan arrangements.

> Transactions

470-30-15-3 The guidance in this Subtopic does not apply to the following transactions and activities:

- a. Participating leases
- b. Debt convertible at the option of the lender into equity ownership of the property

- c. Participating loans resulting from troubled debt restructurings.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an [orderly transaction](#) between [market participants](#) at the measurement date.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- a. They are independent of each other, that is, they are not [related parties](#), although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms
- b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- c. They are able to enter into a transaction for the asset or liability
- d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Related Parties

Related parties include:

- a. Affiliates of the entity

- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

i General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

470-30-25-1 If a lender is entitled to participate in the appreciation of the market value of a mortgaged real estate project, the borrower shall recognize a participation liability with a corresponding debit to a debt discount account.

30 Initial Measurement

i General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

470-30-30-1 If the lender is entitled to participate in appreciation in the [fair value](#) of the mortgaged real estate project, the borrower shall determine the fair value (see Subtopic [820-10](#)) of the participation feature at the inception of the loan (see paragraph [470-30-25-1](#) for guidance on how to recognize the participation feature).

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

470-30-35-1 The debt discount shall be amortized by the interest method, using the effective interest rate.

470-30-35-2 Interest expense on participating mortgage loans consists of the following three components:

- Amounts designated in the mortgage agreement as interest
- Amounts related to the lender's participation in results of operations
- Amortization of debt discount related to the lender's participation in the [fair value](#) appreciation of the mortgaged real estate project.

470-30-35-3 Amounts designated in the mortgage agreement as interest shall be charged to income in the period in which the interest is incurred. If the loan's stated interest rate varies based on changes in an independent factor, such as an index or rate (for example, the prime rate, the London Interbank Offered Rate [LIBOR], or the U.S. Treasury bill weekly average rate), the calculation of the interest shall be based on the factor (the index or the rate) as it changes over the life of the loan. Interest recognized pursuant to this guidance is subject to the requirements of Subtopic [835-20](#). Once capitalized, amounts shall not be adjusted for the effects of reversals of appreciation.

470-30-35-4 Amounts due to a lender pursuant to the lender's participation in the real estate project's results of operations (as defined in the participating mortgage loan agreement) shall be charged to interest

expense in the borrower's corresponding financial reporting period, with a corresponding credit to the participation liability.

- a. [Subparagraph superseded by Accounting Standards Update No. 2015-10.](#)
- b. [Subparagraph superseded by Accounting Standards Update No. 2015-10.](#)

- 470-30-35-4A** If a lender is entitled to participate in the appreciation of the market value of a mortgaged real estate project, both of the following are required at the end of each reporting period:
- a. The balance of the participation liability shall be adjusted to equal the current fair value of the participation feature.
 - b. The corresponding debit or credit shall be recorded in the related debt-discount account.

- 470-30-35-5** The revised debt discount shall be amortized prospectively, using the effective interest rate.

40 Derecognition

- i General Note:** The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

- 470-30-40-1** If the participating mortgage loan is extinguished before its due date, the difference between the recorded amount of the debt (including the unamortized debt discount and the participation liability) and the amount exchanged to extinguish the debt is a debt extinguishment gain or loss.

45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

- 470-30-45-1** The amortization of the debt discount relating to the participation liability shall be included in interest expense.
- 470-30-45-2** If the participating mortgage loan is extinguished before its due date, the debt extinguishment gain or loss shall be reported as required by paragraph [470-50-40-2](#).
- 470-30-45-3** [Paragraph superseded by Accounting Standards Update No. 2015-01.](#)

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

- 470-30-50-1** The borrower's financial statements shall disclose both of the following:
- The aggregate amount of participating mortgage obligations at the balance sheet date, with separate disclosure of the aggregate participation liabilities and related debt discounts
 - Terms of the participations by the lender in either the appreciation in the [fair value](#) of the mortgaged real estate project or the results of operations of the mortgaged real estate project, or both.

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

· > Example 1: Accounting by Participating Mortgage Loan Borrower

470-30-55-1 This Example illustrates the guidance in this Subtopic.

470-30-55-2 Assume that on January 1, 19X1, Borrower Co. purchased a property for \$10 million. On that date, Borrower paid \$1 million cash and entered into a participating mortgage loan agreement with Lender Co. in the amount of \$9 million.

470-30-55-3 The loan agreement has the following terms:

- a. 15 year term
- b. Interest-only periodic payments, principal to be repaid at end of term
- c. 5% stated interest rate
- d. 20% participation in appreciation in the value of the property above \$10 million, payable at maturity (or earlier if the asset is sold or the loan is refinanced).

470-30-55-4 Assumptions related to the [fair value](#) of the participation feature are as follows.

Date	Fair Value	Estimated Payment	Years in Future
1/1/X1	\$ 25,055	\$ 300,000	15
12/31/X1	40,063	320,000	14
12/31/X2	54,122	333,000	13

470-30-55-5 Based on the preceding assumptions, Borrower Co. should make the following journal entries for this participating mortgage loan.

a. On January 1, 19X1, the following journal entries should be recorded:			
Cash	\$ 9,000,000		
Loan discount	25,055		
Mortgage loan payable		\$ 9,000,000	
Participation liability		25,055	
To record participating debt and estimate of participation liability (based on fair value of participation feature).			
Property	\$ 10,000,000		
Cash		10,000,000	
To record purchase of property.			
b. By the end of 19X1, entries to record interest expense and amortization of discount throughout the year would have taken the following form:			
Interest expense	\$451,159		
Interest payable		450,000	
Loan discount		1,159	
To record interest expense and amortization of debt discount using the interest method and an effective rate of 5.03 percent (rounded).			
Loan discount	\$ 15,008		
Participation liability		15,008	
To adjust balance of participation liability to fair value at end of period. The adjustment is calculated as follows:			
Fair value at 12/31/X1		\$ 40,063	
Fair value at 1/1/X1		25,055	
Adjustment		\$ 15,008	
Note: For purposes of this illustration, the fair value of the participation feature at 12/31/X1 is based on a revised estimate of the equity participation that would be payable in fourteen years of \$320,000.			
c. At the end of 19X2, entries to record interest expense and amortization of discount throughout the year would have taken the following form:			
Interest expense	\$ 451,979		
Interest payable		450,000	
Loan discount		1,979	
To record interest expense and amortization of debt discount, using the interest method and an effective rate of 5.04 percent (rounded).			
Loan discount	\$ 14,059		
Participation liability		14,059	
To adjust recorded participation liability of \$40,063 to fair value at 12/31/X2 of \$54,122.			

470 Debt

40 Product Financing Arrangements

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

470-40-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Contract	Added	Accounting Standards Update No. 2014-09	05/28/2014
	Customer	Added	Accounting Standards Update No. 2014-09	05/28/2014
	Revenue	Added	Accounting Standards Update No. 2014-09	05/28/2014
	Unconditional Purchase Obligation	Added	Maintenance Update 2014-20 	09/29/2014
	470-40-05-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	470-40-05-5	Amended	Maintenance Update 2014-20 	09/29/2014
	470-40-15-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	470-40-15-3	Amended	Maintenance Update 2015-11 	06/19/2015
	470-40-15-3	Amended	Maintenance Update 2014-20 	09/29/2014
	470-40-15-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	470-40-25-1 through 25-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	470-40-55-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	470-40-55-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	470-40-55-3 through 55-5	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	470-40-55-6	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 470-40-05-1** This Subtopic establishes guidance for determining whether an arrangement involving the sale of inventory is in substance a financing arrangement.
- 470-40-05-2** [Product financing arrangements](#) include agreements in which a sponsor (the entity seeking to finance product pending its future use or resale) does any of the following:
- Sells the product to another entity (the entity through which the financing flows), and in a related transaction agrees to repurchase the product (or a substantially identical product)
 - Arranges for another entity to purchase the product on the sponsor's behalf and, in a related transaction, agrees to purchase the product from the other entity
 - Controls the disposition of the product that has been purchased by another entity in accordance with the arrangements described in either (a) or (b).
- 470-40-05-3** In all of the foregoing cases, the sponsor agrees to purchase the product, or processed goods of which the product is a component, from the other entity at specified prices over specified periods or, to the extent that it does not do so, guarantees resale prices to third parties (see paragraph [470-40-15-2\(a\)\(1\)](#)). The Implementation Guidance in Section [470-40-55](#) illustrates the arrangement described in (b) of the preceding paragraph. For an arrangement described in (a), see Topic [606](#) on [revenue](#) from [contracts](#) with [customers](#) for guidance on repurchase agreements in paragraphs [606-10-55-66 through 55-78](#) and an illustration on repurchase agreements in Example 62, Case A, paragraphs [606-10-55-401 through 55-404](#).
- 470-40-05-4** Other characteristics that commonly exist in product financing arrangements but that are not necessarily present in all such arrangements include the following:
- The entity that purchases the product from the sponsor or purchases it directly from a third party on behalf of the sponsor was established expressly for that purpose or is an existing trust, nonbusiness entity, or credit grantor.
 - The product covered by the financing arrangement is to be used or sold by the sponsor, although a portion may be sold by the other entity directly to third parties.
 - The product covered by the financing arrangement is stored on the sponsor's premises.
 - The debt of the entity that purchases the product being financed is guaranteed by the sponsor.
- 470-40-05-5** The following are similarities between a sponsor's rights and obligations under a product financing arrangement and a purchaser's rights and obligations under an [unconditional purchase obligation](#) (see Topic [440](#)):

- a. Both the sponsor and the purchaser obtain probable future economic benefits from the assured source of product.
- b. Both are obligated to make future cash payments to the other party to the agreement.

470-40-05-6

Beyond those similarities, however, there is a substantial difference in the related accounting issues. Under a product financing arrangement, the product already exists and the other entity's purchase cost is known.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Entities

470-40-15-1

The guidance in this Subtopic applies to all entities.

> Transactions

470-40-15-2

The guidance in this Subtopic applies to [product financing arrangements](#) for products that have been purchased by another entity on behalf of the sponsor and have both of the following characteristics:

- a. The financing arrangement requires the sponsor to purchase the product, a substantially identical product, or processed goods of which the product is a component at specified prices. The specified prices are not subject to change except for fluctuations due to finance and holding costs. This characteristic of predetermined prices also is present if any of the following circumstances exist:

1. The specified prices in the financing arrangement are in the form of resale price guarantees under which the sponsor agrees to make up any difference between the specified price and the resale price for products sold to third parties.
2. The sponsor is not required to purchase the product but has an option to purchase the product, the economic effect of which compels the sponsor to purchase the product; for example, an option arrangement that provides for a significant penalty if the sponsor does not exercise the option to purchase.
3. The sponsor is not required by the agreement to purchase the product but the other entity has an option whereby it can require the sponsor to purchase the product.

b. The payments that the other entity will receive on the transaction are established by the financing arrangement, and the amounts to be paid by the sponsor will be adjusted, as necessary, to cover substantially all fluctuations in costs incurred by the other entity in purchasing and holding the product (including interest). This characteristic ordinarily is not present in purchase commitments or contractor-subcontractor relationships.

470-40-15-3

The guidance in this Subtopic does not apply to the following transactions and activities:

- a. Ordinary purchase commitments in which control of the good or service is retained by the seller (for example, a manufacturer or other supplier) until the good or service is transferred to a purchaser.
- b. Typical contractor-subcontractor relationships in which the contractor is not in substance the owner of product held by the subcontractor and the obligation of the contractor is contingent on substantial performance on the part of the subcontractor.
- c. Long-term [unconditional purchase obligations](#) (for example, [take-or-pay contracts](#)) specified by Subtopic [440-10](#) on commitments. At the time a take-or-pay contract is entered into, which is an unconditional purchase obligation, either the product does not yet exist (for example, electricity) or the product exists in a form unsuitable to the purchaser (for example, unmined coal); the purchaser has a right to receive future product but is not the substantive owner of existing product.
- d. Unmined or unharvested natural resources and financial instruments.
- e. [Contracts](#) within the scope of Topic [606](#) on [revenue](#) from contracts with [customers](#). For example, contracts that are subject to a right of return as described in paragraph [606-10-32-10](#) and paragraphs [606-10-55-22 through 55-29](#) and contracts in which a sponsor (the entity seeking to finance product pending its future use or resale) sells the product to another entity (the entity through which the financing flows) and in a related transaction agrees to repurchase the product (or a substantially identical product). Such contracts are within the scope of Topic [606](#); see paragraphs [606-10-55-66 through 55-78](#) on repurchase agreements and paragraphs [606-10-55-36 through 55-40](#) on principal versus agent considerations.
- f. Typical purchases by a subcontractor on behalf of a contractor. In a typical contractor-subcontractor relationship, the purchase of product by a subcontractor on behalf of a contractor ordinarily leaves a significant portion of the subcontractor's obligation unfulfilled. The subcontractor has the risks of ownership of the product until it has met all the terms of a contract. Accordingly, the typical contractor-subcontractor relationship shall not be considered a product financing arrangement.

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Product Financing Arrangement

A product financing arrangement is a transaction in which an entity sells and agrees to repurchase inventory with the repurchase price equal to the original sale price plus carrying and financing costs, or other similar transactions.

Revenue

Inflows or other enhancements of assets of an entity or settlements of its liabilities (or a combination of both) from delivering or producing goods, rendering services, or other activities that constitute the entity's ongoing major or central operations.

Take-or-Pay Contract

An agreement between a purchaser and a seller that provides for the purchaser to pay specified amounts periodically in return for products or services. The purchaser must make specified minimum payments even if it does not take delivery of the contracted products or services.

Unconditional Purchase Obligation

An obligation to transfer funds in the future for fixed or minimum amounts or quantities of goods or services at fixed or minimum prices (for example, as in take-or-pay contracts or throughput contracts).

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

i General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

- 470-40-25-1** This Subtopic requires that a [product financing arrangement](#) within the scope of this Subtopic be accounted for as a borrowing rather than as a sale. The sponsor is in substance the owner of the product and the sponsor shall, therefore, report the product as an asset and the related obligation as a liability.
- 470-40-25-2** If the sponsor is a party to an arrangement whereby another entity purchases a product on the sponsor's behalf and, in a related transaction, the sponsor agrees to purchase the product or processed goods of which the product is a component from the entity, the sponsor shall record the asset and the related liability when the product is purchased by the other entity.
- 470-40-25-3** Costs of the product, excluding processing costs, in excess of the other entity's purchase costs represent financing and holding costs. The sponsor shall account for such costs in accordance with the sponsor's accounting policies applicable to financing and holding costs as those costs are incurred by the other entity. For example, if insurance costs ordinarily are accounted for as period costs by the sponsor, similar costs associated with the product covered by financing arrangements shall be expensed by the sponsor as those costs are incurred by the other entity.
- 470-40-25-4** Interest costs associated with the product covered by financing arrangements shall be identified separately and accounted for by the sponsor in accordance with Topic [835](#) as those costs are incurred by the other entity.

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

· > Example 1: Sponsor Arranges for an Entity to Purchase Product and Sponsor Agrees to Purchase That Product

- 470-40-55-1** This Example illustrates how the guidance in paragraphs [470-40-25-1 through 25-4](#) applies to [product financing arrangements](#) in which a sponsor arranges for another entity to purchase the product on the sponsor's behalf and, in a related transaction, agrees to purchase the product from the other entity.
- [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
 - [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
- 470-40-55-2** The facts assumed in this Example are illustrative only and are not intended to modify or limit in any way the provisions of this Subtopic. The facts assumed in the Example could vary in one or more respects without altering the application of the provisions of this Subtopic.
- 470-40-55-3** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 470-40-55-4** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 470-40-55-5** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 470-40-55-6** A sponsor arranges for another entity to buy product on the sponsor's behalf with a related agreement to purchase the product from the other entity.
- 470-40-55-7** The sponsor arranges for the other entity to purchase on its behalf an existing supply of fuel. In a related agreement, the sponsor agrees to purchase the fuel from the other entity over a specified period and at specified prices. The prices established are adequate to cover all financing and holding costs of the other entity. The other entity finances the purchase of fuel using the fuel and the agreement as collateral.
- 470-40-55-8** In this product financing arrangement, both of the characteristics in paragraphs [470-40-15-2 through 15-3](#) are present; accordingly, the sponsor reports the asset (fuel) and the related liability on its balance sheet when the fuel is acquired by the other entity. Financing and holding costs are accrued by the sponsor as incurred by the other entity and accounted for in accordance with the sponsor's accounting policies for financing and holding costs. Interest costs are separately identified and accounted for in accordance with Topic [835](#).

470 Debt

50 Modifications and Extinguishments

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

470-50-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph Beneficial Conversion Feature Reacquisition Price of Debt	Action	Accounting Standards Update	Date
	470-50-15-3	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
	470-50-40-2	Added	Accounting Standards Update No. 2014-06	03/14/2014
	470-50-40-2A	Amended	Accounting Standards Update No. 2024-04	11/26/2024
	470-50-40-12	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	470-50-40-12A	Added	Accounting Standards Update No. 2018-09	07/16/2018
	470-50-40-12	Amended	Accounting Standards Update No. 2021-04	05/03/2021
	470-50-40-12A	Added	Accounting Standards Update No. 2021-04	05/03/2021
	470-50-40-16	Superseded	Accounting Standards Update No. 2020-06	08/05/2020
	470-50-40-17	Amended	Accounting Standards Update No. 2020-03	03/09/2020
	470-50-40-17A	Added	Accounting Standards Update No. 2021-04	05/03/2021
	470-50-40-18	Amended	Accounting Standards Update No. 2020-03	03/09/2020

470-50-40-18A	Added	Accounting Standards Update No. 2021-04	05/03/2021
470-50-40-21	Amended	Accounting Standards Update No. 2021-04	05/03/2021
470-50-40-21	Amended	Accounting Standards Update No. 2020-03	03/09/2020
470-50-45-1	Superseded	Accounting Standards Update No. 2015-01	01/09/2015
470-50-45-2	Superseded	Accounting Standards Update No. 2015-01	01/09/2015
470-50-50-1	Amended	Accounting Standards Update No. 2009-16	12/23/2009

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 470-50-05-1**

This Subtopic discusses the accounting for all extinguishments of debt instruments, except debt that is extinguished through a [troubled debt restructuring](#)(see Subtopic [470-60](#)) or a conversion of debt to equity securities of the debtor pursuant to conversion privileges provided in terms of the debt at issuance (see Subtopic [470-20](#)).
- 470-50-05-2**

This Subtopic also provides guidance on whether an exchange of debt instruments with the same creditor constitutes an extinguishment and whether a modification of a debt instrument should be accounted for in the same manner as an extinguishment.
- 470-50-05-3**

In circumstances where an exchange of debt instruments or a modification of a debt instrument does not result in extinguishment accounting, this Subtopic provides guidance on the appropriate accounting treatment.
- 470-50-05-4**

When debtors undergo a modification or exchange of a debt instrument, the resulting cash flows can be affected by changes in principal amounts, interest rates, or maturity. They can also be affected by fees exchanged between the debtor and creditor to effect changes in any of the following:

 - a. Recourse or nonrecourse features
 - b. Priority of the obligation
 - c. Collateralized (including changes in collateral) or noncollateralized features
 - d. Debt covenants or waivers
 - e. The guarantor (or elimination of the guarantor)

f. Option features.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Entities

470-50-15-1 The guidance in this Subtopic applies to all entities.

> Transactions

470-50-15-2 The guidance in this Subtopic applies, in part, to the following transactions and activities:

- a. Extinguishments of debt effected by issuance of common or preferred stock, including redeemable and fixed-maturity preferred stock, that do not represent the exercise of a conversion right contained in the terms of the debt at issuance.

470-50-15-3 The guidance in this Subtopic does not apply to the following transactions and activities:

- a. Conversions of debt into equity securities of the debtor pursuant to conversion privileges provided in the terms of the debt at issuance. Additionally, the guidance in this Subtopic does not apply to conversions of convertible debt instruments pursuant to terms that reflect changes made by the debtor to the conversion privileges provided in the debt at issuance (including changes that involve the payment of consideration) for the purpose of inducing conversion. Guidance on conversions of debt instruments (including induced conversions) is contained in paragraphs [470-20-40-13](#) and [470-20-40-15](#).

- b. Extinguishments of debt through a [troubled debt restructuring](#). (See Section [470-60-15](#) for guidance on determining whether a modification or exchange of debt instruments is a troubled debt restructuring. If it is determined that the modification or exchange does not result in a troubled debt restructuring, the guidance in this Subtopic shall be applied.)
- c. Transactions entered into between a debtor or a debtor's agent and a third party that is not the creditor.

 PENDING CONTENT



Transition Date: P December 16, 2025; N December 16, 2025 | **Transition Guidance:** [470-20-65-4](#)

The guidance in this Subtopic does not apply to the following transactions and activities:

- a. Conversions of debt instruments pursuant to conversion privileges provided in the terms of those instruments. Additionally, the guidance in this Subtopic does not apply to conversions of convertible debt instruments pursuant to terms that reflect changes made by the debtor to the conversion privileges provided in the existing terms of those debt instruments (including changes that involve the payment of consideration) for the purpose of inducing conversion. Guidance on conversions of debt instruments (including induced conversions) is contained in paragraphs [470-20-40-4](#), [470-20-40-13](#), and [470-20-40-15](#).
- b. Extinguishments of debt through a [troubled debt restructuring](#). (See Section [470-60-15](#) for guidance on determining whether a modification or exchange of debt instruments is a troubled debt restructuring. If it is determined that the modification or exchange does not result in a troubled debt restructuring, the guidance in this Subtopic shall be applied.)
- c. Transactions entered into between a debtor or a debtor's agent and a third party that is not the creditor.

> Other Considerations

470-50-15-4 The general guidance for the extinguishment of liabilities is contained in Subtopic [405-20](#) and defines transactions that the debtor shall recognize as an extinguishment of a liability.

20 Glossary

 **General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

[Fair Value](#)

The price that would be received to sell an asset or paid to transfer a liability in an **orderly transaction** between **market participants** at the measurement date.

In-Substance Defeasance

Placement by the debtor of amounts equal to the principal, interest, and prepayment penalties related to a debt instrument in an irrevocable trust established for the benefit of the creditor.

Line-of-Credit Arrangement

A line-of-credit or revolving-debt arrangement is an agreement that provides the borrower with the option to make multiple borrowings up to a specified maximum amount, to repay portions of previous borrowings, and to then reborrow under the same contract. Line-of-credit and revolving-debt arrangements may include both amounts drawn by the debtor (a debt instrument) and a commitment by the creditor to make additional amounts available to the debtor under predefined terms (a loan commitment).

Loan Participation

A transaction in which a single lender makes a large loan to a borrower and subsequently transfers undivided interests in the loan to groups of banks or other entities.

Loan Syndication

A transaction in which several lenders share in lending to a single borrower. Each lender loans a specific amount to the borrower and has the right to repayment from the borrower. It is common for groups of lenders to jointly fund those loans when the amount borrowed is greater than any one lender is willing to lend.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- a. They are independent of each other, that is, they are not **related parties**, although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms
- b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- c. They are able to enter into a transaction for the asset or liability
- d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Net Carrying Amount of Debt

Net carrying amount of debt is the amount due at maturity, adjusted for unamortized premium, discount, and cost of issuance.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Public Debt Issuance

A public debt issuance occurs when a debtor issues a number of identical debt instruments to an underwriter that sells the debt instruments (in the form of securities) to various investors.

Reacquisition Price of Debt

The amount paid on extinguishment, including a call premium and miscellaneous costs of reacquisition. If extinguishment is achieved by a direct exchange of new securities, the reacquisition price is the total present value of the new securities.

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

Troubled Debt Restructuring

A restructuring of a debt constitutes a troubled debt restructuring if the creditor for economic or legal reasons related to the debtor's financial difficulties grants a concession to the debtor that it would not otherwise consider.

40 Derecognition

General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

[Related Proposed ASUs](#)

> Extinguishments of Debt

- 470-50-40-1** As indicated in paragraph [470-50-15-4](#), the general guidance for the extinguishment of liabilities is contained in Subtopic [405-20](#) and defines transactions that the debtor shall recognize as an extinguishment of a liability.
- 470-50-40-2** A difference between the [reacquisition price of debt](#) and the [net carrying amount of the extinguished debt](#) shall be recognized currently in income of the period of extinguishment as losses or gains and identified as a separate item. Gains and losses shall not be amortized to future periods. If upon extinguishment of debt the parties also exchange unstated (or stated) rights or privileges, the portion of the consideration exchanged allocable to such unstated (or stated) rights or privileges shall be given appropriate accounting recognition. Moreover, extinguishment transactions between related entities may be in essence capital transactions.
- 470-50-40-2A** In an early extinguishment of debt for which the fair value option has been elected in accordance with Subtopic [815-15](#) on embedded derivatives or Subtopic [825-10](#) on financial instruments, the net carrying amount of the extinguished debt shall be equal to its fair value at the reacquisition date. In accordance with paragraph [825-10-45-6](#), upon extinguishment an entity shall include in net income the cumulative amount of the gain or loss previously recorded in other comprehensive income for the extinguished debt that resulted from changes in instrument-specific credit risk.
- 470-50-40-3** In an early extinguishment of debt through exchange for common or preferred stock, the reacquisition price of the extinguished debt shall be determined by the value of the common or preferred stock issued or the value of the debt—whichever is more clearly evident.

> Extinguishment of Convertible Debt

- 470-50-40-4** The extinguishment of convertible debt does not change the character of the security as between debt and equity at that time. Therefore, a difference between the cash acquisition price of the debt and its net carrying amount shall be recognized currently in income in the period of extinguishment as losses or gains.

- 470-50-40-5** The guidance in this Subtopic does not apply to debt tendered to exercise detachable warrants that were originally issued with that debt if the debt is permitted to be tendered towards the exercise price of the warrants under the terms of the securities at issuance. The tendering of the debt in such a case would be accounted for in the same manner as a conversion.

> Modifications and Exchanges

- 470-50-40-6** An exchange of debt instruments with substantially different terms is a debt extinguishment and shall be accounted for in accordance with paragraph [405-20-40-1](#). A debtor could achieve the same economic effect as an exchange of a debt instrument by making a substantial modification of terms of an existing debt instrument. Accordingly, a substantial modification of terms shall be accounted for like an extinguishment.
- 470-50-40-7** Transactions among debt holders do not result in a modification of the original debt's terms or an exchange of debt instruments between the debtor and the debt holders and do not impact the accounting by the debtor.
- 470-50-40-8** Transactions involving the modification or exchange of debt instruments shall only result in gain or loss recognition by the debtor if the conditions for extinguishment of debt described in paragraph [405-20-40-1](#) are satisfied or if the guidance in this Subtopic requires that accounting.
- 470-50-40-9** Transactions involving contemporaneous exchanges of cash between the same debtor and creditor in connection with the issuance of a new debt obligation and satisfaction of an existing debt obligation by the debtor would only be accounted for as debt extinguishments if the debt instruments have substantially different terms, as defined in this Subtopic.
- 470-50-40-10** From the debtor's perspective, an exchange of debt instruments between or a modification of a debt instrument by a debtor and a creditor in a nontroubled debt situation is deemed to have been accomplished with debt instruments that are substantially different if the present value of the cash flows under the terms of the new debt instrument is at least 10 percent different from the present value of the remaining cash flows under the terms of the original instrument. If the terms of a debt instrument are changed or modified and the cash flow effect on a present value basis is less than 10 percent, the debt instruments are not considered to be substantially different, except in the following two circumstances:
- a. A modification or an exchange affects the terms of an embedded conversion option, from which the change in the [fair value](#) of the embedded conversion option (calculated as the difference between the fair value of the embedded conversion option immediately before and after the modification or exchange) is at least 10 percent of the carrying amount of the original debt instrument immediately before the modification or exchange.
 - b. A modification or an exchange of debt instruments adds a substantive conversion option or eliminates a conversion option that was substantive at the date of the modification or exchange. (For purposes of evaluating whether an embedded conversion option was substantive on the date it was added to or eliminated from a debt instrument, see paragraphs [470-20-40-7 through 40-9](#).)
- 470-50-40-11** With respect to the conditions in (a) and (b) in the preceding paragraph, this guidance does not address modifications or exchanges of debt instruments in circumstances in which the embedded conversion option is separately accounted for as a derivative under Topic [815](#) before the modification, after the modification, or both before and after the modification.
- 470-50-40-12** The following guidance shall be used to calculate the present value of the cash flows for purposes of applying the 10 percent cash flow test described in paragraph [470-50-40-10](#):

- a. The cash flows of the new debt instrument include all cash flows specified by the terms of the new debt instrument plus any amounts paid by the debtor to the creditor less any amounts received by the debtor from the creditor as part of the exchange or modification. For a modification or an exchange of a freestanding equity-classified written call option held by a creditor that is a part of or directly related to a modification or an exchange of an existing debt instrument held by that same creditor (see paragraphs [815-40-35-14 through 35-15](#) and [815-40-35-17\(c\)](#)), an entity shall apply the guidance in paragraph [470-50-40-12A](#).
- b. If the original debt instrument or the new debt instrument has a floating interest rate, then the variable rate in effect at the date of the exchange or modification shall be used to calculate the cash flows of the variable-rate instrument.
- c. If either the new debt instrument or the original debt instrument is callable or puttable, then separate cash flow analyses shall be performed assuming exercise and nonexercise of the call or put. The cash flow assumptions that generate the smaller change would be the basis for determining whether the 10 percent threshold is met.
- d. If the debt instruments contain contingent payment terms or unusual interest rate terms, judgment shall be used to determine the appropriate cash flows.
- e. The discount rate to be used to calculate the present value of the cash flows is the effective interest rate, for accounting purposes, of the original debt instrument.
- f. If within a year of the current transaction the debt has been exchanged or modified without being deemed to be substantially different, then the debt terms that existed a year ago shall be used to determine whether the current exchange or modification is substantially different.
- g. The change in the fair value of an embedded conversion option resulting from an exchange of debt instruments or a modification in the terms of an existing debt instrument shall not be included in the 10 percent cash flow test. Rather, a separate test shall be performed by comparing the change in the fair value of the embedded conversion option to the carrying amount of the original debt instrument immediately before the modification, as specified in paragraph [470-50-40-10\(a\)](#).

470-50-40-12A If a modification or an exchange of a freestanding equity-classified written call option held by a creditor is a part of or directly related to a modification or an exchange of an existing debt instrument held by that same creditor (see paragraphs [815-40-35-14 through 35-15](#) and [815-40-35-17\(c\)](#)), an increase or a decrease in the fair value of the freestanding equity-classified written call option held by the creditor, calculated in accordance with paragraph [815-40-35-16](#), shall be included in the application of the 10 percent cash flow test described in paragraph [470-50-40-10](#).

> Subsequent Accounting for Modifications and Exchanges If Extinguishment Accounting Is Applied

470-50-40-13 If it is determined that the original and new debt instruments are substantially different, the new debt instrument shall be initially recorded at fair value, and that amount shall be used to determine the debt extinguishment gain or loss to be recognized and the effective rate of the new instrument.

> Subsequent Accounting for Modifications and Exchanges If Extinguishment Accounting Is Not Applied

470-50-40-14 If it is determined that the original and new debt instruments are not substantially different, then a new effective interest rate shall be determined based on the carrying amount of the original debt instrument, adjusted for an increase (but not a decrease) in the fair value of an embedded conversion option (calculated as the difference between the fair value of the embedded conversion option

immediately before and after the modification or exchange) resulting from the modification, and the revised cash flows.

470-50-40-15 If a convertible debt instrument is modified or exchanged in a transaction that is not accounted for as an extinguishment, an increase in the fair value of the embedded conversion option (calculated as the difference between the fair value of the embedded conversion option immediately before and after the modification or exchange) shall reduce the carrying amount of the debt instrument (increasing a debt discount or reducing a debt premium) with a corresponding increase in additional paid-in capital. However, a decrease in the fair value of an embedded conversion option resulting from a modification or an exchange shall not be recognized.

470-50-40-16 [Paragraph superseded by Accounting Standards Update No. 2020-06.](#)

> Fees between Debtor and Creditor

470-50-40-17 Fees paid by the debtor to the creditor or received by the debtor from the creditor (fees may be received by the debtor from the creditor to cancel a call option held by the debtor or to extend a no-call period) as part of the exchange or modification shall be accounted for as follows:

- a. If the exchange or modification is to be accounted for in the same manner as a debt extinguishment and the new debt instrument is initially recorded at fair value, then the fees paid or received shall be associated with the extinguishment of the old debt instrument and included in determining the debt extinguishment gain or loss to be recognized.
- b. If the exchange or modification is not to be accounted for in the same manner as a debt extinguishment, then the fees shall be associated with the replacement or modified debt instrument and, along with any existing unamortized premium or discount, amortized as an adjustment of interest expense over the remaining term of the replacement or modified debt instrument using the interest method.

For fees between the debtor and creditor for exchanges of or modifications to line-of-credit or revolving-debt arrangements, see paragraph [470-50-40-21](#).

470-50-40-17A An increase or a decrease in the fair value of a freestanding equity-classified written call option held by a creditor (calculated in accordance with paragraph [815-40-35-16](#)) that is modified or exchanged as a part of or is directly related to a modification or an exchange of a debt instrument held by that same creditor (see paragraphs [815-40-35-14 through 35-15](#) and [815-40-35-17\(c\)](#)) shall be accounted for in the same manner as fees between the debtor and the creditor as described in paragraph [470-50-40-17](#).

> Third-Party Costs of Exchange or Modification

470-50-40-18 Costs incurred with third parties directly related to the exchange or modification (such as legal fees) shall be accounted for as follows:

- a. If the exchange or modification is to be accounted for in the same manner as a debt extinguishment and the new debt instrument is initially recorded at fair value, then the costs shall be associated with the new debt instrument and amortized over the term of the new debt instrument using the interest method in a manner similar to debt issue costs.
- b. If the exchange or modification is not to be accounted for in the same manner as a debt extinguishment, then the costs shall be expensed as incurred.

For third-party costs for exchanges of or modifications to line-of-credit or revolving-debt arrangements, see paragraph [470-50-40-21](#).

- 470-50-40-18A** An increase (but not a decrease) in the fair value of a freestanding equity-classified written call option held by a third party (calculated in accordance with paragraph [815-40-35-16](#)) that is modified or exchanged as a part of or is directly related to a modification or an exchange of a debt instrument (see paragraphs [815-40-35-14 through 35-15](#) and [815-40-35-17\(c\)](#)) shall be accounted for in the same manner as third-party costs incurred that are directly related to the modification or exchange of a debt instrument as described in paragraph [470-50-40-18](#).

> Transactions Involving Third-Party Intermediaries

- 470-50-40-19** In transactions involving a third-party intermediary acting as agent on behalf of a debtor, the actions of the intermediary shall be viewed as those of the debtor in order to determine whether there has been an exchange of debt instruments or a modification of terms between a debtor and a creditor. Stated another way, if a third-party intermediary acts as agent, the analysis shall look through the intermediary.
- 470-50-40-20** In transactions involving a third-party intermediary acting as principal, the intermediary should be viewed as a third-party creditor similar to any other creditor in order to determine whether there has been an exchange of debt instruments or a modification of terms between a debtor and a creditor. Stated another way, if a third-party intermediary acts as principal, the analysis should not look through the intermediary.

> Line-of-Credit or Revolving-Debt Arrangements

- 470-50-40-21** Modifications to or exchanges of [line-of-credit or revolving-debt arrangements](#) resulting in either a new line-of-credit or revolving-debt arrangement or resulting in a traditional term-debt arrangement shall be evaluated in the following manner:
- The debtor shall compare the product of the remaining term and the maximum available credit of the old arrangement (this product is referred to as the borrowing capacity) with the borrowing capacity of the new arrangement.
 - If the borrowing capacity of the new arrangement is greater than or equal to the borrowing capacity of the old arrangement, then any unamortized deferred costs, any fees paid to the creditor, and any third-party costs incurred shall be associated with the new arrangement (that is, deferred and amortized over the term of the new arrangement).
 - If the borrowing capacity of the new arrangement is less than the borrowing capacity of the old arrangement, then:
 - Any fees paid to the creditor and any third-party costs incurred shall be associated with the new arrangement (that is, deferred and amortized over the term of the new arrangement).
 - Any unamortized deferred costs relating to the old arrangement at the time of the change shall be written off in proportion to the decrease in borrowing capacity of the old arrangement. The remaining unamortized deferred costs relating to the old arrangement shall be deferred and amortized over the term of the new arrangement.
- Fees between the debtor and the creditor include an increase or a decrease in the fair value of a freestanding equity-classified written call option held by a creditor (calculated in accordance with paragraph [815-40-35-16](#)) that is modified or exchanged as a part of or is directly related to a modification or an exchange of a line-of-credit or revolving-debt arrangement held by that same creditor (see paragraphs [815-40-35-14 through 35-15](#) and [815-40-35-17\(c\)](#)). Third-party costs include an increase (but not a decrease) in the fair value of a freestanding equity-classified written call option held by a third party (calculated in accordance with paragraph [815-40-35-16](#)) that is modified or exchanged as a part of or is directly related to a modification or an exchange of a line-

of-credit or revolving-debt arrangement (see paragraphs [815-40-35-14 through 35-15](#) and [815-40-35-17\(c\)](#)).

For fees between the debtor and the creditor or third-party costs not related to exchanges of or modifications to a line-of-credit or revolving-debt arrangements resulting in either a new line-of-credit or revolving-debt arrangement, see paragraphs [470-50-40-17 through 40-18A](#).

- 470-50-40-22** The guidance in this Subtopic is limited to modifications to or exchanges of line-of-credit or revolving-debt arrangements by a debtor and a creditor (the same parties that were involved in the original line-of-credit or revolving-debt arrangement) in a nontroubled situation.
- 470-50-40-23** See Example 1 (paragraph [470-50-55-10](#)) for an illustration of this guidance.

45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

- 470-50-45-1** Paragraph superseded by Accounting Standards Update No. 2015-01.
- 470-50-45-2** Paragraph superseded by Accounting Standards Update No. 2015-01.

50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

- 470-50-50-1** If debt was considered to be extinguished by [in-substance defeasance](#) under the provisions of FASB Statement No. 76, *Extinguishment of Debt*, before the effective date of FASB Statement No. 125,

Accounting for Transfers and Servicing of Financial Assets and Extinguishments of Liabilities, a general description of the transaction and the amount of debt that is considered extinguished at the end of each period that debt remains outstanding shall be disclosed.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

[Related Proposed ASUs](#)

> Implementation Guidance

· > Identification of Debtor and Creditor

470-50-55-1 Based on the definition of a [loan participation](#), for purposes of applying the guidance in this Subtopic, the debt instrument would be the contract between the debtor and the lead bank. Participating banks are not direct creditors but, rather, have an interest represented by a certificate of participation. In the event of a modification or exchange between the debtor and lead bank, the debtor shall apply the guidance in this Subtopic.

470-50-55-2 Based on the definition of a [loan syndication](#), for purposes of applying the guidance in this Subtopic, separate debt instruments exist between the debtor and the individual creditors participating in the syndication. If an exchange or modification offer is made to all members of the syndicate and only some of the creditors agree to the exchange or modification, the guidance in this Subtopic would be applied to debt instruments held by those creditors that agree to the exchange or modification. Debt instruments held by those creditors that do not agree would not be affected.

470-50-55-3 In a [public debt issuance](#), for purposes of applying the guidance in this Subtopic, the debt instrument is the individual security held by an investor, and the creditor is the security holder. If an exchange or modification offer is made to all investors and only some agree to the exchange or modification, then the guidance in this Subtopic shall be applied to debt instruments held by those investors that agree to the exchange or modification. Debt instruments held by those investors that do not agree would not be affected.

· > Exchanges or Modifications of Debt Involving a Third-Party Intermediary

470-50-55-4 In transactions involving a third-party investment banker acting as agent on behalf of the debtor, the activity of the investment banker is treated as if it were the activity of the debtor. Thus, if the investment banker acquires debt instruments from holders for cash, the debtor has an extinguishment

even if the investment banker subsequently transfers a debt instrument with the same or different terms to the same or different investors. If the investment banker acting as agent on behalf of the debtor acquires instruments from holders by exchanging those instruments for new debt, the guidance in this Subtopic shall be applied. If the investment banker acquires debt instruments from holders for cash and contemporaneously issues new debt instruments for cash, an extinguishment has occurred only if the two debt instruments have substantially different terms, as defined in Section [470-50-40](#).

470-50-55-5 In transactions involving a third-party investment banker acting as principal, the investment banker is considered a debt holder like other debt holders. Thus, if the investment banker acting as principal acquires debt instruments from other parties, the acquisition by the investment banker does not impact the accounting by the debtor, and exchanges or modifications between the debtor and the investment banker shall follow the guidance in this Subtopic.

· > Transactions Among Debt Holders

470-50-55-6 If a debt instrument is transferred from one debt holder to another in connection with a modification or exchange, including transfers from an intermediary acting as principal to another debt holder, the debtor is not impacted by the exchange as long as the funds do not pass through the debtor or its agent.

· > Determination of Whether a Third-Party Intermediary Is an Agent or a Principal

470-50-55-7 Transactions between a debtor and a third-party creditor should be analyzed based on the guidance in paragraph [405-20-40-1](#) and the guidance in this Subtopic to determine whether gain or loss recognition is appropriate. Application of the guidance in this Subtopic may require determination of whether a third-party intermediary is an agent or a principal and consideration of legal definitions may be helpful in making that determination. Generally, an agent acts for and on behalf of another party. Therefore, a third-party intermediary is an agent of a debtor if it acts on behalf of the debtor. In addition, an evaluation of the facts and circumstances surrounding the involvement of a third-party intermediary should be performed. The following indicators should be considered in that evaluation:

- a. If the intermediary's role is restricted to placing or reacquiring debt for the debtor without placing its own funds at risk, that would indicate that the intermediary is an agent. For example, that may be the case if the intermediary's own funds are committed and those funds are not truly at risk because the intermediary is made whole by the debtor (and therefore is indemnified against loss by the debtor). If the intermediary places and reacquires debt for the debtor by committing its funds and is subject to the risk of loss of those funds, that would indicate that the intermediary is acting as principal.
- b. In an arrangement where an intermediary places notes issued by the debtor, if the placement is done under a best-efforts agreement, that would indicate that the intermediary is acting as agent. Under a best-efforts agreement, an agent agrees to buy only those securities that it is able to sell to others; if the agent is unable to remarket the debt, the issuer is obligated to pay off the debt. The intermediary may be acting as principal if the placement is done on a firmly committed basis, which requires the intermediary to hold any debt that it is unable to sell to others.
- c. If the debtor directs the intermediary and the intermediary cannot independently initiate an exchange or modification of the debt instrument, that would indicate that the intermediary is an agent. The intermediary may be a principal if it acquires debt from or exchanges debt with another debt holder in the market and is subject to loss as a result of the transaction.
- d. If the only compensation derived by an intermediary from its arrangement with the debtor is limited to a preestablished fee, that would indicate that the intermediary is an agent. If the intermediary derives gains based on the value of the security issued by the debtor, that would indicate that the intermediary is a principal.

· > Debtor with a Binding Contract to Redeem Debt at a Future Date

470-50-55-8 This Subtopic applies to transactions in which the terms of a debt instrument are modified through execution of a binding contract between the debtor and creditor that requires a debt instrument to be redeemed at a future date for a specified amount.

· > Situations that Do Not Result in an Extinguishment of Debt

470-50-55-9 The following situations do not result in an extinguishment and would not result in gain or loss recognition under either paragraph [405-20-40-1](#) or this Subtopic:

- a. An announcement of intent by the debtor to call a debt instrument at the first call date
- b. [In-substance defeasance](#)
- c. An agreement with a creditor that a debt instrument issued by the debtor and held by a different party will be redeemed.

> Illustrations

· > Example 1: Accounting for Changes in Line-of-Credit or Revolving-Debt Arrangements

470-50-55-10 This Example illustrates the application of the guidance in paragraphs [470-50-40-21](#) through [40-22](#) for changes in [line-of-credit](#) or [revolving-debt arrangements](#).

470-50-55-11 Terms of original arrangement are as follows:

- a. Five-year term (three years remaining)
- b. \$10 million commitment amount
- c. The borrowing capacity under the original arrangement at the time of the change is \$30 million, the product of the remaining term (3 years) and the commitment amount (\$10 million).

470-50-55-12 The following situations represent changes that are made (with the same creditor) to the original terms:

- a. The commitment amount is increased to \$15 million, the term of the new arrangement remains at 3 years (borrowing capacity is \$45 million).
- b. The commitment amount is decreased to \$2 million, the term of the new arrangement is 5.5 years (borrowing capacity is \$11 million).
- c. The original revolver is replaced with a 3-year, \$7.5 million term loan, with principal due at the end of 3 years (borrowing capacity is \$22.5 million).
- d. The original revolver is replaced with a 3-year, \$10 million term loan, with principal due at the end of 3 years (borrowing capacity is \$30 million).

470-50-55-13 In all of the situations described, at the time the change is made to the original arrangement, \$150,000 of unamortized costs relating to the original arrangement remain on the debtor's balance sheet; the debtor pays a fee of \$100,000 to the creditor; and the debtor incurs third-party costs of \$200,000.

The following illustrates the various situations described in this Example.

Case	Old Borrowing Capacity	New Borrowing Capacity	Accounting Treatment of Unamortized Deferred Costs	Accounting Treatment of Fees and Third-Party Costs Incurred
A	30 million	45 million	\$150,000 is amortized over 3 years.	\$300,000 is deferred and amortized over 3 years.
B	30 million	11 million	63 percent of the unamortized costs (\$94,500) are written off; the remaining costs (\$55,500) are amortized over 5.5 years.	\$300,000 is deferred and amortized over 5.5 years.
C	30 million	22.5 million	25 percent of the unamortized costs (\$37,500) are written off; the remaining costs (\$112,500) are amortized over 3 years.	\$300,000 is deferred and amortized over 3 years.
D	30 million	30 million	\$150,000 is amortized over 3 years.	\$300,000 is deferred and amortized over 3 years.

470 Debt

60 Troubled Debt Restructurings by Debtors

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

470-60-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Amortized Cost Basis	Added	Accounting Standards Update No. 2016-13	06/16/2016
Contract	Added	Accounting Standards Update No. 2016-02	02/25/2016
Debt	Superseded	Accounting Standards Update No. 2016-19	12/14/2016
Lease	Added	Accounting Standards Update No. 2016-02	02/25/2016
Lease Modification	Added	Accounting Standards Update No. 2016-02	02/25/2016
Recorded Investment in the Receivable	Superseded	Accounting Standards Update No. 2016-13	06/16/2016

470-60-05-1	Amended	Accounting Standards Update No. 2022-02	03/31/2022
470-60-10-1	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-60-15-3	Superseded	Accounting Standards Update No. 2022-02	03/31/2022
470-60-15-3	Amended	Accounting Standards Update No. 2016-13	06/16/2016
470-60-15-4A	Added	Accounting Standards Update No. 2016-19	12/14/2016
470-60-15-9	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-60-15-11	Amended	Accounting Standards Update No. 2016-02	02/25/2016
470-60-15-12	Amended	Accounting Standards Update No. 2016-13	06/16/2016
470-60-35-3	Amended	Maintenance Update 2017-19 	11/15/2017
470-60-35-8	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-60-50-1	Amended	Accounting Standards Update No. 2024-03	11/04/2024
470-60-55-4	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-60-55-8	Amended	Accounting Standards Update No. 2016-19	12/14/2016
470-60-55-15	Superseded	Accounting Standards Update No. 2022-02	03/31/2022

05 Overview and Background

 **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

470-60-05-1 This Subtopic addresses measurement, derecognition, disclosure, and implementation guidance issues concerning [troubled debt restructurings](#) focused on the debtor's records.

10 Objectives

- ① **General Note:** The Objectives Section provides the high-level objectives that the Subtopic is intended to accomplish or attain. The Section does not summarize or discuss the main principles of accounting and reporting requirements.

General

- 470-60-10-1** The accounting for restructured debt is based on the substance of the modifications—the effect on cash flows—not on the labels chosen to describe those cash flows. The substance of all modifications of a debt in a [troubled debt restructuring](#) is essentially the same whether they involve modifications of any of the following:
- a. Timing
 - b. Amounts designated as interest
 - c. Amounts designated as face amounts.
- 470-60-10-2** All of those kinds of modifications affect future cash receipts or payments and therefore affect both of the following:
- a. The creditor's total return on the receivable, its effective interest rate, or both
 - b. The debtor's total cost on the payable, its effective interest rate, or both.

15 Scope and Scope Exceptions

- ① **General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Entities

470-60-15-1 The guidance in this Subtopic applies to all debtors.

> Transactions

470-60-15-2 The guidance in this Subtopic applies to all [troubled debt restructurings](#) by debtors.

470-60-15-3 [Paragraph superseded by Accounting Standards Update No. 2022-02.](#)

· > Unit of Accounting

470-60-15-4 The substance rather than the form of the payable shall govern. Payables that may be involved in troubled debt restructurings commonly result from borrowing of cash, or purchasing goods or services on credit. Examples are accounts payable, notes, debentures and bonds (whether those payables are secured or unsecured and whether they are convertible or nonconvertible), and related accrued interest, if any. Typically, each payable is negotiated separately, but sometimes two or more payables are negotiated together. For example, a debtor may negotiate with a group of creditors but sign separate debt instruments with each creditor. For purposes of this Subtopic, restructuring of each payable, including those negotiated and restructured jointly, shall be accounted for individually.

470-60-15-4A In this Subtopic, a receivable or a payable (collectively referred to as debt) represents a contractual right to receive money or a contractual obligation to pay money on demand or on fixed or determinable dates that is already included as an asset or a liability in the creditor's or debtor's balance sheet at the time of the restructuring.

· > Troubled Debt Restructuring

470-60-15-5 A restructuring of a debt constitutes a troubled debt restructuring for purposes of this Subtopic if the creditor for economic or legal reasons related to the debtor's financial difficulties grants a concession to the debtor that it would not otherwise consider.

470-60-15-6 That concession is granted by the creditor in an attempt to protect as much of its investment as possible. That concession either stems from an agreement between the creditor and the debtor or is imposed by law or a court; for example, either of the following circumstances might occur:

- a. A creditor may restructure the terms of a debt to alleviate the burden of the debtor's near-term cash requirements, and many troubled debt restructurings involve modifying terms to reduce or

defer cash payments required of the debtor in the near future to help the debtor attempt to improve its financial condition and eventually be able to pay the creditor.

b. The creditor may accept cash, other assets, or an equity interest in the debtor in satisfaction of the debt though the value received is less than the amount of the debt because the creditor concludes that step will maximize recovery of its investment.

Although troubled debt that is fully satisfied by foreclosure, repossession, or other transfer of assets or by grant of equity securities by the debtor is, in a technical sense, not restructured, that kind of event is included in the term *troubled debt restructuring* in this Subtopic.

470-60-15-7 Whatever the form of concession granted by the creditor to the debtor in a troubled debt restructuring, the creditor's objective is to make the best of a difficult situation. That is, the creditor expects to obtain more cash or other value from the debtor, or to increase the probability of receipt, by granting the concession than by not granting it.

470-60-15-8 In general, a debtor that can obtain funds from sources other than the existing creditor at market interest rates at or near those for nontroubled debt is not involved in a troubled debt restructuring. A debtor in a troubled debt restructuring can obtain funds from sources other than the existing creditor in the troubled debt restructuring, if at all, only at effective interest rates (based on market prices) so high that it cannot afford to pay them.

470-60-15-9 A troubled debt restructuring may include, but is not necessarily limited to, one or a combination of the following:

- a. Transfer from the debtor to the creditor of receivables from third parties, real estate, or other assets to satisfy fully or partially a debt (including a transfer resulting from foreclosure or repossession)
- b. Issuance or other granting of an equity interest to the creditor by the debtor to satisfy fully or partially a debt unless the equity interest is granted pursuant to existing terms for converting the debt into an equity interest
- c. Modification of terms of a debt, such as one or a combination of any of the following:
 1. Reduction (absolute or contingent) of the stated interest rate for the remaining original life of the debt
 2. Extension of the maturity date or dates at a stated interest rate lower than the current market rate for new debt with similar risk
 3. Reduction (absolute or contingent) of the face amount or maturity amount of the debt as stated in the instrument or other agreement
 4. Reduction (absolute or contingent) of accrued interest.

470-60-15-10 The guidance in this Subtopic shall be applied to all troubled debt restructurings including those consummated under reorganization, arrangement, or other provisions of the Federal Bankruptcy Act or other federal statutes related thereto. This Subtopic does not apply, however, if under provisions of those federal statutes or in a quasi-reorganization or corporate readjustment (see Topic [852](#)) with which a troubled debt restructuring coincides, the debtor restates its liabilities generally, that is, if such restructurings or modifications accomplished under purview of the bankruptcy court encompass most of the amount of the debtor's liabilities.

470-60-15-11 For purposes of this Subtopic, none of the following are considered troubled debt restructurings:

- a. [Lease modifications](#) (for guidance, see Topic [842](#))
- b. Changes in employment-related agreements, for example, pension plans and deferred compensation contracts
- c. Unless they involve an agreement between debtor and creditor to restructure, neither of the following:

1. Debtors' failures to pay trade accounts according to their terms
2. Creditors' delays in taking legal action to collect overdue amounts of interest and principal.

470-60-15-12

A debt restructuring is not necessarily a troubled debt restructuring for purposes of this Subtopic even if the debtor is experiencing some financial difficulties. For example, a troubled debt restructuring is not involved if any of the following circumstances exist:

- a. The **fair value** of cash, other assets, or an equity interest accepted by a creditor from a debtor in full satisfaction of its receivable at least equals the creditor's **amortized cost basis** in the receivable.
- b. The fair value of cash, other assets, or an equity interest transferred by a debtor to a creditor in full settlement of its payable at least equals the debtor's carrying amount of the payable.
- c. The creditor reduces the effective interest rate on the debt primarily to reflect a decrease in market interest rates in general or a decrease in the risk so as to maintain a relationship with a debtor that can readily obtain funds from other sources at the current market interest rate.
- d. The debtor issues in exchange for its debt new marketable debt having an effective interest rate based on its market price that is at or near the current market interest rates of debt with similar maturity dates and stated interest rates issued by nontroubled debtors.

470-60-15-13

For further guidance on determining whether a modification or exchange is a troubled debt restructuring, see paragraphs **470-60-55-4 through 55-7**. If a debtor concludes that the modification or exchange is not within the scope of this Subtopic, the debtor would apply the provisions of Subtopic **470-50**.

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Amortized Cost Basis

The amortized cost basis is the amount at which a financing receivable or investment is originated or acquired, adjusted for applicable accrued interest, accretion, or amortization of premium, discount, and net deferred fees or costs, collection of cash, writeoffs, foreign exchange, and fair value hedge accounting adjustments.

Carrying Amount

For a receivable, the face amount increased or decreased by applicable accrued interest and applicable unamortized premium, discount, finance charges, or issue costs and also an allowance for uncollectible amounts and other valuation accounts.

For a payable, the face amount increased or decreased by applicable accrued interest and applicable unamortized premium, discount, finance charges, or issue costs

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an **orderly transaction** between **market participants** at the measurement date.

Lease

A **contract**, or part of a contract, that conveys the right to control the use of identified property, plant, or equipment (an identified asset) for a period of time in exchange for consideration.

Lease Modification

A change to the terms and conditions of a **contract** that results in a change in the scope of or the consideration for a **lease** (for example, a change to the terms and conditions of the contract that adds or terminates the right to use one or more underlying assets or extends or shortens the contractual lease term).

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- a. They are independent of each other, that is, they are not **related parties**, although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms
- b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- c. They are able to enter into a transaction for the asset or liability
- d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

Time of Restructuring

Troubled debt restructurings may occur before, at, or after the stated maturity of debt, and time may elapse between the agreement, court order, and so forth, and the transfer of assets or equity interest, the effective date of new terms, or the occurrence of another event that constitutes consummation of the restructuring. The date of consummation is the time of the restructuring.

Troubled Debt Restructuring

A restructuring of a debt constitutes a troubled debt restructuring if the creditor for economic or legal reasons related to the debtor's financial difficulties grants a concession to the debtor that it would not otherwise consider.

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to

carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

- 470-60-35-1** A debtor shall account for a [troubled debt restructuring](#) according to the type of the restructuring as prescribed in this Section.
- 470-60-35-2** A debtor that transfers its receivables from third parties, real estate, or other assets to a creditor to settle fully a payable shall recognize a gain on restructuring of payables. The gain shall be measured by the excess of the [carrying amount](#) of the payable over the [fair value](#) of the assets transferred to the creditor. However, while the guidance in this Subtopic indicates that the fair value of assets transferred or the fair value of an equity interest granted shall be used in accounting for a settlement of a payable in a troubled debt restructuring, that guidance is not intended to preclude using the fair value of the payable settled if more clearly evident than the fair value of the assets transferred or of the equity interest granted in a full settlement of a payable. However, in a partial settlement of a payable, the fair value of the assets transferred or of the equity interest granted shall be used in all cases to avoid the need to allocate the fair value of the payable between the part settled and the part still outstanding.
- 470-60-35-3** A difference between the fair value and the carrying amount of assets transferred to a creditor to settle a payable is a gain or loss on transfer of assets. The carrying amount of a receivable encompasses not only unamortized premium, discount, acquisition costs, and the like but also an allowance for uncollectible amounts and other valuation accounts, if any. The debtor shall include that gain or loss in measuring net income for the period of transfer, reported as provided in Topic [220](#). A loss on transferring receivables to creditors may therefore have been wholly or partially recognized in measuring net income before the transfer and be wholly or partly a reduction of a valuation account rather than a gain or loss in measuring net income for the period of the transfer.
- 470-60-35-4** A debtor that issues or otherwise grants an equity interest to a creditor to settle fully a payable shall account for the equity interest at its fair value. The difference between the fair value of the equity interest granted and the carrying amount of the payable settled shall be recognized as a gain on restructuring of payables.
- 470-60-35-5** A debtor in a troubled debt restructuring involving only modification of terms of a payable—that is, not involving a transfer of assets or grant of an equity interest— shall account for the effects of the restructuring prospectively from the [time of restructuring](#), and shall not change the carrying amount of the payable at the time of the restructuring unless the carrying amount exceeds the total future cash payments specified by the new terms. Total future cash payments includes related accrued interest, if any, at the time of the restructuring that continues to be payable under the new terms. That is, the effects of changes in the amounts or timing (or both) of future cash payments designated as either interest or face amount shall be reflected in future periods. Interest expense shall be computed in a way such that a constant effective interest rate is applied to the carrying amount of the payable at the beginning of each period between restructuring and maturity (in substance the interest method prescribed by paragraphs [835-30-35-2](#) and [835-30-35-4 through 35-5](#)). The new effective interest rate shall be the discount rate that equates the present value of the future cash payments specified by the new terms (excluding amounts contingently payable) with the carrying amount of the payable.
- 470-60-35-6** If, however, the total future cash payments specified by the new terms of a payable, including both payments designated as interest and those designated as face amount, are less than the carrying amount of the payable, the debtor shall reduce the carrying amount to an amount equal to the total future cash payments specified by the new terms and shall recognize a gain on restructuring of payables equal to the amount of the reduction. If the carrying amount of the payable comprises several accounts (for example, face amount, accrued interest, and unamortized premium, discount,

finance charges, and issue costs) that are to be continued after the restructuring, some possibly being combined, the reduction in carrying amount may need to be allocated among the remaining accounts in proportion to the previous balances. Thereafter, all cash payments under the terms of the payable shall be accounted for as reductions of the carrying amount of the payable, and no interest expense shall be recognized on the payable for any period between the restructuring and maturity of the payable. The only exception is to recognize interest expense according to paragraph [470-60-35-10](#). However, the debtor may choose to carry the amount designated as face amount by the new terms in a separate account and adjust another account accordingly.

470-60-35-7 A debtor shall not recognize a gain on a restructured payable involving indeterminate future cash payments as long as the maximum total future cash payments may exceed the carrying amount of the payable. Amounts designated either as interest or as face amount by the new terms may be payable contingent on a specified event or circumstance (for example, the debtor may be required to pay specified amounts if its financial condition improves to a specified degree within a specified period). To determine whether the debtor shall recognize a gain according to the provisions of the preceding two paragraphs, those contingent amounts shall be included in the total future cash payments specified by the new terms to the extent necessary to prevent recognizing a gain at the time of restructuring that may be offset by future interest expense. Thus, the debtor shall apply paragraphs [450-30-25-1](#) and [450-30-50-1](#) in which probability of occurrence of a gain contingency is not a factor, and shall assume that contingent future payments will have to be paid. The same principle applies to amounts of future cash payments that must sometimes be estimated to apply the provisions of the preceding two paragraphs. For example, if the number of future interest payments is flexible because the face amount and accrued interest is payable on demand or becomes payable on demand, estimates of total future cash payments shall be based on the maximum number of periods possible under the restructured terms.

470-60-35-8 A troubled debt restructuring may involve partial settlement of a payable by the debtor's transferring assets or granting an equity interest (or both) to the creditor and modification of terms of the remaining payable. Even if the stated terms of the remaining payable, for example, the stated interest rate and the maturity date or dates, are not changed in connection with the transfer of assets or grant of an equity interest, the restructuring shall be accounted for as prescribed by this guidance. A debtor shall account for a troubled debt restructuring involving a partial settlement and a modification of terms as prescribed in paragraphs [470-60-35-5 through 35-7](#) except that, first, assets transferred or an equity interest granted in that partial settlement shall be measured as prescribed in paragraphs [470-60-35-2](#) and [470-60-35-4](#), respectively, and the carrying amount of the payable shall be reduced by the total fair value of those assets or equity interest. If cash is paid in a partial settlement of a payable in a troubled debt restructuring, the carrying amount of the payable shall be reduced by the amount of cash paid. A difference between the fair value and the carrying amount of assets transferred to the creditor shall be recognized as a gain or loss on transfer of assets. No gain on restructuring of payables shall be recognized unless the remaining carrying amount of the payable exceeds the total future cash payments (including amounts contingently payable) specified by the terms of the debt remaining unsettled after the restructuring. Future interest expense, if any, shall be determined according to the provisions of paragraphs [470-60-35-5 through 35-7](#).

470-60-35-9 A troubled debt restructuring that is in substance a repossession or foreclosure by the creditor or other transfer of assets to the creditor shall be accounted for according to the provisions of the preceding paragraph and paragraphs [470-60-35-2 through 35-3](#).

470-60-35-10 If a troubled debt restructuring involves amounts contingently payable, those contingent amounts shall be recognized as a payable and as interest expense in future periods in accordance with paragraph [450-20-25-2](#). Thus, in general, interest expense for contingent payments shall be recognized in each period in which both of the following conditions exist:

- a. It is probable that a liability has been incurred.
- b. The amount of that liability can be reasonably estimated.

Before recognizing a payable and interest expense for amounts contingently payable, however, accrual or payment of those amounts shall be deducted from the carrying amount of the restructured payable to the extent that contingent payments included in total future cash payments specified by the new terms prevented recognition of a gain at the time of restructuring (see paragraph [470-60-35-7](#)).

- 470-60-35-11** If amounts of future cash payments must be estimated to apply the provisions of paragraphs [470-60-35-5 through 35-7](#) because future interest payments are expected to fluctuate—for example, the restructured terms may specify the stated interest rate to be the prime interest rate increased by a specified amount or proportion—estimates of maximum total future payments shall be based on the interest rate in effect at the time of the restructuring. Fluctuations in the effective interest rate after the restructuring from changes in the prime rate or other causes shall be accounted for as changes in estimates in the periods in which the changes occur. However, the accounting for those fluctuations shall not result in recognizing a gain on restructuring that may be offset by future cash payments (see the preceding paragraph and paragraph [470-60-35-7](#)). Rather, the carrying amount of the restructured payable shall remain unchanged, and future cash payments shall reduce the carrying amount until the time that any gain recognized cannot be offset by future cash payments.
- 470-60-35-12** Legal fees and other direct costs that a debtor incurs in granting an equity interest to a creditor in a troubled debt restructuring shall reduce the amount otherwise recorded for that equity interest according to paragraphs [470-60-35-4](#) and [470-60-35-8](#). All other direct costs that a debtor incurs to effect a troubled debt restructuring shall be deducted in measuring gain on restructuring of payables or shall be included in expense for the period if no gain on restructuring is recognized.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

- 470-60-45-1** All or a portion of the [carrying amount](#) of the payable at the [time of the restructuring](#) may need to be reclassified in the balance sheet because of changes in the terms, for example, a change in the amount of the payable due within one year after the date of the debtor's balance sheet.
- 470-60-45-2** A [troubled debt restructuring](#) of a short-term obligation after the date of a debtor's balance sheet but before that balance sheet is issued or is available to be issued (as discussed in Section [855-10-25](#)) may affect the classification of that obligation in accordance with Subtopic [470-10](#).

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

[Related Proposed ASUs](#)

470-60-50-1

A debtor shall disclose, either in the body of the financial statements or in the accompanying notes, all of the following information about [troubled debt restructurings](#) that have occurred during a period for which financial statements are presented:

- a. For each restructuring, a description of the principal changes in terms, the major features of settlement, or both; separate restructurings within a fiscal period for the same category of payables (for example, accounts payable or subordinated debentures) may be grouped for disclosure purposes
- b. Aggregate gain on restructuring of payables
- c. Aggregate net gain or loss on transfers of assets recognized during the period (see paragraphs [470-60-35-3](#) and [470-60-35-8](#))
- d. Per-share amount of the aggregate gain on restructuring of payables.

 PENDING CONTENT



Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [220-40-65-1](#)

A debtor shall disclose, either in the body of the financial statements or in the accompanying notes, all of the following information about [troubled debt restructurings](#) that have occurred during a period for which financial statements are presented:

- a. For each restructuring, a description of the principal changes in terms, the major features of settlement, or both; separate restructurings within a fiscal period for the same category of payables (for example, accounts payable or subordinated debentures) may be grouped for disclosure purposes
- b. Aggregate gain on restructuring of payables
- c. Aggregate net gain or loss on transfers of assets recognized during the period (see paragraphs [470-60-35-3](#) and [470-60-35-8](#))
- d. Per-share amount of the aggregate gain on restructuring of payables.

See paragraphs [220-40-50-21 through 50-25](#) for additional disclosure requirements.

470-60-50-2

A debtor shall disclose in financial statements for periods after a troubled debt restructuring the extent to which amounts contingently payable are included in the [carrying amount](#) of restructured payables pursuant to the provisions of paragraph [470-60-35-7](#). If required by paragraphs [450-20-50-1 through 50-6](#) and [450-20-50-9 through 50-10](#), a debtor shall also disclose in those financial

statements total amounts that are contingently payable on restructured payables and the conditions under which those amounts would become payable or would be forgiven.

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

· > Applicability of This Subtopic to Entities in Chapter 11 Bankruptcy

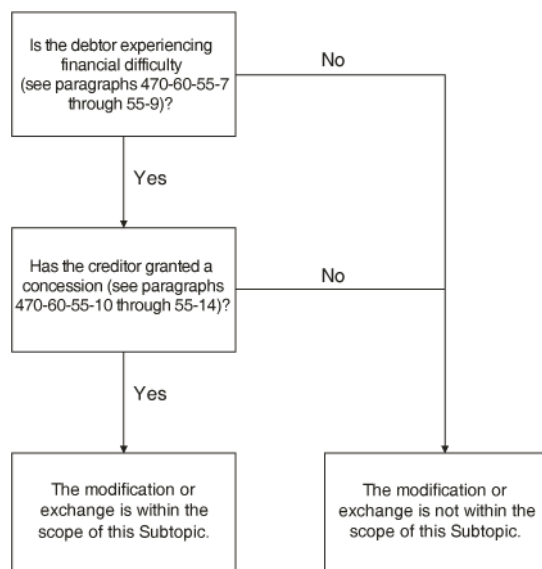
- 470-60-55-1** Entities involved with Chapter 11 bankruptcy proceedings frequently reduce all or most of their indebtedness with the approval of their creditors and the court in order to provide an opportunity for the entity to have a fresh start. Such reductions are usually by a stated percentage so that, for example, the debtor owes only 60 cents on the dollar. Because the debtor would be restating its liabilities generally, this Subtopic would not apply to the debtor's accounting for such reduction of liabilities.
- 470-60-55-2** On the other hand, this Subtopic would apply to an isolated [troubled debt restructuring](#) by a debtor involved in bankruptcy proceedings if such restructuring did not result in a general restatement of the debtor's liabilities.

· > Unit of Accounting

- 470-60-55-3** To a debtor, a bond constitutes one payable even though there are many bondholders.

· > Distinguishing Between a Troubled Debt Restructuring and a Modification or Exchange

- 470-60-55-4** No single characteristic or factor, taken alone, is determinative of whether a modification or exchange is a troubled debt restructuring under this Subtopic. That is, the fact that a single characteristic is present in a transaction (such as that described in paragraph [470-60-15-9\(c\)\(3\)](#) or [470-60-15-12\(d\)](#)) should not be considered sufficient to overcome the preponderance of contrary evidence. Determining whether a transaction is within the scope of this Subtopic requires the exercise of judgment. The guidance that follows is not limited to marketable debt instruments.
- 470-60-55-5** The following model should be applied by a debtor when determining whether a modification or an exchange of debt instruments is within the scope of this Subtopic.



470-60-55-6 The following factors have no relevance in the determination of whether a modification or an exchange is within the scope of this Subtopic:

- a. The amount invested in the old debt by the current creditors
- b. The **fair value** of the old debt immediately before the modification or exchange compared to the fair value of the new debt at issuance
- c. Transactions among debt holders.

In addition, the length of time the current creditors have held the investment in the old debt is not relevant in the determination of whether a modification or exchange is within the scope of this Subtopic unless all the current creditors recently acquired the debt from the previous debt holders to effect what is in substance a planned refinancing.

· · > Determining Whether the Debtor Is Experiencing Financial Difficulties

470-60-55-7 If the debtor's creditworthiness (for example, based on its credit rating or equivalent, the effects of the original collateral or credit enhancements in the debt, or its sector risk) has deteriorated since the debt was originally issued, the debtor should evaluate whether it is experiencing financial difficulties. Changes in an investment-grade credit rating are not considered a deterioration in the debtor's creditworthiness for purposes of this guidance. Conversely, a decline in credit rating from investment grade to noninvestment grade is considered a deterioration in the debtor's creditworthiness for purposes of this guidance.

470-60-55-8 All of the following factors are indicators that the debtor is experiencing financial difficulties:

- a. The debtor is currently in default on any of its debt.
- b. The debtor has declared or is in the process of declaring bankruptcy.
- c. There is significant doubt as to whether the debtor will continue to be a going concern.
- d. Currently, the debtor has securities that have been delisted, are in the process of being delisted, or are under threat of being delisted from an exchange.
- e. Based on estimates and projections that only encompass the current business capabilities, the debtor forecasts that its entity-specific cash flows will be insufficient to service the debt (both interest and principal) in accordance with the contractual terms of the existing agreement through maturity.
- f. Absent the current modification, the debtor cannot obtain funds from sources other than the existing creditors at an effective interest rate equal to the current market interest rate for similar debt for a nontroubled debtor.

- 470-60-55-9** Notwithstanding the above, the following factors, if both are present, provide determinative evidence that the debtor is not experiencing financial difficulties, and, thus, the modification or exchange is not within the scope of this Subtopic (the presence of either factor individually would be an indicator, but not determinative, that the debtor is not experiencing financial difficulty):
- The debtor is currently servicing the old debt and can obtain funds to repay the old prepayable debt from sources other than the existing creditors (without regard to the current modification) at an effective interest rate equal to the current market interest rate for a nontroubled debtor.
 - The creditors agree to restructure the old debt solely to reflect a decrease in current market interest rates for the debtor or positive changes in the creditworthiness of the debtor since the debt was originally issued.

· · > Determining Whether the Creditor Granted a Concession

- 470-60-55-10** A creditor is deemed to have granted a concession if the debtor's effective borrowing rate on the restructured debt is less than the effective borrowing rate of the old debt immediately before the restructuring. The effective borrowing rate of the restructured debt (after giving effect to all the terms of the restructured debt including any new or revised options or warrants, any new or revised guarantees or letters of credit, and so forth) should be calculated by projecting all the cash flows under the new terms and solving for the discount rate that equates the present value of the cash flows under the new terms to the debtor's current [carrying amount](#) of the old debt.
- 470-60-55-11** The carrying amount for purposes of this test would not include any hedging effects (including basis adjustments to the old debt) but would include any unamortized premium, discount, issuance costs, accrued interest payable, and so forth.
- 470-60-55-12** When determining the effect of any new or revised sweeteners (options, warrants, guarantees, letters of credit, and so forth), the current fair value of the new sweetener or change in fair value of the revised sweetener would be included in day-one cash flows. If such sweeteners are not exercisable for a period of time, that delay is typically considered within the estimation of the initial fair value as of the debt's modification date.
- 470-60-55-13** Although considered rare, if there is persuasive evidence that the decrease in the effective borrowing rate is due solely to a factor that is not captured in the mathematical calculation (for example, additional collateral), the creditor may not have granted a concession and the modification or exchange should be evaluated based on the substance of the modification.
- 470-60-55-14** Notwithstanding the guidance in this Section, if an entity has recently restructured the debt and is currently restructuring that debt again, the effective borrowing rate of the restructured debt (after giving effect to all the terms of the restructured debt including any new or revised options or warrants, any new or revised guarantees or letters of credit, and so forth) should be calculated by projecting all the cash flows under the new terms and solving for the discount rate that equates the present value of the cash flows under the new terms to the debtor's previous carrying amount of the debt immediately preceding the earlier restructuring. In addition, the effective borrowing rate of the restructured debt should be compared with the effective borrowing rate of the debt immediately preceding the earlier restructuring for purposes of determining whether the creditor granted a concession (that is, whether the effective borrowing rate decreased).
- 470-60-55-15** [Paragraph superseded by Accounting Standards Update No. 2022-02.](#)